

China Bubble & Brew Sector

The Taste of Growth: Initiated coverage of seven leading players;
top picks Luckin Coffee and Guming

China Consumer

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Valuation comps table

Company	BBG ticker	Rating	MCap USDmn	Avg TO USDmn	Price (LC)	TP (LC)	Up/(dn) side	Rev cagr 25e-27e	EPS cagr 25e-27e	P/E (x) 2026E 2027E	PEG(x) 2027E	P/B (x) 2026E 2027E	ROE (%) 2026E 2027E	Div yield (%) 2026E 2027E	Share performance				JPM analyst				
																			5D	1M	3M	YTD	
CHINA FMD																							
Mixue	2097 HK	OW	19,443	245	399.80	521.00	30%	14%	14%	20.2	17.7	1.3	4.8	3.9	25.3	23.3	1.4	1.5	-7%	-9%	2%	-2%	Jessie Xu
Luckin	LKNCY US	OW	9,135	72	32.25	55.00	71%	17%	25%	14.2	11.2	0.4	3.4	2.7	25.6	25.2	0.0	0.0	-3%	-4%	-21%	-4%	Jessie Xu
Guming	1364 HK	OW	8,628	154	28.32	36.00	27%	20%	14%	21.7	17.9	0.8	9.3	6.9	51.2	47.0	2.1	2.6	-3%	10%	32%	14%	Jessie Xu
Chagee	CHA US	UW	2,199	22	11.98	12.40	4%	16%	8%	7.4	6.4	0.4	1.6	1.4	23.1	22.9	1.0	2.0	1%	1%	-20%	3%	Jessie Xu
Baicha Baidao	2555 HK	NC	1,227	39	6.48	n.a.	n.a.	8%	10%	9.3	8.4	0.9	1.8	1.7	20.8	21.7	8.8	10.4	-5%	-4%	-14%	-2%	
Auntea Jenny	2589 HK	NC	1,203	28	89.25	n.a.	n.a.	15%	18%	14.8	12.8	0.8	3.9	3.1	26.3	23.3	1.2	1.4	-3%	1%	-6%	4%	
Simple average										14.6	12.4	0.8	4.1	3.3	28.7	27.2	2.4	3.0					
Market cap weighted average										18.0	15.3	0.9	5.2	4.0	30.5	28.5	1.4	1.7					
CHINA Beverage																							
Nongfu Spring	9633 HK	OW	71,720	306	49.78	55.00	10%	13%	14%	29.0	25.7	2.0	10.6	8.9	39.9	40.5	2.5	2.8	-1%	6%	-5%	6%	Jessie Xu
Eastroc Beverage	605499 CH	N	21,198	584	262.50	300.00	14%	22%	23%	24.1	19.9	0.9	9.9	7.9	42.7	40.3	2.2	2.6	2%	-2%	-8%	-2%	Jessie Xu
CR Beverage	2460 HK	N	3,152	77	10.26	11.00	7%	9%	22%	15.7	13.3	0.8	1.7	1.6	10.9	11.8	3.1	3.7	-1%	0%	-6%	2%	Jessie Xu
Simple average										22.9	19.6	1.2	7.4	6.1	31.2	30.8	2.6	3.0					
Market cap weighted average										27.5	24.0	1.7	10.1	8.4	39.6	39.5	2.4	2.8					
CHINA F&B, Dairy																							
Want Want	151 HK	N	7,197	35	4.76	4.90	3%	2%	2%	12.3	11.5	1.6	2.5	2.2	20.9	20.0	4.1	4.6	1%	2%	-7%	3%	Kevin Yin
Tingyi	322 HK	OW	8,701	128	12.05	14.50	20%	3%	7%	13.4	12.4	1.6	4.0	3.9	30.3	31.9	7.5	7.7	-1%	0%	9%	2%	Kevin Yin
Uni-President	220 HK	OW	4,388	68	7.93	11.60	46%	6%	9%	12.7	11.6	1.2	2.2	2.1	17.5	18.7	7.7	8.3	-2%	-4%	-8%	-2%	Kevin Yin
Yili	600887 CH	OW	24,433	1,355	26.83	33.00	23%	4%	9%	14.1	12.9	1.4	2.9	2.7	20.1	20.7	5.3	5.8	0%	-7%	-1%	-6%	Kevin Yin
Mengniu	2319 HK	OW	8,328	354	16.76	20.00	19%	3%	18%	11.1	10.0	0.9	1.2	1.1	11.4	11.6	4.4	4.9	6%	13%	17%	12%	Kevin Yin
Feihe	6186 HK	OW	4,479	150	3.97	5.40	36%	4%	17%	10.2	9.5	1.2	1.2	1.1	11.4	11.9	7.7	8.2	0%	-3%	-5%	-2%	Kevin Yin
Simple average										12.3	11.3	1.3	2.3	2.2	18.6	19.1	6.1	6.6					
Market cap weighted average										12.9	11.9	1.3	2.6	2.4	19.6	20.1	5.7	6.2					
CHINA Restaurants																							
Yum China	YUMC US	OW	17,715	75	49.96	62.00	24%	6%	13%	17.6	15.7	1.3	3.1	2.8	18.0	19.0	1.9	2.3	2%	3%	14%	5%	
Haidilao	6862 HK	NC	11,489	344	16.09	n.a.	n.a.	6%	11%	16.5	14.9	1.4	6.3	5.6	41.4	42.2	5.6	6.1	2%	12%	23%	13%	
Xiaocaiyuan	999 HK	NC	1,355	30	8.99	n.a.	n.a.	20%	20%	10.6	8.8	0.4	3.0	2.6	29.6	30.8	5.0	6.0	5%	-2%	-17%	-4%	
Simple average										14.9	13.1	1.1	4.1	3.7	29.7	30.7	4.2	4.8					
Market cap weighted average										16.8	15.1	1.3	4.3	3.8	27.3	28.3	3.4	3.9					
GLOBAL Peers - Beverage																							
Coca-cola	KO US	OW	314,276	1,130	73.06	79.00	8%	5%	7%	22.7	21.3	3.2	9.8	8.8	44.5	43.8	2.9	3.1	1%	4%	7%	5%	Andrea Teixeira
Pepsi	PEP US	OW	203,050	1,184	148.50	164.00	10%	4%	6%	17.4	16.3	2.6	8.8	7.9	54.8	52.7	4.0	4.2	1%	3%	2%	3%	Andrea Teixeira
Nestle	NESN SE	N	243,823	39	72.64	90.00	24%	2%	5%	16.3	15.3	2.4	4.7	4.5	28.9	29.2	4.4	4.4	-1%	-8%	-7%	-8%	Celine Pannuti
Danone	BN FP	OW	53,910	6	66.14	90.00	36%	3%	7%	16.6	15.3	1.9	2.2	2.1	13.3	13.7	3.6	3.8	-3%	-14%	-14%	-14%	Celine Pannuti
Monster Beverage	MNST US	N	79,061	383	80.92	75.00	-7%	9%	13%	35.7	31.8	2.6	8.9	7.7	25.6	25.1	0.0	0.0	-1%	4%	22%	6%	Andrea Teixeira
JDE Peet's	JDEP NA	N	18,476	2	31.64	31.85	1%	3%	3%	17.0	15.7	2.0	1.3	1.3	7.3	7.6	2.4	2.5	0%	-1%	0%	-1%	Celine Pannuti
Suntory	2587 JP	N	9,697	3,446	4.812	4.600	-4%	4%	7%	15.5	14.7	2.6	1.2	1.1	7.8	7.9	2.8	2.9	-4%	1%	4%	2%	Satoshi Fujiwara
Yakult	2267 JP	UW	5,328	4,801	2.461	1,900	-23%	0%	-7%	16.5	16.7	-13.3	1.2	1.2	7.5	7.1	2.6	2.8	-5%	0%	6%	1%	Satoshi Fujiwara
Meiji	2269 JP	OW	6,658	5,019	3.618	4,200	16%	2%	7%	17.9	16.6	2.1	1.3	1.2	7.2	7.5	2.9	3.1	0%	3%	22%	4%	Satoshi Fujiwara
Simple average										19.5	18.2	0.7	4.4	4.0	21.9	21.6	2.8	3.0					
Market cap weighted average										20.3	19.0	2.6	7.4	6.7	37.7	37.1	3.3	3.4					
GLOBAL Peers - Coffee House & Restaurants																							
McDonald's	MCD US	OW	222,762	1,004	312.80	305.00	-2%	6%	9%	23.6	21.7	2.5	n.m.	n.m.	n.m.	n.m.	2.4	2.6	2%	1%	3%	2%	John Ivankoe
Starbucks	SBUX US	OW	108,416	861	95.16	95.00	0%	5%	17%	40.9	32.2	1.2	n.m.	n.m.	n.m.	n.m.	2.7	2.8	-1%	11%	13%	13%	John Ivankoe
Yum! Brands	YUM US	OW	42,725	295	153.88	160.00	4%	8%	11%	23.0	20.6	1.8	n.m.	n.m.	n.m.	n.m.	2.0	2.2	0%	1%	11%	2%	John Ivankoe
Restaurant Brands	QSR US	OW	30,760	188	67.44	77.00	14%	3%	9%	16.8	15.5	1.9	5.6	5.3	34.1	34.6	3.8	4.0	-1%	-2%	2%	-1%	John Ivankoe
JDE Peet's	JDEP NA	N	18,476	2	31.64	31.85	1%	3%	3%	17.0	15.7	2.0	1.3	1.3	7.3	7.6	2.4	2.5	0%	-1%	0%	-1%	Celine Pannuti
Dutch Bros	BROS US	OW	9,454	215	57.44	72.00	25%	24%	31%	65.3	49.9	1.6	10.4	8.2	10.2	18.1	n.m.	n.m.	-6%	-11%	-1%	-6%	John Ivankoe
Simple average										31.1	25.9	1.8	5.8	4.9	17.2	20.1	2.7	2.8					
Market cap weighted average										28.0	24.1	2.0	0.7	0.6	3.0	3.2	2.5	2.6					

Note: Revenue, EPS CAGR and valuation multiples based on Bloomberg consensus. Prices as of 29 Jan 2026 for Asia stocks, 28 Jan for non-Asia stocks.
Source: Bloomberg Finance L.P., J.P. Morgan estimates. Bloomberg consensus estimates used for stocks Not Covered (NC).

Key thesis

On the demand side, coffee and tea have transitioned from an elite status symbol to an accessible daily commodity – and the most affordable treat delivering “emotional value”. Penetration is still very low in China, at 22 cups of coffee per capita p.a. vs. over 300 cups in the US, Japan and South Korea.

On the supply side, the top 8 companies dominate with 25% of total outlets by 2025 (vs 10% in 2022, JPMe). Looking forward, low-tier cities (2024-28E store count CAGR 20%+) and mid- to low-priced (<Rmb 20) segments (GMV CAGR of c.20%) will be the key growth areas and battlefield.

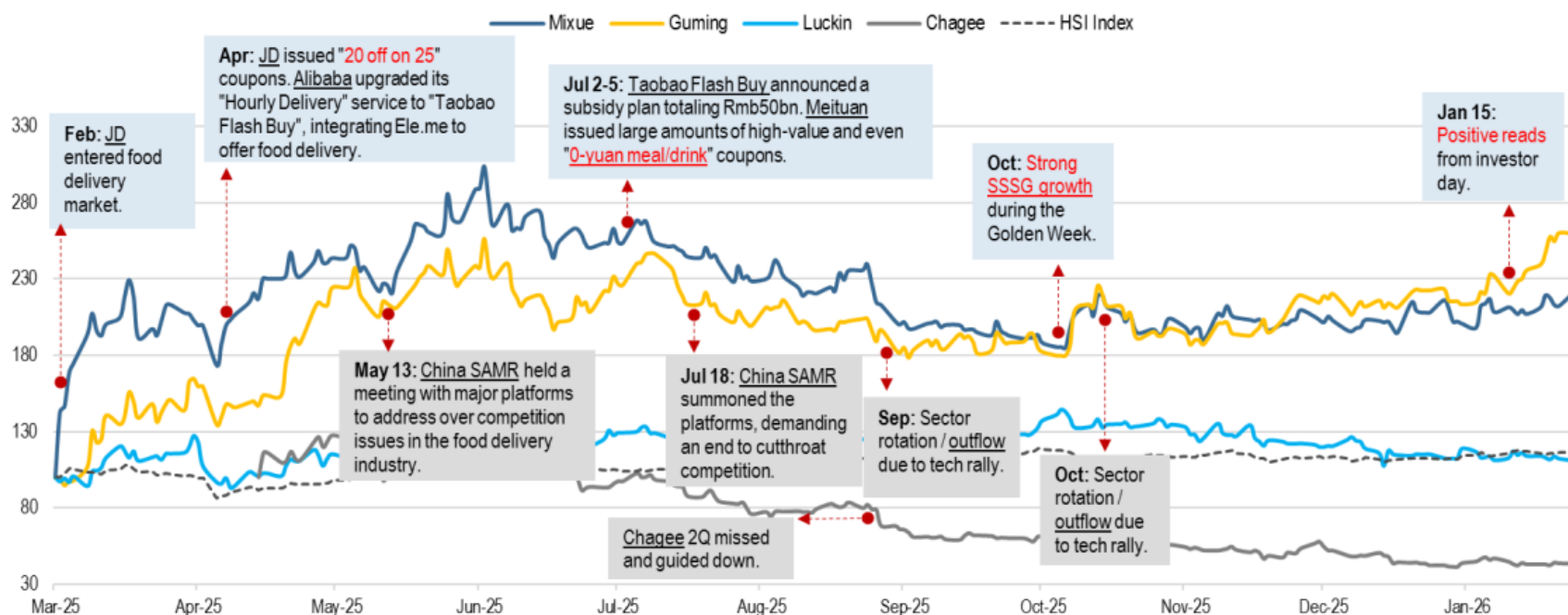
Order of preference: Luckin (OW) & Guming (OW) > Mixue (OW) & Nongfu (OW) > Eastroc Beverage (N) > CR Beverage (N) > Chagee (UW).

- **Well-rounded players take all:** Entry barriers are fairly low for a small business, but to secure a meaningful position with decent margins, we see all of these factors as critical: attractive pricing, supply chain, product innovation and the ability to create buzz. **Scale and store unit economics (UE) are the key to watch:** we expect Mixue, Luckin and Guming to extend their fast pace into 2026 (net opens 9k, 4.8k and 3.5k, respectively) with healthy store UE.
- **Catalysts to watch:** **(1)** New product launches and branching into new categories (coffee, milk, finger food) – how much this can help with user acquisition and repurchase rate? **(2)** the new Starbucks China targets 20k stores in China (vs 8k now) and may bring more competition to the low-tier market; **(3)** Luckin, Chagee and Mixue entered the US (collectively) in 2025, unveiling a new chapter.

Share price recap

- Due to the delivery subsidy campaign (Jul-Aug/Oct peak), sector performance has diverged from fundamentals since June 2025, with share prices retreating 30%-60% from peak to trough vs robust SSSG (e.g. Guming 1H25/3Q25 SSSG +22%/c.20%; Luckin 1Q/2Q/3Q SSSG +8%/13%/14%).
- Considering new initiatives YTD (branching into coffee, bakery, desserts, and longer operating hours), we are more bullish than consensus for 2026, which could be better than feared for leading players.

Recap of recent share price performance and key events for FMD stocks

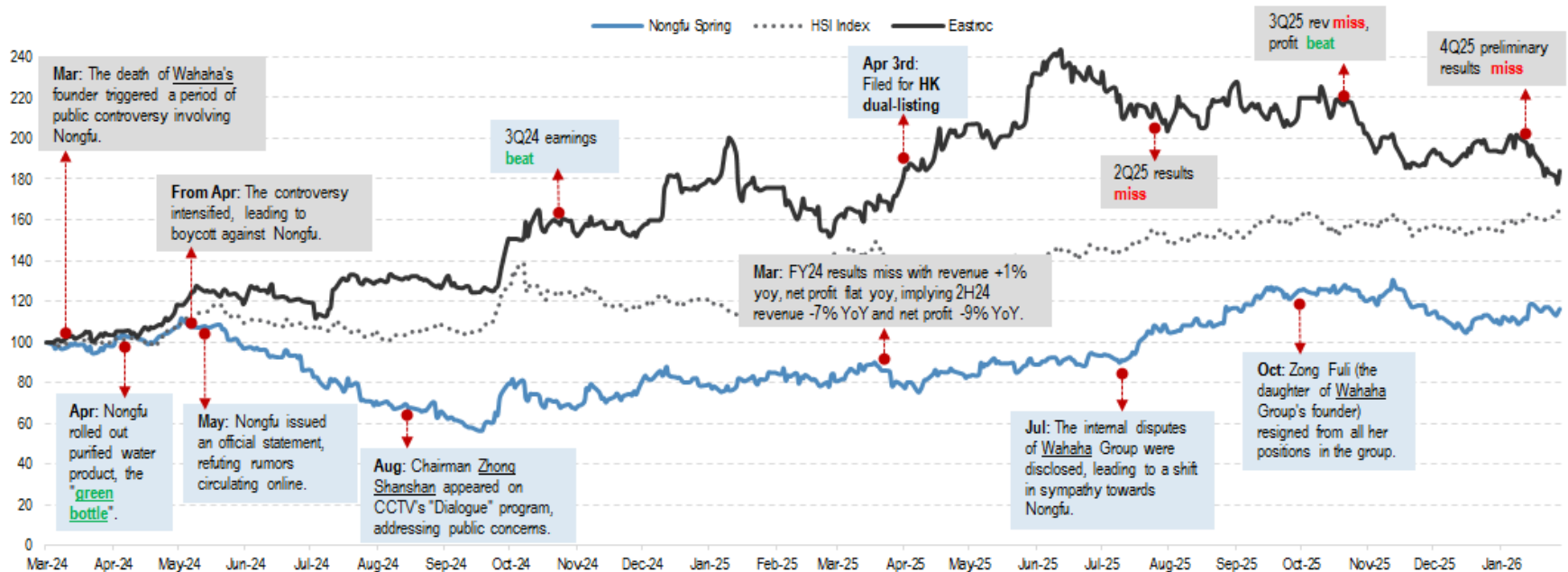


Note: Chagee was listed on 17 Apr 2025.
Source: Bloomberg Finance L.P., J.P. Morgan.

Share price recap

- Eastroc quarterly results missed market expectations for three consecutive quarters. Current buy side consensus for energy drink growth is +15% yoy for 2026 and +10% yoy for 2027.
- Nongfu share price more than doubled from the trough (Sep-2024), trading between 25-30x forward P/E in a normalized competition environment.

Recap of recent share price performance and key events for Nongfu Spring & Eastroc



Source: Bloomberg Finance L.P., J.P. Morgan.

Key metrics at a glance

Key operating metrics and key financials comparison – FMD players

Rmb mn	Luckin				Guming				Mixue				Chagee			
	2023	2024	2025e	2026e	2023	2024	2025e	2026e	2023	2024	2025e	2026e	2023	2024	2025e	2026e
Store network																
Total store #	16,248	22,340	30,764	36,730	9,001	9,914	13,214	16,714	37,565	46,479	56,029	65,029	3,511	6,440	7,410	7,925
YoY%	98%	37%	38%	19%	35%	10%	33%	26%	30%	24%	21%	16%	223%	83%	15%	7%
Franchise store #	5,620	7,749	10,782	13,169	8,995	9,907	13,206	16,705	37,516	46,458	56,012	65,012	3,472	6,271	7,021	7,516
Directly-operated store #	10,628	14,591	19,982	23,562	6	7	8	9	49	21	17	17	39	169	389	409
Net open YoY	8,034	6,092	8,424	5,966	2,332	913	3,300	3,500	8,582	8,914	9,550	9,000	2,424	2,929	970	515
Franchise store #	3,058	2,129	3,033	2,387	2,331	912	3,299	3,499	8,587	8,942	9,554	9,000	2,415	2,799	750	495
Directly-operated store #	4,976	3,963	5,391	3,580	1	1	1	1	-5	-28	-4	0	9	130	220	20
Store-level operating metrics																
Avg daily cups sold	431	411	445	431	417	384	430	404	609	556	614	589	800	837	521	469
YoY%	21%	-5%	8%	-3%	8%	-8%	12%	-6%	16%	-9%	10%	-4%	167%	5%	-38%	-10%
ASP per cup (Rmb)	14.0	13.5	13.3	13.0	16.3	16.9	17.3	17.1	6.5	6.8	6.9	6.9	20.1	20.4	20.4	20.4
YoY%	-7%	-3%	-1%	-2%	1%	4%	2%	-2%	-1%	6%	1%	0%	2%	1%	0%	0%
Daily GMV (Rmb)	6,018	5,545	5,906	5,588	6,800	6,500	7,455	6,902	3,940	3,799	4,226	4,066	16,090	17,057	10,622	9,560
YoY%	13%	-8%	7%	-5%	10%	-4%	15%	-7%	15%	-4%	11%	-4%	172%	6%	-38%	-10%
SSSG	21.0%	-16.7%			9.4%	-1.5%			not disclosed				94.9%	2.7%		
Revenue breakdown																
Total revenue	24,903	34,475	50,639	58,733	7,676	8,791	12,139	14,633	20,302	24,829	32,594	36,955	4,640	12,406	12,640	12,785
- Sales of goods	4,158	5,539	7,118	8,103	5,778	6,563	8,551	10,493	19,160	23,452	30,958	35,180	3,585	9,891	9,918	9,545
- Sales of equipment	877	588	866	697	366	465	1,155	1,211	737	756	830	808	563	898	241	159
- Franchise management	1,191	1,618	3,833	3,664	1,519	1,750	2,416	2,914	406	620	806	967	248	843	1,127	1,232
- Revenue from direct-operated stores	18,677	26,730	38,821	46,268	12	14	16	15	-	-	-	-	244	773	1,355	1,849
YoY change	87%	38%	47%	16%	38%	15%	38%	21%	50%	22%	31%	13%	844%	167%	2%	1%
- Sales of goods	107%	33%	29%	14%	35%	14%	30%	23%	53%	22%	32%	14%	926%	176%	0%	-4%
- Sales of equipment	215%	-33%	47%	-20%	65%	27%	149%	5%	-2%	3%	10%	-3%	1300%	59%	-73%	-34%
- Franchise management	53%	36%	137%	-4%	45%	15%	38%	21%	47%	53%	30%	20%	1102%	240%	34%	9%
- Revenue from direct-operated stores	83%	43%	45%	19%	26%	16%	15%	-7%	-	-	-	-	200%	217%	75%	36%
% of total																
- Sales of goods	17%	16%	14%	14%	75%	75%	70%	72%	94%	94%	95%	95%	77%	80%	78%	75%
- Sales of equipment	4%	2%	2%	1%	5%	5%	10%	8%	4%	3%	3%	2%	12%	7%	2%	1%
- Franchise management	5%	5%	8%	6%	20%	20%	20%	20%	2%	2%	2%	3%	5%	7%	9%	10%
- Revenue from direct-operated stores	75%	78%	77%	79%	0%	0%	0%	0%	-	-	-	-	5%	6%	11%	14%

Source: Company data, J.P. Morgan estimates.

Key metrics at a glance

Key operating metrics and key financials comparison – FMD players (cont'd)																
Rmb mn	Luckin				Guming				Mixue				Chagee			
	2023	2024	2025e	2026e	2023	2024	2025e	2026e	2023	2024	2025e	2026e	2023	2024	2025e	2026e
Margin profile																
Gross margin	56.3%	59.1%	61.4%	60.0%	31.3%	30.6%	31.5%	31.2%	29.5%	32.5%	32.0%	32.0%	44.8%	49.6%	53.2%	52.5%
- yoy chg	-4.8%	2.8%	2.3%	-1.4%	3.2%	-0.7%	0.9%	-0.3%	1.2%	2.9%	-0.5%	0.0%	6.5%	4.8%	3.6%	-0.7%
Total Opex	5,127	7,162	12,661	12,704	818	1,023	1,305	1,544	2,014	2,459	3,229	3,564	625	2,222	3,596	2,881
Selling & distribution expenses	3,297	4,741	9,603	9,248	337	479	662	798	1,319	1,599	2,100	2,291	262	1,109	1,320	1,310
Admin expenses	1,830	2,420	3,058	3,456	283	311	388	454	611	755	1,024	1,161	363	1,113	2,275	1,570
R&D expenses					199	233	255	293	85	105	105	112				
Total Opex as % of revenue	21%	21%	25%	22%	11%	12%	11%	11%	10%	10%	10%	10%	13%	18%	28%	23%
Selling & distribution expenses	13%	14%	19%	16%	4%	5%	5%	5%	6%	6%	6%	6%	6%	9%	10%	10%
Admin expenses	7%	7%	6%	6%	4%	4%	3%	3%	3%	3%	3%	3%	8%	9%	18%	12%
R&D expenses					3%	3%	2%	2%	0.4%	0.4%	0%	0%				
Core EBIT	3,026	3,554	5,350	7,159	1,585	1,664	2,518	3,021	3,985	5,601	7,201	8,262	1,074	2,887	1,541	2,122
YoY%	162%	17%	51%	34%	60%	5%	51%	20%	57%	41%	29%	15%		169%	-47%	38%
EBIT margin	12.2%	10.3%	10.6%	12.2%	20.7%	18.9%	20.7%	20.6%	19.6%	22.6%	22.1%	22.4%	23.1%	23.3%	12.2%	16.6%
- yoy chg	3.5%	-1.8%	0.3%	1.6%	2.9%	-1.7%	1.8%	-0.1%	0.9%	2.9%	-0.5%	0.3%	46.7%	0.1%	-11.1%	4.4%
Reported net profit	2,848	2,932	3,876	5,181	1,080	1,479	2,733	2,735	3,137	4,437	5,847	6,744	801	2,516	1,308	1,814
YoY%	483%	3%	32%	34%	194%	37%	85%	0%	57%	41%	32%	15%		214%	-48%	39%
Net margin	11%	9%	8%	9%	14%	17%	23%	19%	15%	18%	18%	18%	17%	20%	10%	14%
- yoy chg	8%	-3%	-1%	1%	7%	3%	6%	-4%	1%	2%	0%	0%	36%	3%	-10%	4%
Adjusted net profit	3,174	3,298	4,471	5,827	1,442	1,548	2,342	2,805	3,207	4,519	5,885	6,764	917	2,517	2,065	1,964
YoY%	203%	4%	36%	30%	84%	7%	51%	20%	58%	41%	30%	15%		174%	-18%	-5%
Net margin	12.7%	9.6%	8.8%	9.9%	18.8%	17.6%	19.3%	19.2%	15.8%	18.2%	18.1%	18.3%	19.8%	20.3%	16.3%	15.4%
- yoy chg	4.9%	-3.2%	-0.7%	1.1%	4.7%	-1.2%	1.7%	-0.1%	0.9%	2.4%	-0.1%	0.2%	37.4%	0.5%	-3.9%	-1.0%

Source: Company data, J.P. Morgan estimates.

Key metrics at a glance

Key operating metrics and key financials comparison – Beverage players												
Rmb mn	Nongfu				Eastroc				China Resources Beverage			
	2023A	2024A	2025e	2026e	2023A	2024A	2025e	2026e	2023A	2024A	2025e	2026e
Growth Driver												
Revenue	42,667	42,896	50,251	56,462	11,263	15,839	21,092	25,710	13,515	13,521	11,278	12,183
Water	20,262	15,952	18,209	20,056	-	-	-	-	12,447	12,124	9,635	10,282
Tea	12,659	16,745	20,102	23,118	520	1,023	1,787	2,497	1,068	1,397	1,643	1,900
Juice	3,534	4,085	4,943	5,536	-	-	-	-	-	-	-	-
Functional drinks	4,902	4,932	5,643	6,264	10,336	13,304	15,900	18,548	-	-	-	-
Others	1,311	1,182	1,353	1,489	407	1,512	3,404	4,666	-	-	-	-
Revenue mix												
Water	47%	37%	36%	36%	-	-	-	-	92%	90%	85%	84%
Tea	30%	39%	40%	41%	5%	6%	8%	10%	8%	10%	15%	16%
Juice	8%	10%	10%	10%	-	-	-	-	-	-	-	-
Functional drinks	11%	11%	11%	11%	92%	84%	75%	72%	-	-	-	-
Others	3%	3%	3%	3%	4%	10%	16%	18%	-	-	-	-
Revenue yoy (%)	28.4%	0.5%	17.1%	12.4%	32.4%	40.6%	33.2%	21.9%	7.1%	0.0%	-16.6%	8.0%
Water	10.9%	-21.3%	14.1%	10.1%	-	-	-	-	4.5%	-2.6%	-20.5%	6.7%
Tea	83.3%	32.3%	20.1%	15.0%	63.1%	96.7%	74.7%	39.7%	49.0%	30.8%	17.6%	15.6%
Juice	22.7%	15.6%	21.0%	12.0%	-	-	-	-	-	-	-	-
Functional drinks	27.7%	0.6%	14.4%	11.0%	26.5%	28.7%	19.5%	16.6%	-	-	-	-
Others	-3.2%	-9.8%	14.5%	10.0%	26.5%	28.7%	19.5%	16.6%	-	-	-	-
Margin profile												
Gross profit	25,407	24,916	29,749	33,764	4,851	7,097	9,539	11,685	6,035	6,397	5,118	5,595
Gross margin (%)	59.5%	58.1%	59.2%	59.8%	43.1%	44.8%	45.2%	45.5%	44.7%	47.3%	45.4%	45.9%
Operating Expenses												
Total Opex	(11,446)	(11,136)	(12,060)	(13,240)	(2,379)	(3,169)	(4,010)	(4,733)	(4,449)	(4,407)	(4,071)	(4,203)
Selling & distribution expenses	(9,284)	(9,173)	(9,799)	(10,982)	(1,956)	(2,681)	(3,375)	(4,036)	(4,087)	(4,058)	(3,722)	(3,838)
Admin & R&D	(2,162)	(1,962)	(2,261)	(2,258)	(423)	(488)	(635)	(697)	(362)	(349)	(350)	(365)
Total Opex % of revenue	-26.8%	-26.0%	-24.0%	-23.5%	-21.1%	-20.0%	-19.0%	-18.4%	-32.9%	-32.6%	-36.1%	-34.5%
Selling & distribution expenses	-21.8%	-21.4%	-19.5%	-19.5%	-17.4%	-16.9%	-16.0%	-15.7%	-30.2%	-30.0%	-33.0%	-31.5%
Admin & R&D	-5.1%	-4.6%	-4.5%	-4.0%	-3.8%	-3.1%	-3.0%	-2.7%	-2.7%	-2.6%	-3.1%	-3.0%
Core EBIT	14,797	15,013	18,744	21,484	2,351	3,768	5,297	6,669	1,587	1,990	1,046	1,392
EBIT yoy (%)	40.9%	1.5%	24.8%	14.6%	33.7%	60.2%	40.6%	25.9%	48.7%	25.4%	-47.4%	33.0%
EBIT margin (%)	34.7%	35.0%	37.3%	38.1%	20.9%	23.8%	25.1%	25.9%	11.7%	14.7%	9.3%	11.4%

Source: Company data, J.P. Morgan estimates.

Demand side: Educated, addicted, inspired

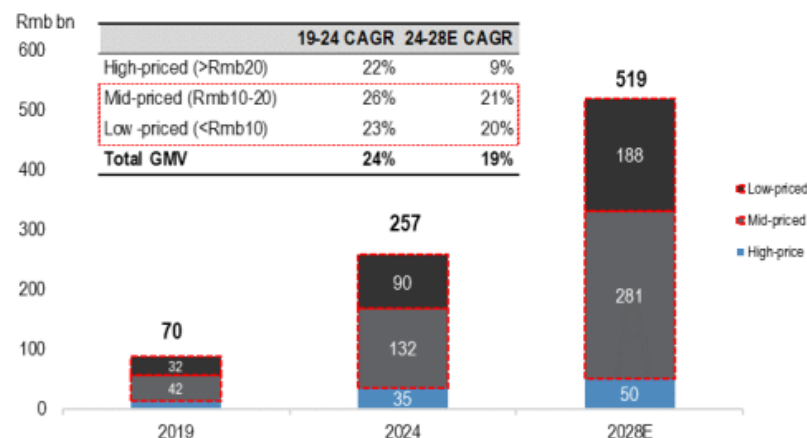
Modern-day coffee culture was first introduced to China in 1999, by Starbucks. Drinking coffee in a modern coffee house was initially seen as a very trendy and status-oriented activity. However, **perceptions have dramatically shifted since the late-2010s**. The rise of domestic brands such as **Luckin** (founded in 2017) and **Cotti** (founded in 2022), along with local tea chains (**Heytea, Mixue, Guming**, whose growth accelerated from 2019), offering **low-priced** freshly made drinks, has driven prices down significantly. With Rmb9.9 (\$1.4) coffee and freshly made tea becoming commonplace (vs a Starbucks latte priced at Rmb30-40), **coffee has transitioned from an elite status symbol to an accessible daily commodity**.

■ The new “moutai” for the younger generation

- **Coffee & tea and baijiu in common:** Stimulants, dopamine release, and quick stress relief.
- **Annual coffee consumption per capita** in China grew by +25% CAGR from 9 cups in 2020 to over 22 cups in 2024
- **Beyond a cup** – an affordable treat that can bring “emotional value”.
- **Playability to show lifestyle and identity.** Customizable options (e.g. sugar level, toppings) allow for self-expression and make each drink unique. Sharing or gifting milk tea strengthens friendships, and is a popular topic for conversation and social media posts, helping users connect, show belonging and express identity.

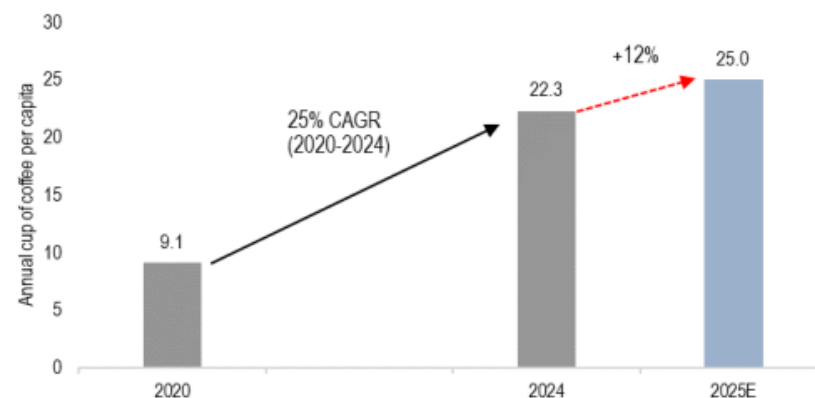
Low- and mid-priced freshly made drinks (below Rmb20) are the major growth drivers

Total GMV of FMD sector in China



Source: CIC, J.P. Morgan estimates.

Annual coffee consumption per capita increased at a 25% CAGR over the past 4 years; set to grow further in double digits

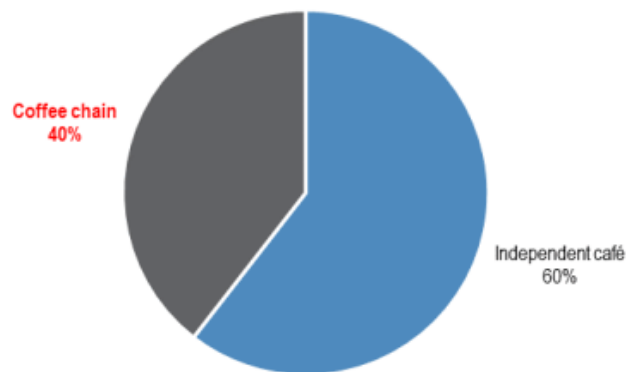


Source: Canyin88, J.P. Morgan estimates.

Supply side: Expansion, acceleration, consolidation

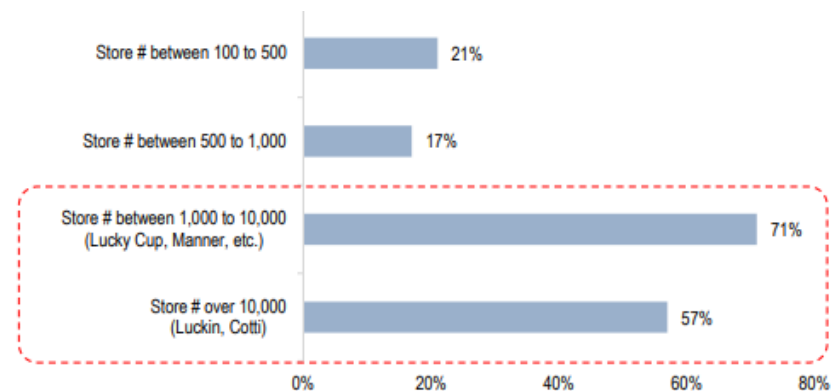
- **Low entry barrier.** Porter's five forces analysis would probably tell investors "don't bother", given the absence of barriers to entry and customer loyalty. China's total number of tea/coffeehouses has been stable at around 600k for over two years, with ~100k store openings and a similar number of closures, according to Zhaimen.
- **But we've seen significant consolidation**, with leading brands (Mixue, Luckin, Guming) **accelerating** expansion in the past 1-2 years; CR8 accounts for about one-quarter of total outlets today vs a mere 10% in 2022, on our estimates. We estimate a chain penetration rate of ~40% in the coffee segment, which suggests plenty of potential upside for the leading players.
- **Leading specialty chains have accelerated store expansion in 2025**, as data show that the above-scale companies with existing store numbers above 1k and 10k have grown their store count by 71% and 57% YoY in the trailing 12 months (Oct-2025), respectively, significantly outpacing smaller players.

Current chain penetration rate at ~40% in China's coffee segment, implying plenty of upside



Source: J.P. Morgan estimates.

Above-scale players grew store count by >50% YoY in the past 12 months, significantly outpacing smaller players



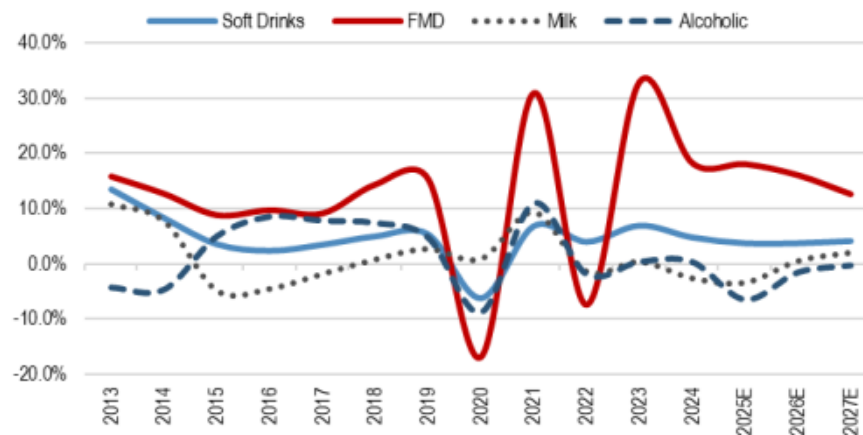
Note: Data as of Oct 2025.
Source: Canyin88, J.P. Morgan.

The dynamics of consumer ‘belly share’

- An adult can typically take in around 2-3 liters of liquids every day, assuming no skipped meals. We have observed an ongoing structural trend with increasing penetration of packaged drinks; in China, tap water has dominated, and the penetration of packaged drinks is at ~14% of total (2023, according to CIC), vs. 60% in the United States.
- **Which beverage categories are losing “belly share” to freshly made bubble tea and freshly brewed coffee?** **Per-capita retail sales value** trends show that **FMD** and **soft drinks** significantly outpaced other beverage categories, with 9% and 13% 2019-24 CAGRs, respectively. **Non-alcoholic beverages** as a whole (+3.7% CAGR) outperformed **alcoholic** categories (+0.6% CAGR) over the period.
- We expect FMD and soft drink per capita consumption to deliver 12% and 4% CAGRs over 2025-30E.

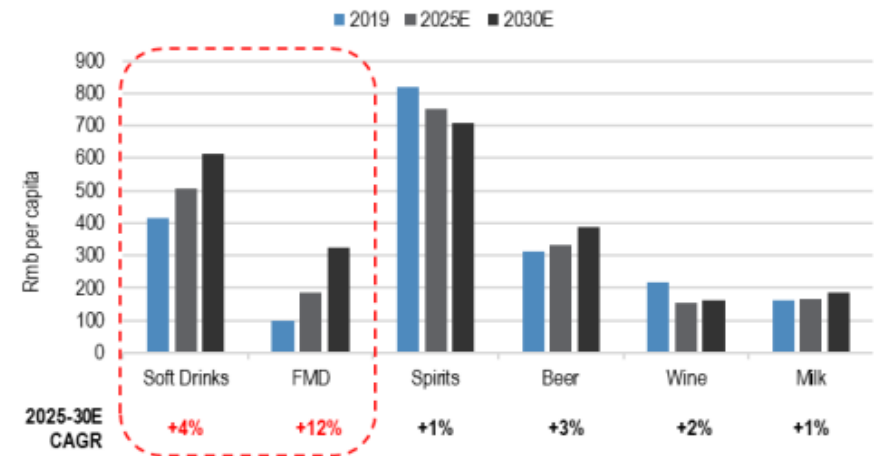
FMD and soft drinks are set to continue to outpace other categories

Retail sales value, YoY



Source: Euromonitor, J.P. Morgan estimates.

We expect FMD and soft drink per capita consumption to deliver 12% and 4% CAGRs over 2025-30E



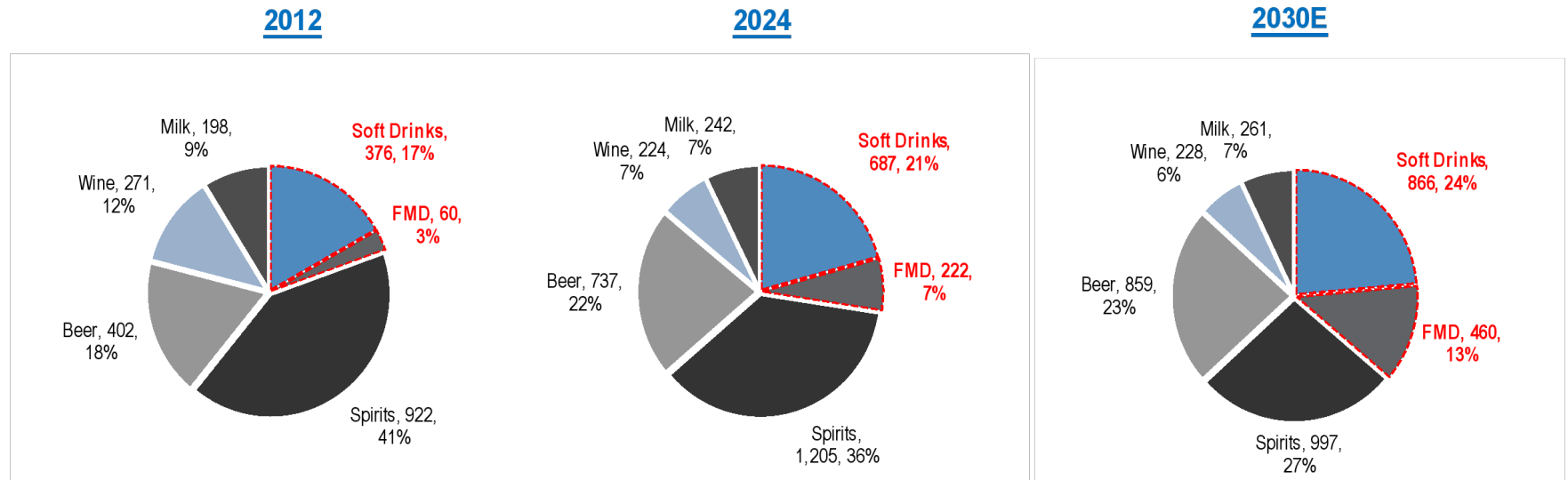
Source: Euromonitor, J.P. Morgan estimates.

The dynamics of consumer ‘belly share’

- In 2024, the China market size of the soft drink and FMD segments reached Rmb687bn and Rmb222bn, accounting for 21% and 7% of the pie (total beverage retail sales value, per Euromonitor), respectively.
- In 2025 YTD, we believe the **fresh coffee and tea consumer base received a further boost** from: **(1) accelerated store expansion** into low-tier cities; **(2) a stronger presence** from industry players after several IPOs this year (including Guming, Chagee, Chabaidao and Antea Jenny); and **(3) extra F&B delivery subsidies** from platforms (e.g. JD, Alibaba, Meituan). We expect FMD and soft drink per capita consumption to deliver 12% and 4% CAGRs over 2025-30E.
- In our 2030 belly share model, **soft drinks would take 24% of the pie (similar to baijiu), and FMD would double its share to Rmb460bn with 13% of the pie**, based on our forecasts.

Our “belly share” model shows the combined share of FMD and soft drinks reaching 37% by 2030E, from 20% in 2012 and 28% in 2024

Total retail sales value (Rmb bn)



Source: Euromonitor, J.P. Morgan estimates

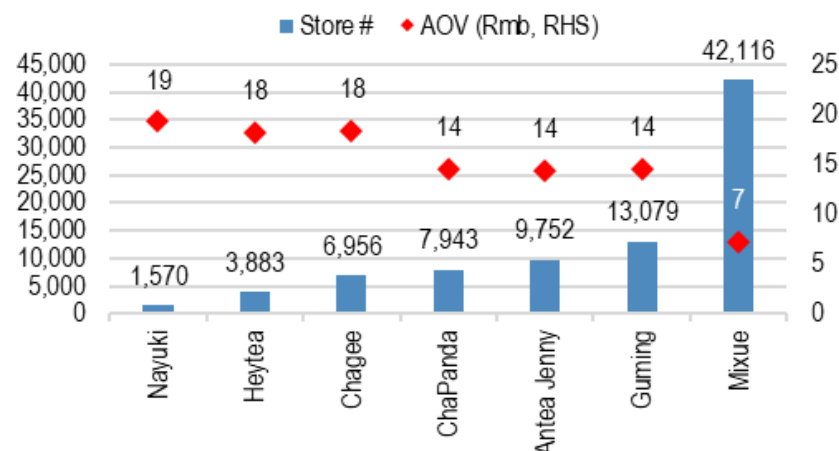
Competitive landscape

What is the real moat?

1) Affordability & scale (availability)

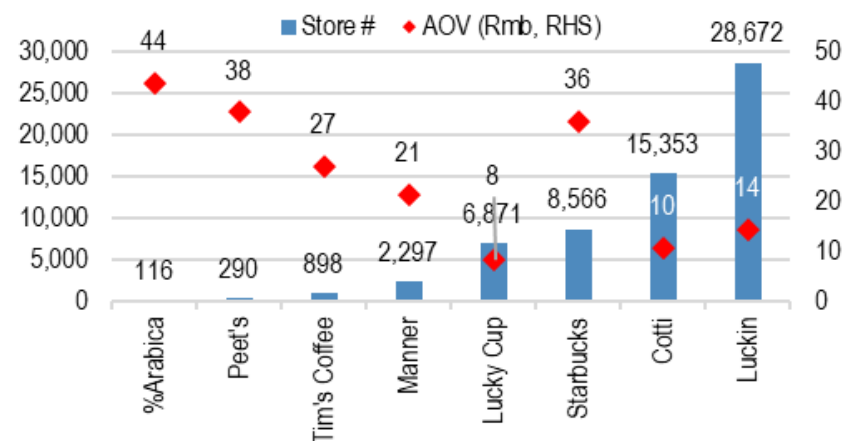
- **A foundation for higher penetration and market share gains.** The current store network in China points to a very high correlation between pricing and scale. Chinese consumers are highly price sensitive for non-staple goods, and this is further amplified during a deflationary period.
- In the tea and coffee retail business, **Mixue** (and its Lucky Cup brand), **Cotti** and **Luckin** have collectively deployed this strategy in the past few years with aggressive low-price offerings and/or long-lasting, large-scale promotions.

Store count vs average ticket size – tea brands



Note: All store # data as of end-Dec 2025, per Zhaimen
Source: Zhaimen, J.P. Morgan.

Store count vs average ticket size – coffee brands



Note: All store # data as of end-Dec 2025, per Zhaimen
Source: Zhaimen, J.P. Morgan.

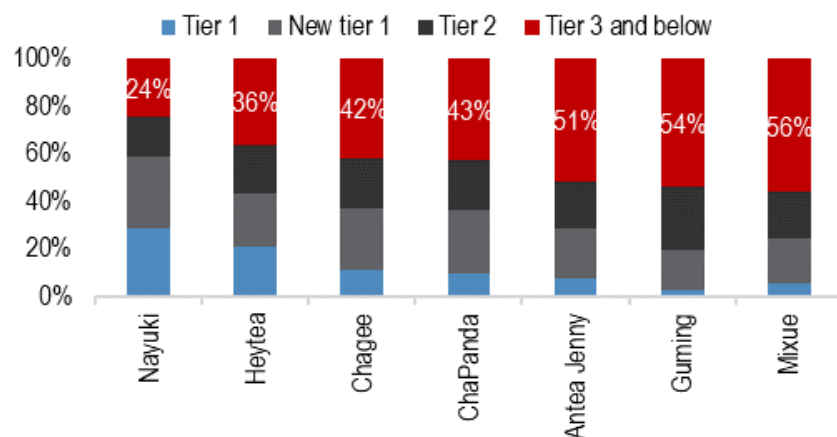
Competitive landscape

What is the real moat?

1) Affordability & scale (availability)

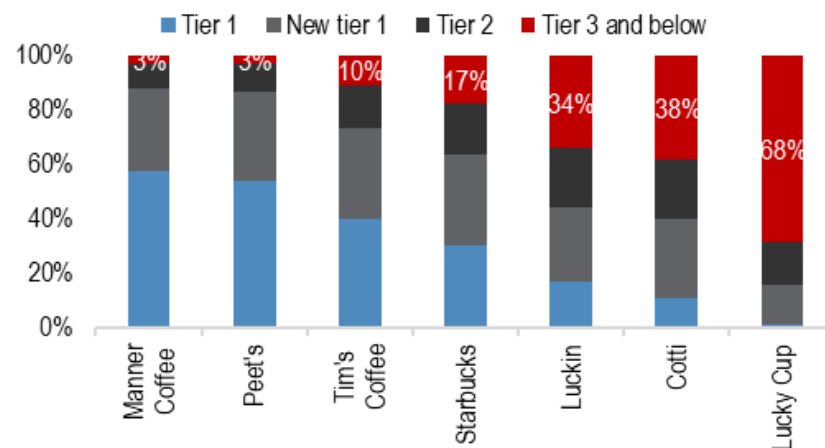
- A faster pace of expansion, especially into lower-tier markets, provides better availability for consumers in under-penetrated markets. The early movers also enjoy advantages in consumer perception.
- Mixue Group is clearly a leading player, with tier-3 and below store counts of 68% / 56% for **Lucky Cup** brand and **Mixue** brand. **Guming** is also leading peers, as it is rooted in and well penetrated in low-tier markets in the coastal provinces.

Store distribution by city tier – tea brands



Note: Data as of end-Dec 2025.
Source: Zhaimen, J.P. Morgan.

Store distribution by city tier – coffee brands



Note: Data as of end-Dec 2025.
Source: Zhaimen, J.P. Morgan.

Competitive landscape

What is the real moat?

2) Supply chain

- As the industry evolves towards a healthier product lineup over time, we believe short shelf-life fruit, fresh milk and tea will make up a higher portion of products. Fast-growing distribution networks and a longer delivery radius also give rise to questions about supply-chain management. In a period of fast expansion, we think the supply chain is critical.
- Guming** has a leading advantage among peers. **Guming** has 22 warehouses and more than 300 vehicles equipped with specialized equipment that can precisely control temperature throughout the process, enabling two-day cold-chain delivery in China to 97% of stores every two days (industry average: four days).

3) Branding & marketing

While not denying the importance of brand equity in the long run, the current macro environment in China does not seem to support investments into branding in the short term. In our view, many companies stand out from their peers on this metric, and we put them into two different groups: 1) Premium brand image with large in-store space – Chagee, Starbucks. 2) Blockbuster SKUs, iconic IP and cross-overs – Luckin, Mixue.

Chagee's premium brand image and Mixue's well-recognized IP



2025 new collaboration products from Luckin and Starbucks



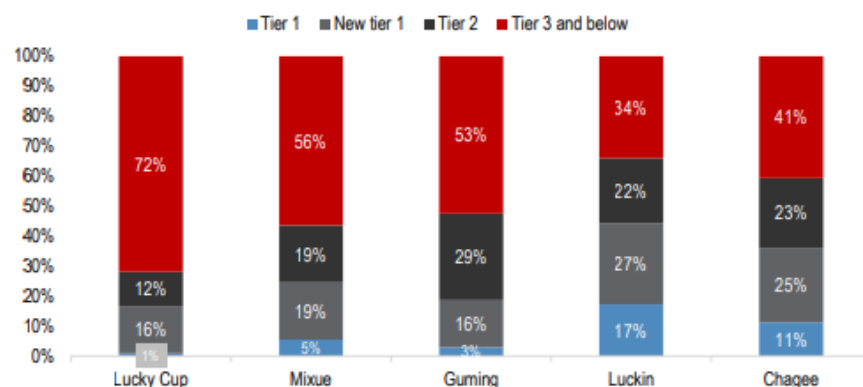
Source: Company prospectus, websites and apps.

Operational and financial comparison

Scale and store UE are the top two performance metrics.

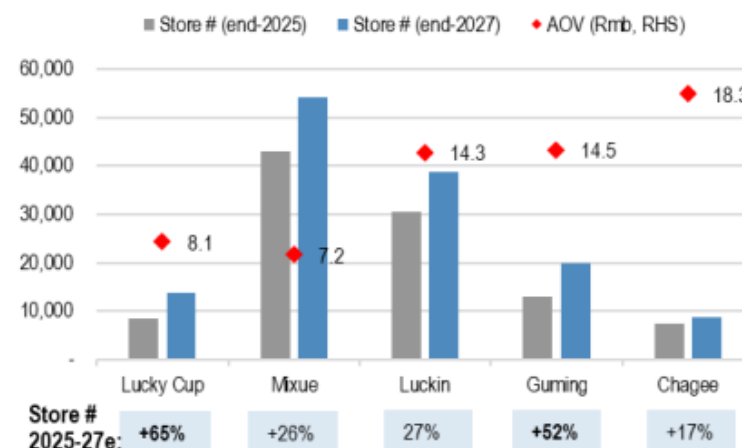
- **Mixue** has the largest scale with 53k stores by end of Jun-2025 and the highest low-tier market exposure (Mixue / Lucky Cup: 56% / 72% stores in tier-3 and below cities, per Zhaimen data).
- **Luckin Coffee** is the absolute leader in the coffee space in terms of scale with 26k stores by end of Jun-2025 (no. 2 in all FMD, only next to Mixue), thanks to its early-mover advantage and scale- and market share-oriented strategy.
- **There is a high correlation between scale and pricing**, which partly explains why Chagee's scale is much smaller than the others.
- **Scalability needs to be built on a solid store UE**, otherwise the chance of running off track will be high, and this could be damaging.

Mixue, Lucky Cup and Guming are more heavily skewed to low-tier markets than their peers



Source: Zhaimen, J.P. Morgan

We expect Guming and Lucky Cup to further grow store count by 50-65% in the next two years

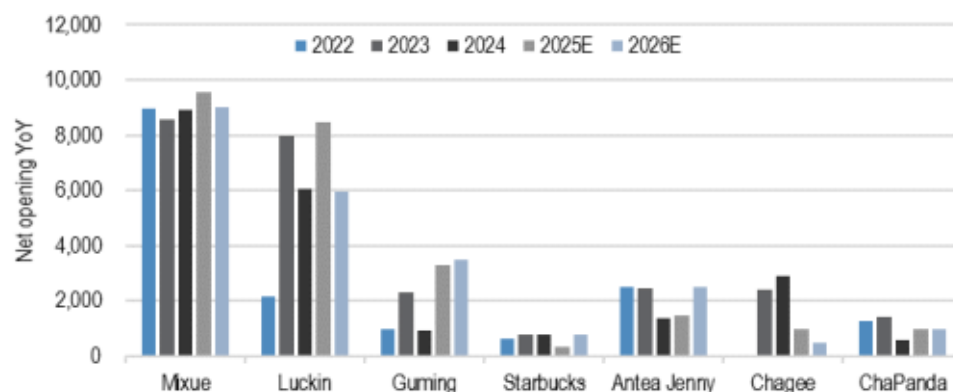


Source: J.P. Morgan estimates.

Operational and financial comparison

- We expect **Mixue** (including Lucky Cup) and **Luckin** to maintain their fast expansion pace into 2026.
- **Guming** is catching up very fast with a very balanced strategy and prudent operational management.
- The pace of **Chagee** and **Antea Jenny** has been moderating as they focus more on store UE while going through internal adjustments.
- **Starbucks China**, upon completion of its announced transaction with Boyu Capital, may need to review product and pricing.

Net store openings of key brands – Mixue and Luckin to maintain a fast pace; Guming to quickly catch up



Source: Company reports, J.P. Morgan, company guidance for Not Covered companies (Antea Jenny, ChaPanda)

Luckin has a higher mix of directly operated stores; Chagee will likely maintain 400+ direct stores; others among our coverage mainly rely on franchisees

Rmb mn	Luckin				Guming				Mixue				Chagee			
	2023	2024	2025e	2026e	2023	2024	2025e	2026e	2023	2024	2025e	2026e	2023	2024	2025e	2026e
Store network																
Total store #	16,248	22,340	30,764	36,730	9,001	9,914	13,214	16,714	37,565	46,479	56,029	65,029	3,511	6,440	7,410	7,925
YoY%	98%	37%	38%	19%	35%	10%	33%	26%	30%	24%	21%	16%	223%	83%	15%	7%
Franchise store #	5,620	7,749	10,782	13,169	8,995	9,907	13,206	16,705	37,516	46,458	56,012	65,012	3,472	6,271	7,021	7,516
Directly-operated store #	10,628	14,591	19,982	23,562	6	7	8	9	49	21	17	17	39	169	389	409
Net open YoY	8,034	6,092	8,424	5,966	2,332	913	3,300	3,500	8,582	8,914	9,550	9,000	2,424	2,929	970	515
Franchise store #	3,058	2,129	3,033	2,387	2,331	912	3,299	3,499	8,587	8,942	9,554	9,000	2,415	2,799	750	495
Directly-operated store #	4,976	3,963	5,391	3,580	1	1	1	1	-5	-28	-4	0	9	130	220	20

Source: Company data, J.P. Morgan estimates.

Operational and financial comparison

Franchisees care most about brand momentum, store traffic and profitability.

A lower entry-barrier, attractive margins and a shorter investment return period should be highly appreciated by franchisees.

- **Total initial investment**, which we consider a proxy for entry barriers, for each brand in descending order: **Chagee (Rmb 860k) > Guming (Rmb 460k including coffee machine) > Luckin (Rmb 415k) > Mixue (Rmb 330k).**
- **Operating margin:** Luckin self-operated stores (19%) > Chagee (18%) > Luckin partnership stores = Guming = Mixue (all 15-16%).
- **Return period:** Luckin's directly-operated stores (10 months) < Guming (14 months) < Chagee (15 months) < Luckin partnership stores = Mixue (19 months)

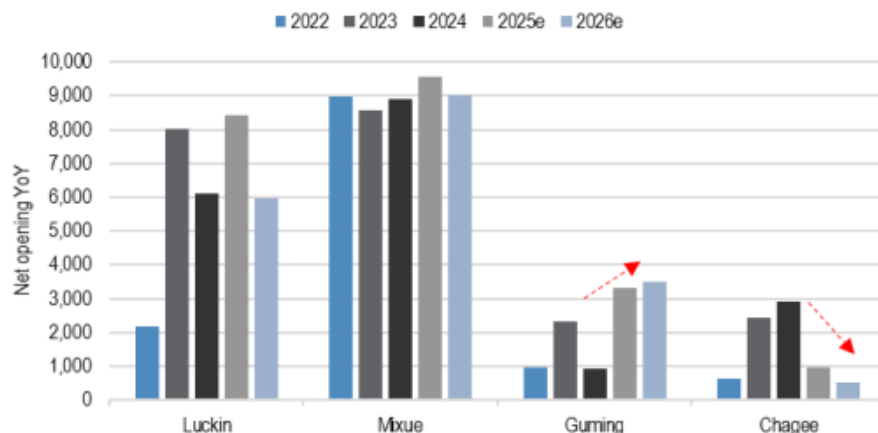
Store UE and return period comparison					
Rmb	Luckin		Mixue Franchisee	Guming Franchisee	Chagee Franchisee
	Partnership store	Self-op store			
Total initial investment	415,000	368,000	326,800	460,000	860,800
Initial capex	395,000	368,000	310,000	460,000	819,800
- Store renovation	100,000	130,000	100,000	100,000	400,000
- Purchase of equipments	160,000	160,000	120,000	200,000	150,000
- Purchase of goods	60,000	78,000	70,000	50,000	150,000
- Security deposits	75,000	-	20,000	10,000	50,000
- Initial franchise fee	-	-	-	100,000	69,800
Recurring annual fee	20,000		16,800	33,333	41,000
- Franchise fee	-		10,000	33,333	38,000
- Management/training & others	20,000		6,800	-	3,000
Daily cups sold	387	500	614	430	550
ASP (Rmb)	12.5	12.5	6.9	17.3	20.0
Daily GMV	4,847	6,267	4,226	7,455	11,000
Monthly GMV	145,400	188,017	126,774	223,642	330,000
Gross profit	63,976	82,728	44,371	89,457	158,400
<i>Gross margin</i>	<i>44.0%</i>	<i>44.0%</i>	<i>35.0%</i>	<i>40.0%</i>	<i>48.0%</i>
Monthly Opex	41,333	46,534	25,750	54,792	99,000
Labor cost	20,500	26,792	18,750	24,601	39,600
<i>Labor cost as % of GMV</i>	<i>14.1%</i>	<i>14.3%</i>	<i>14.8%</i>	<i>11.0%</i>	<i>12.0%</i>
Rental cost	15,833	14,101	5,000	11,182	26,400
<i>Rental cost as % of GMV</i>	<i>10.9%</i>	<i>7.5%</i>	<i>3.9%</i>	<i>5.0%</i>	<i>8.0%</i>
Utility & other cost	5,000	5,641	2,000	19,010	33,000
<i>Utility & others as % of GMV</i>	<i>3.4%</i>	<i>3.0%</i>	<i>1.6%</i>	<i>8.5%</i>	<i>10.0%</i>
Operating profit	22,643	36,193	18,621	34,664	59,400
<i>Operating margin</i>	<i>15.6%</i>	<i>19.3%</i>	<i>14.7%</i>	<i>15.5%</i>	<i>18.0%</i>
Recurring annual fee	20,000	-	16,800	33,333	41,000
Annualized net profit	251,713	434,320	206,651	382,640	671,800
Investment return period (month)	20	10	19	14	15

Note: Initial investment per company website; calculations based on channel checks and our estimates. As of the latest available data for each brand.

Source: Company data, J.P. Morgan estimates.

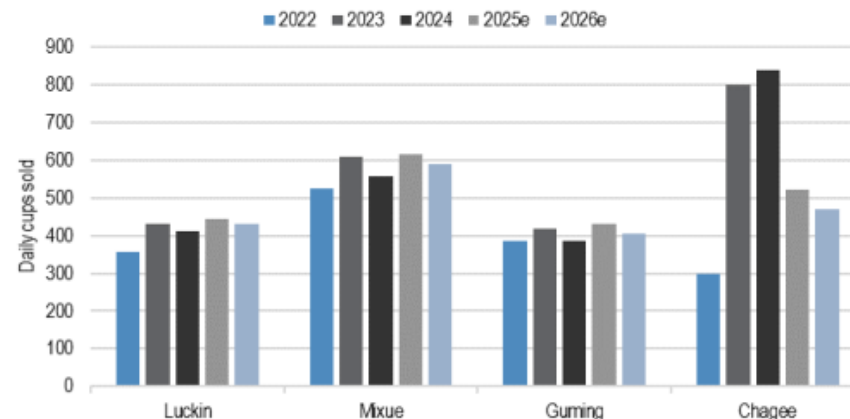
Operational and financial comparison

Net opening pace diverging – Guming accelerating, Luckin moderating, Chagee to slow down (focusing more on store UE)



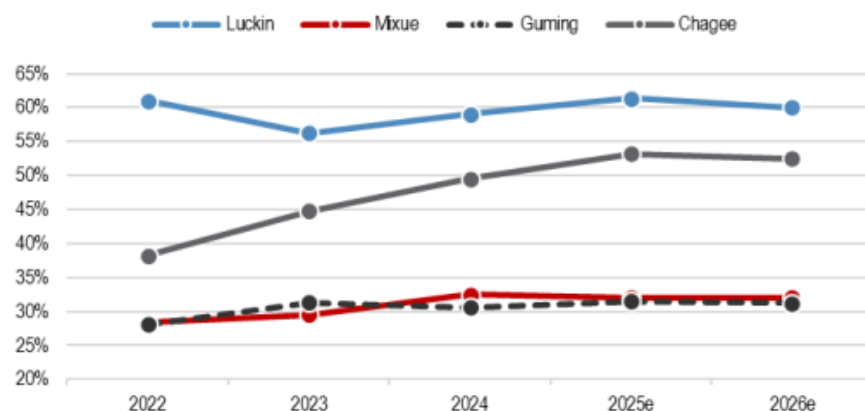
Source: Company data, J.P. Morgan estimates.

Daily cups sold boosted by delivery subsidies (Alibaba, Meituan, JD) in 2025 – a high base for the year ahead



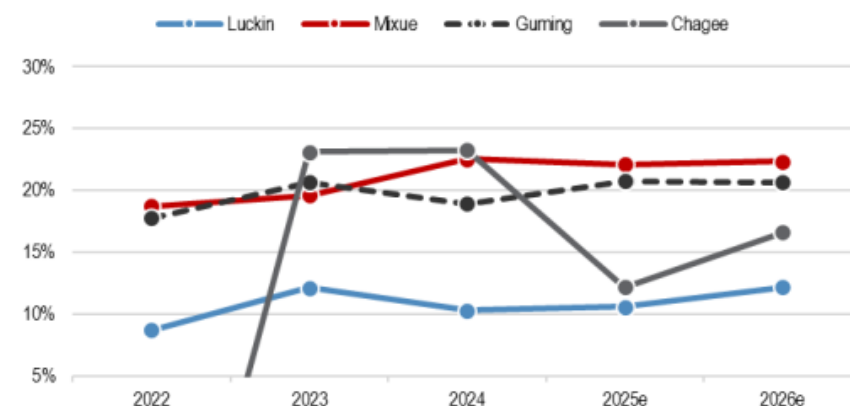
Source: Company data, J.P. Morgan estimates.

Gross margins to be largely maintained (ex-Chagee) – improvement yoy on economies of scale



Source: Company data, J.P. Morgan estimates.

Operating margin to stay largely stable; Chagee to see a dip in 2025 due to upfront cost for overseas market



Source: Company data, J.P. Morgan estimates.

Catalysts ahead

1) Innovation, expansion, fusion

- FMD companies have pushed **product innovation** to new heights in 2025. Third-party surveys show there were an average of 2.5-2.6 new SKUs launched per month per brand.
- We estimate that new launches from **Luckin** and **Cotti** could reach 120 and 100 in full-year 2025, respectively. Other local players including **Heytea** and **Guming** could roll out over 50 new SKUs in 2025, far above international brands (Starbucks & Peet's around or below 30).
- Category expansion:** More brands are branching into coffee, milk, bakery and light meals, including Mixue, Guming, etc..

Survey results show an average of 2.5-2.6 new SKUs per brand per month in 2025 YTD

	Teahouse	Coffeeshouse	Coffee	Non-coffee
Surveyed brand # (sample size)	73	32		
No. of total new SKUs	1,305	707	539	168
New SKU# per brand in the period	18	22	17	5
New SKU# per brand per month	2.6	2.5	1.9	0.6
- Manner Coffee		4.2		
- Peet's		2.7		
- Cotti		2.0		
- Lucky Cup		1.6		
- Luckin		1.2		

Note: As of 9M25.

Source: Canyin 88, J.P. Morgan estimates.

Our reading from Manner and Heytea's 2025 new SKUs? With fusion everything is possible



Source: Company websites, Company Apps, J.P. Morgan.

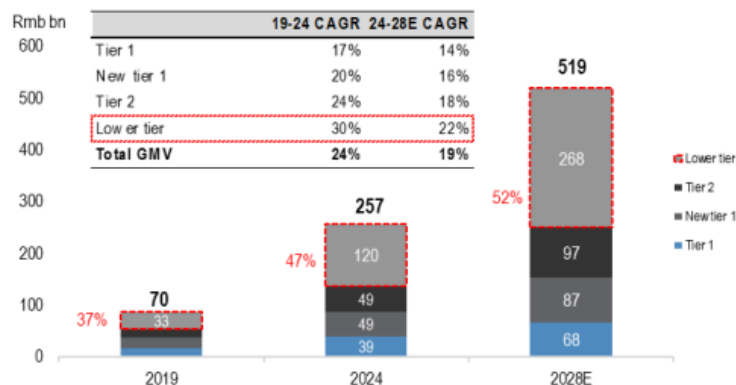
Catalysts ahead

2) Starbucks China deal and implications

- **What does it mean for Starbucks in China?** Starbucks China's value could be further unlocked and we believe change for a successful turnaround needs: **(1)** more smaller stores in low-tier markets; and **(2)** more attractive prices.
- **Implications for China's FMD sector?**
- **(1) the low-tier market will be the key battlefield**, as only 13% stores are located in tier 3 and lower tier city now.
- **(2) the price advantage of local players could become less attractive**, if Starbucks were to further cut prices or launch new products in a lower price range.

Low-tier markets are set to lead the growth with 22% GMV CAGR in 2024-2028E (accounting for 52% of total GMV)

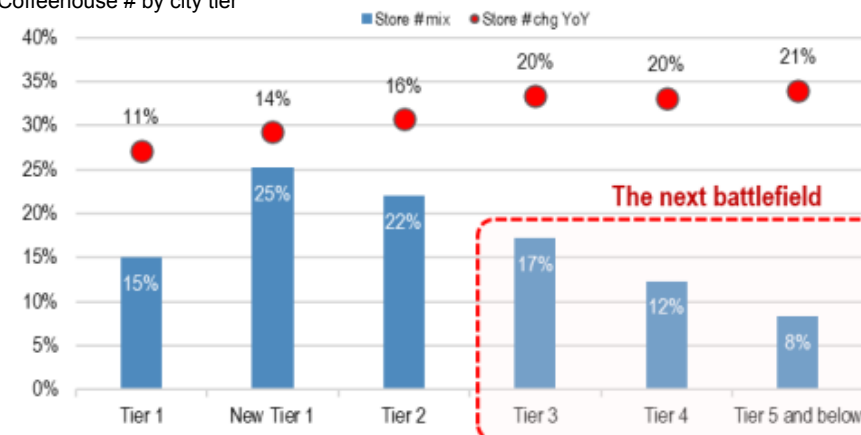
Total GMV of FMD by city tier



Source: CIC, J.P. Morgan estimates.

Tier-3 and below cities account for 37% of total (outpacing high-tier cities) - set to become the next battlefield

Coffeehouse # by city tier

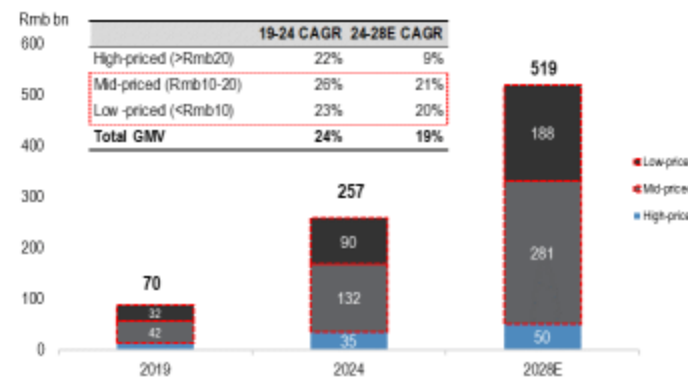


Note: As of Oct 2025.

Source: Canyin 88, J.P. Morgan.

Mid- to low-priced (<Rmb20 / \$3) categories to maintain over 20% GMV CAGR in 2024-2028E

Total GMV of FMD sector in China



Source: CIC, J.P. Morgan estimates.

Catalysts ahead

3) Subsidy campaign: 2026 outlook

What happened?

- On Jan 8, **Alibaba** communicated with the market their plan to step up investment in food delivery/quick commerce. The investment cycle and budget seem to be beyond the original expectations of the market. On the same day, **Guming** (1364 HK) went up by 6% (vs Index -1%), and **Chagee** (CHA US) dropped by 4% (vs Index +0.01%), a reaction to a longer-than-expected subsidy cycle, which is positive for most milk tea brands, but negative for Chagee.
- On Jan 9, after market close, China's State Council announced plans to launch an investigation and assessment of the country's food delivery platforms, aiming to promote lawful, compliant and fair competition within the food delivery service industry. Post the announcement, Meituan, Alibaba, and JD.Com separately issued statements saying they will cooperate fully with the investigation.

Our take: back to organic

Investment thesis for the China FMD sector is now leaning more towards organic fundamentals and away from the external swing factors. We expect to see more market discussions on the basics instead of the on-and-off of delivery subsidies.

- **SSSG held up well in 4Q25, a low season.** Overall subsidy scale for the sector has come down a lot from the peak in the summer, a mixed result of both seasonality and a more targeted and refined strategy towards meals instead of coffee & tea beverages. Leading companies' SSSG were maintained at a very decent DD level, only slightly moderated from the peak, which is better than many investors had worried about.
- **Product innovation to boost organic growth.** Guming (OW, top pick) once again proved its capability in product innovation and supply chain by successfully launching a few new series during Nov-Dec 2025 - SSSG held up well at high-teens in 4Q25 (vs. 20% in 3Q). ChaPanda (not covered) also realized DD growth with a few topical new launches in 4Q25.
- **Branching into more business to support store UE.** 2025 was the first year that many tea brands started to pilot and launch coffee drinks. Coffee contributed nearly 20% of total cups sold for Guming. Industry leaders are also actively exploring new growth areas, such as bakery (Guming, Luckin), breakfast (Mixue), ice cream (Heytea), snacks and blindbox (Mixue).

Catalysts ahead

4) Next stop: The United States

- More Chinese tea/coffeehouse brands entered the US market this year, including Mixue, Luckin, Chagee, Nayuki, and Antea Jenny.

Luckin entered the US market with two pickup-only stores in New York City on Jun 30, 2025

Luckin Coffee store near New York University



Source: Company website.

Mixue opened its first US store in Los Angeles on Dec 20, 2025, followed by 2 stores in New York on Dec 25

A staff member cuts the ribbon during the opening ceremony of Mixue Group's first store in the US in Hollywood, Los Angeles



Source: China Daily.

Takeaways from Jan 2026 expert call: positive

We hosted an expert call on 9th Jan to understand the dynamics before and after the subsidy war, brand momentum, and outlook (mainly for Mixue and Guming). Key takeaways include:

- **Delivery order mix is likely to normalize in 2026.** For stores owned by the speaker, the delivery order mix was 28% in 2024, which reached 65% during Jun-Jul 2025 thanks to the subsidy campaign, and then fell to 33-35% during Nov-Dec 2025 due to seasonality. The speaker expects the delivery mix to be around 40% in 2026, on par with the full-year average for 2025.
- **Store UE improved but not only due to 3P traffic.** The speaker shared that the daily GMV of his Mixue stores saw 18% YoY growth in 2025. ASP per cup slightly increased from RMB 6.4 to 6.5, but AOV increased by 18% due to the richer offerings of non-beverage products (snacks, blind box, etc.). The implied number of items per order increased from 1.7 to 2.0, up by 16% YoY. Payback period improved by approximately one month to 15 months in 2025. Store earnings increased YoY, although total OPM (11%) was diluted by a higher mix of delivery orders (commission and delivery fee = 12% of GMV) and a lower mix of non-delivery orders (OPM 16%).

Store metrics for the stores operated by the speaker						
		2024	2025	YoY	Jun-Jul 2025	4Q25
Mixue						
Daily GMV per store (Rmb k)	日销 (千)	3.9	4.6	18%	5.0	
Delivery mix	外卖单占比	28%	40%	12ppt	65%	33%-35%
ASP (Rmb per cup)	杯单价	6.4	6.5	1.6%		
AOV (Rmb)	客单价	11	13	18%		
No. of items per order	连带率	1.7	2.0	16%		
Daily cup volume (cups)	杯量	609	708	16%		
Payback period (month)	回本期 (月)	16.0	15.3	c.1 month		
Lucky Cup						
Daily GMV per store (Rmb k)		2.5				3.1
Delivery mix		30%	55%	25ppt		

Source: Expert speaker, J.P. Morgan.

Takeaways from Jan 2026 expert call: positive

- **Fast expansion to continue into 2026 with ambitions in ASEAN and Latin America**
 - Mixue's domestic and Lucky Cup should be largely in-line with market expectations.
 - ASEAN remains a top priority for overseas business for Mixue, after a major restructuring in 2025.
 - The group has set a target to bring the **total store count in ASEAN to 15k by 2029-3030**, implying a CAGR of 25-32%.
- **Product innovation and supply chain are critical.**
 - Guming's new series (cassava and taro with milk) launched in Nov-2025 was a good example, a combined result of deep investment and know-how in the upstream supply chain, store SOP and marketing.
 - Mixue has been more reliant on classic menu and has lagged behind on innovation. Mixue has already improved a lot with monthly new launches in 2025, and has now set a 20% GMV contribution target for each new product launch.

Store count estimate							
Store # (k)	2025	2026	YoY	2026 estimates			
				Net openings	New openings	Closures	Closure rate
Mixue brand	52.7	58.7	11%	6.0	9.5	3.5	
Domestic	47.8	52.8	10%	5.0	8.0	3.0	6.3%
Overseas	4.9	5.9	20%	1.0	1.5	0.5	10.6%
Lucky Cup	11.0	14.0	27%	3.0	5.0	2.0	18.2%
Group total	63.7	72.7	14%	9.0	14.5	5.5	

Source: Expert, J.P. Morgan.

Recent new product launches of Guming

Cassava and taro and milk (since mid-Nov 2025)

古茗推荐 慢炖·好料

HPP鲜活果汁 咖啡·现磨 慢炖·好料 原叶·鲜奶茶 秋冬·限定

桃胶木薯炖奶 重磅新品 正宗产地 冷链鲜奶 湖北通心桃胶×广西防城港等地...

¥18起 ¥20起

芋泥麻薯炖奶 重磅新品 正宗产地 冷链鲜奶 广西荔浦等地板栗芋头×米麻薯...

¥16起 ¥18起

New flavored coffee latte (since Dec 2025)

早时段专家

鲜奶拿铁 8.9折 (10:00-12:00) 满额赠礼 简单纯粹, 满额赠礼!

¥8.9起 ¥11.9起

好事花生拿铁 11.9折 (10:00-12:00) 满额赠礼 喝杯「好事花生」, 让好事悄然...

¥9.9起 ¥11.9起

卡美罗焦糖拿铁 11.9折 (10:00-12:00) 卡美罗焦糖 一口尽享双重焦糖风味

¥9.9起 ¥11.9起

RTD juice and new orange-based beverage (Jan 2026)

茗星活动

鲜活果汁 购买两款HPP鲜活果汁, 享受双... [最高省 ¥4.95] (每日限3件)

¥11.85起

古茗推荐 手剥粒粒大橘 一样甜一半负担 手剥把把柑果肉×西双版纳基地...

¥19起 ¥21起

爆汁鲜果杯 一口尽享双重水果风味 手剥把把柑果肉×时令鲜草莓...

¥16起 ¥18起

Source: Guming mini program.

Mixue's overseas store expansion	
Geography	Future targets
ASEAN	No. 1 focus market. Currently c.5k stores (payback period 13 months), target to open 1.5k new stores in 2026 and target a total of 15k stores by 2029 or 2030, implying a CAGR of 25-32% (from 2025).
Japan/Korea	Opened 50 stores in 2025; payback period c. 2 years.
The Belt and Road countries	Plans to open 500-800 stores in the next 2-3 years.
North America	Focus on branding in early stage; TAM is estimated to be 1,500 stores.
South America	No.2 focus market. Target to open 1,000+ stores in 3 years.

Source: Expert.

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J.P.Morgan

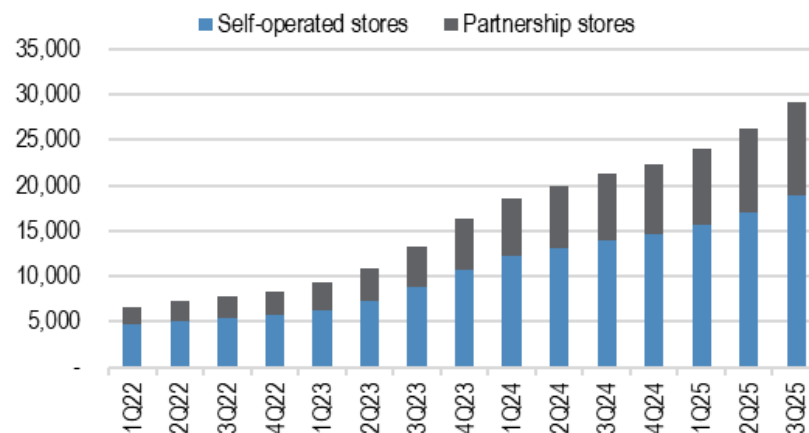
Luckin (OW): Brewing to be the next coffee giant

We like Luckin for its consumer-centered vision, market-share-oriented growth strategy, and strong digitalization. Luckin is one of our top picks in the China FMD sector. Initiate at OW.

- **Consumer-centered vision.** Luckin is well equipped with high quality, convenience, affordability, and technology, utilizing mobile apps and big data to provide a convenient and cashless experience, which also paves the way for better digitalization and user engagement in the private domain.
- **Digitalization enables iteration.** With big data, trial and error, and fast iteration, Luckin is able to identify the most popular flavors, toppings, and concepts with different user cohorts in different markets, supporting a higher hit rate.
- **Top class hit rate and blockbuster creator.** Luckin is significantly ahead of its peers in new product launches with ~5-6 new products per month vs its peers' average of 1-2 launches per month, per Zhaimen, with high hit rate for blockbusters – from Coconut Latte (Apr 2021), Orange Americano (2022), to Brown Butter Latte (Sep 2023), all becoming well-known signature coffee products for Luckin.
- **Market share-oriented growth strategy.** We forecast Luckin to add 4.8k and 3.5k stores in each of the next two years to reach 39k stores by end-2027. Although more players are entering the market (Guming, Cotti, Lucky Cup, etc.), we believe the pie is growing fast and should be big enough for Luckin to maintain and further expand market share with its early-mover advantage, mindshare and big data.

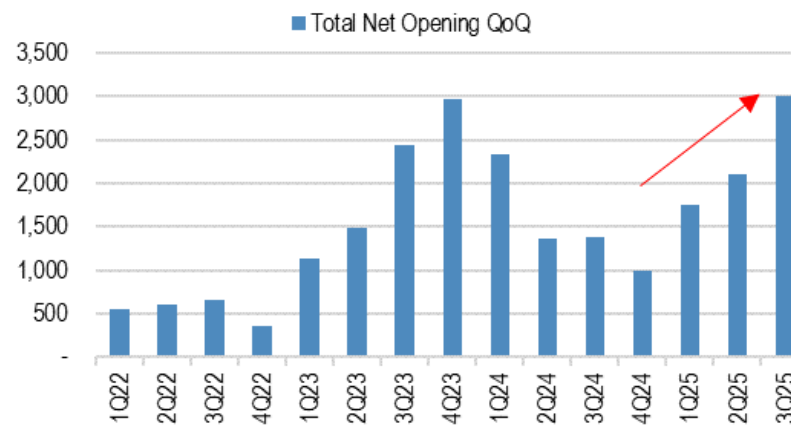
Luckin (OW): Brewing to be the next coffee giant

Total stores reached 29k: 19k direct-operated stores and over 10k partnership stores



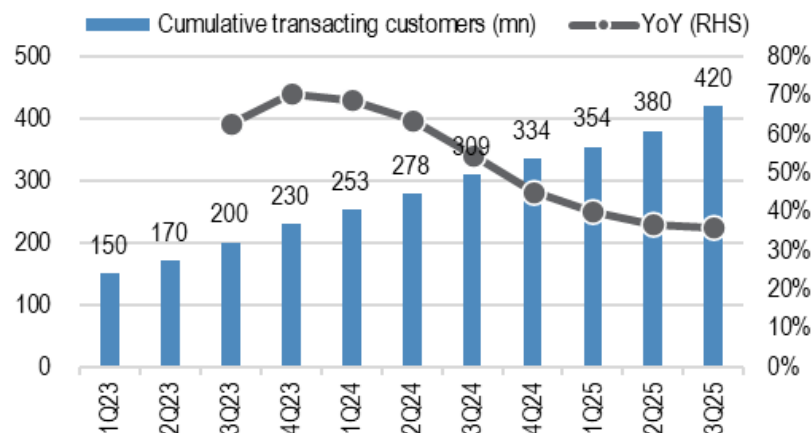
Source: Company data.

Net openings accelerated further in 3Q25, to 3k stores



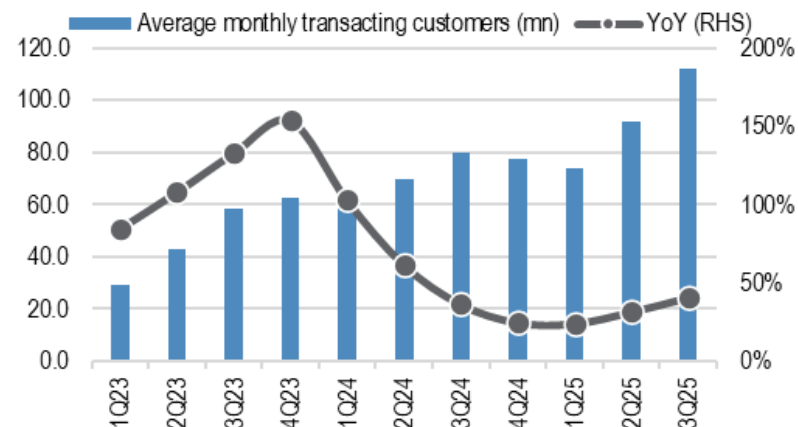
Source: Company data.

Cumulative transacting customers reached 420mn, 36% higher YoY



Source: Company data.

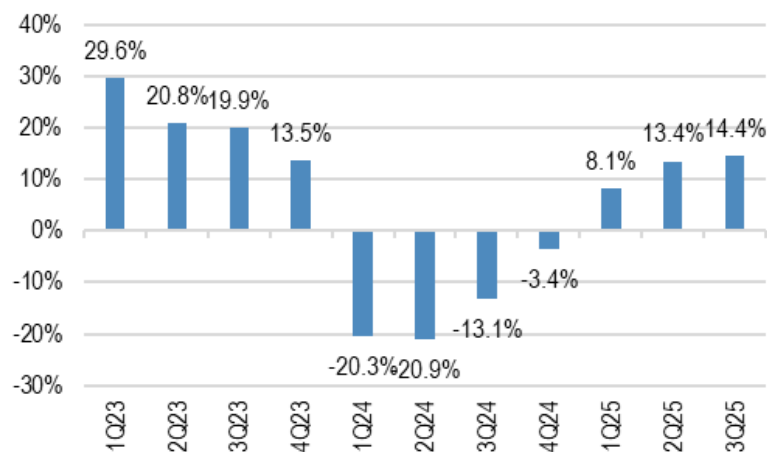
YoY growth in average monthly transacting customers reached 112mn, up 41% YoY, an uptick from 1Q25 and 2Q25



Source: Company data.

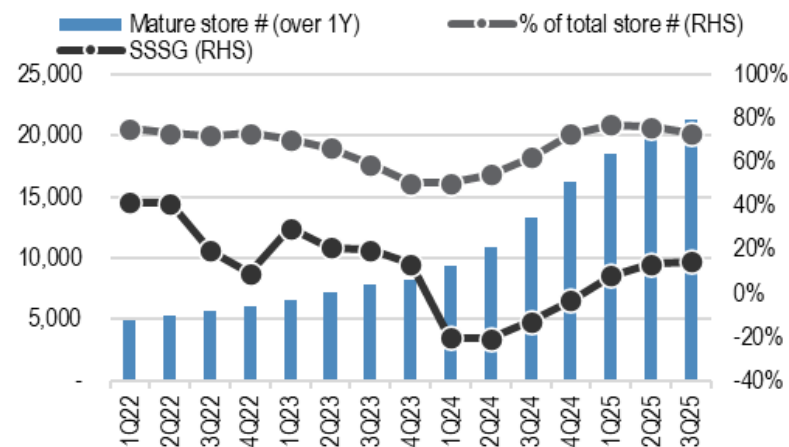
Luckin (OW): Brewing to be the next coffee giant

Quarterly SSSG accelerated further in 3Q25, to 14.4%



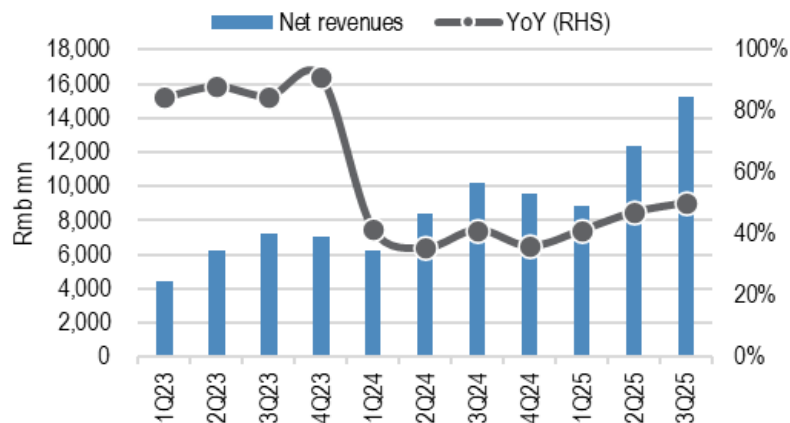
Source: J.P. Morgan estimates, Company data.

The number of mature stores accounts for a higher percentage of the total, supporting SSSG



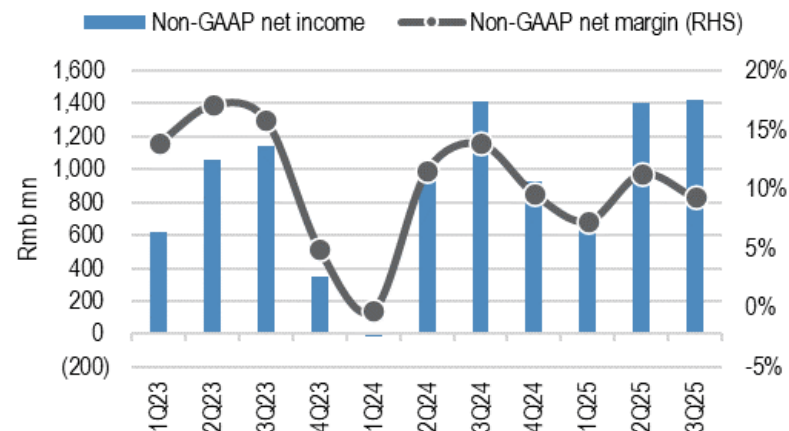
Source: Company data. Note: Mature store = store open for over four quarters

Revenue and YoY growth



Source: Company data.

Non-GAAP net income and margin trend



Source: Company data.

Luckin (OW): Brewing to be the next coffee giant

Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2023	2024	2025E	2026E	2027E	24-27E CAGR	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E
Store count												
Total number of stores	16,248	22,340	30,464	35,264	38,764	20%	21,343	22,340	24,097	26,206	29,214	30,464
Self-operated stores	10,628	14,591	19,682	22,562	24,487	19%	13,936	14,591	15,598	16,968	18,882	19,682
Partnership stores	5,620	7,749	10,782	12,702	14,277	23%	7,407	7,749	8,499	9,238	10,332	10,782
China	16,218	22,289	30,323	35,043	38,463		21,298	22,289	24,032	26,117	29,096	30,323
Overseas	30	51	141	221	301		45	51	65	89	118	141
Total net addition	8,034	6,092	8,124	4,800	3,500		1,382	997	1,757	2,109	3,008	1,250
Self-operated stores	4,976	3,963	5,091	2,880	1,925		880	655	1,007	1,370	1,914	800
Partnership stores	3,058	2,129	3,033	1,920	1,575		502	342	750	739	1,094	450
China	8,004	6,071	8,034	4,720	3,420		1,374	991	1,743	2,085	2,979	1,227
Overseas	30	21	90	80	80		8	6	14	24	29	23
Single store drivers												
<i>Self-operated stores</i>												
Average daily cups sold	456	451	471	450	450		503	437	373	500	553	441
YoY	27.8%	-1.1%	4.3%	-4.3%	0.0%		-8.8%	-2.9%	7.6%	9.6%	10.1%	1.0%
ASP per cup (Rmb)	13.2	12.3	12.5	12.4	12.4		12.0	12.6	12.8	12.3	12.1	12.7
YoY	-11.8%	-6.9%	1.4%	-0.7%	0.0%		-5.2%	-0.5%	0.5%	3.0%	1.0%	1.0%
Daily GMV (Rmb)	6,018	5,545	5,863	5,571	5,571		6,042	5,513	4,770	6,166	6,719	5,623
YoY	12.8%	-7.9%	5.7%	-5.0%	0.0%		-13.5%	-3.4%	8.2%	12.9%	11.2%	2.0%
Store-level OP margin	22.2%	18.9%					23.3%	19.6%	17.1%	21.0%	17.5%	
Group non-GAAP OP margin	13.1%	11.4%	11.9%	13.4%	13.5%		16.4%	11.4%	9.7%	15.0%	12.6%	9.7%
Financials												
Total net revenue	24,903	34,475	50,008	57,479	64,255	23%	10,181	9,613	8,865	12,359	15,287	13,496
Revenues from product sales	18,677	26,730	38,200	44,742	49,831	23%	7,840	7,568	6,785	9,491	11,488	10,436
Revenues from partnership stores	6,226	7,745	11,808	12,737	14,425	23%	2,341	2,046	2,081	2,867	3,799	3,061
YoY change	87%	38%	45%	15%	12%		41%	36%	41%	47%	50%	40%
Revenues from product sales	83%	43%	43%	17%	11%		46%	43%	42%	45%	47%	38%
Revenues from partnership stores	103%	24%	52%	8%	13%		27%	16%	38%	55%	62%	50%
Non-GAAP net profit	3,174	3,298	4,484	5,799	6,657	26%	1,413	928	649	1,399	1,421	987
YoY	203%	4%	36%	29%	15%		23%	164%	n.m.	44%	1%	6%
Net margin	12.7%	9.6%	9.0%	10.1%	10.4%		13.9%	9.7%	7.3%	11.3%	9.3%	7.3%

Source: J.P. Morgan estimates, Company data

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J.P.Morgan

Luckin (OW): Brewing to be the next coffee giant

Key operational data by quarter - User engagement showing strong momentum

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E
Store count												
Total number of stores	9,351	10,836	13,273	16,248	18,590	19,961	21,343	22,340	24,097	26,206	29,214	30,464
Self-operated stores	6,310	7,188	8,807	10,628	12,199	13,056	13,936	14,591	15,598	16,968	18,882	19,682
Partnership stores	3,041	3,648	4,466	5,620	6,391	6,905	7,407	7,749	8,499	9,238	10,332	10,782
China	9,349	10,829	13,255	16,218	18,558	19,924	21,298	22,289	24,032	26,117	29,096	30,323
Overseas	2	7	18	30	32	37	45	51	65	89	118	141
Total net addition QoQ	1,137	1,485	2,437	2,975	2,342	1,371	1,382	997	1,757	2,109	3,008	1,250
Self-operated stores	658	878	1,619	1,821	1,571	857	880	655	1,007	1,370	1,914	800
Partnership stores	479	607	818	1,154	771	514	502	342	750	739	1,094	450
China	1,135	1,480	2,426	2,963	2,340	1,366	1,374	991	1,743	2,085	2,979	1,227
Overseas	2	5	11	12	2	5	8	6	14	24	29	23
Total store count YoY%	42%	51%	69%	98%	99%	84%	61%	37%	30%	31%	37%	36%
Total store count QoQ%	14%	16%	22%	22%	14%	7%	7%	5%	8%	9%	11%	4%
Operating metrics												
GMV YoY change									42%	46%	48%	accelerating
Cumulative transacting customers (n YoY)	150	170	200	230	253	278	309	334	354	380	420	
			63%	70%	69%	64%	55%	45%	40%	37%	36%	
Avg monthly transacting customers (YoY)	30	43	58	62	60	70	80	78	74	92	112	accelerating
	85%	108%	133%	154%	103%	62%	36%	25%	24%	32%	41%	
SSSG (self-operated stores)	29.6%	20.8%	19.9%	13.5%	-20.3%	-20.9%	-13.1%	-3.4%	8.1%	13.4%	14.4%	
Store-level OPM (self-operated store)	25.2%	29.1%	23.1%	13.5%	7.0%	21.5%	23.3%	19.6%	17.1%	21.0%	17.5%	
YoY	6.7%	0.7%	-3.8%	-8.1%	-18.2%	-7.6%	0.2%	6.1%	10.1%	-0.5%	-5.8%	
Non-GAAP OP margin	16.5%	19.9%	14.2%	3.9%	0.1%	13.7%	16.4%	11.4%	9.7%	15.0%	12.6%	
YoY	12.6%	9.5%	-3.6%	-7.7%	-16.4%	-6.2%	2.2%	7.5%	9.7%	1.3%	-3.8%	
Non-GAAP NP margin	13.9%	17.1%	15.9%	5.0%	-0.2%	11.6%	13.9%	9.7%	7.3%	11.3%	9.3%	
YoY	9.8%	9.0%	2.7%	0.5%	-14.1%	-5.6%	-2.0%	4.7%	7.5%	-0.2%	-4.6%	

Source: Company data, J.P. Morgan estimates.

Luckin (OW): Brewing to be the next coffee giant

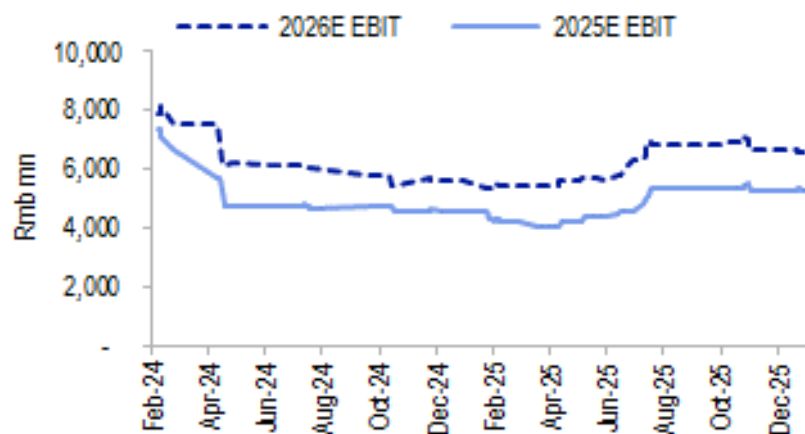
3Q25 result summary

FYE Dec 31 (Rmb mn)	3Q24	2Q25	3Q25	YoY	JPM	A vs. E	Note
Net revenues	10,181	12,359	15,287	50%	14,332	7%	Revenue beat due to faster store opening and user acquisition
1. Revenues from product sales	7,840	9,491	11,488	47%	11,163	3%	
- Revenues from self-operated stores	7,501	9,136	11,080	48%	10,682	4%	
2. Revenues from partnership stores	2,341	2,867	3,799	62%	3,169	20%	
Cost of materials	(3,940)	(4,601)	(5,540)	41%	(5,303)	4%	
Gross profit	6,241	7,758	9,747	56%	9,029	8%	
<i>Gross margin</i>	<i>61.3%</i>	<i>62.8%</i>	<i>63.8%</i>	<i>2.5pp</i>	<i>63.0%</i>	<i>0.8pp</i>	Gross margin beat on higher mix of non-coffee beverage
Store rental and other operating costs	(2,285)	(2,665)	(3,097)	36%	(2,991)	4%	
Delivery expenses	(928)	(1,670)	(2,889)	211%	(1,935)	49%	
Depreciation and amortization expenses	(310)	(375)	(410)	32%	(401)	2%	
Sales and marketing expenses	(589)	(592)	(751)	28%	(803)	-6%	
General and administrative expenses	(637)	(736)	(793)	25%	(889)	-11%	
Store preopening and other expenses	(13)	(18)	(27)	104%	(21)	32%	
Delivery cost as % of revenue	9%	14%	19%	9.8pp	14%	5.4pp	Delivery cost surged due to higher mix of delivery orders
Other opex (ex-delivery) as % of revenue	38%	35%	33%	-4.4pp	36%	-2.4pp	Economies of scale
Operating income	1,573	1,700	1,777	13%	1,990	-11%	
<i>Operating margin</i>	<i>15.5%</i>	<i>13.8%</i>	<i>11.6%</i>	<i>-3.8pp</i>	<i>13.9%</i>	<i>-2.3pp</i>	Margin contraction due to higher delivery cost ratio
Interest income	25	43	54		43	27%	
Foreign exchange (loss) gain, net	68	(6)	(3)				
Other (expenses)/income, net	7	43	10				
Income before income taxes	1,671	1,780	1,838	10%	2,033	-10%	
Income tax expense	(357)	(530)	(560)	57%	(610)	-8%	
<i>Effective tax rate</i>	<i>21.3%</i>	<i>29.8%</i>	<i>30.5%</i>	<i>9.1pp</i>	<i>30%</i>	<i>0.0pp</i>	Higher ETR due to withholding tax
Net income to ordinary shareholders	1,314	1,250	1,278	-3%	1,423	-10%	
Non-GAAP operating income	1,671	1,855	1,926	15%	2,148	-10%	
<i>Non-GAAP OP margin</i>	<i>16.4%</i>	<i>15.0%</i>	<i>12.6%</i>	<i>-3.8pp</i>	<i>15.0%</i>	<i>-2.4pp</i>	
Non-GAAP net income	1,413	1,399	1,421	1%	1,581	-10%	
<i>Non-GAAP net margin</i>	<i>13.9%</i>	<i>11.3%</i>	<i>9.3%</i>	<i>-4.6pp</i>	<i>11.0%</i>	<i>-1.7pp</i>	

Source: Company data, J.P. Morgan estimates.

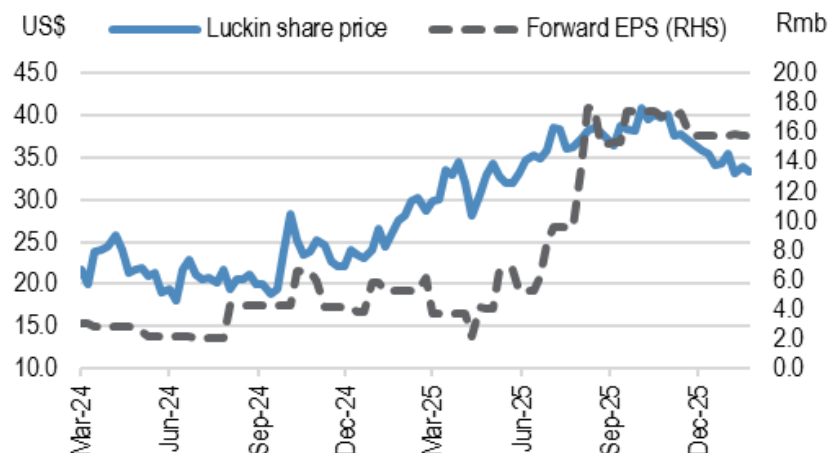
Luckin (OW): Brewing to be the next coffee giant

Consensus EBIT revisions – Luckin



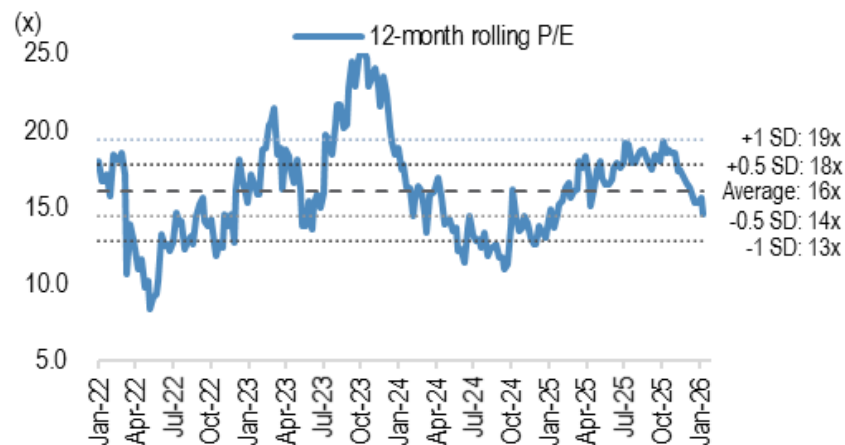
Source: Bloomberg Finance L.P. estimates.

Share price vs consensus forward EPS – Luckin



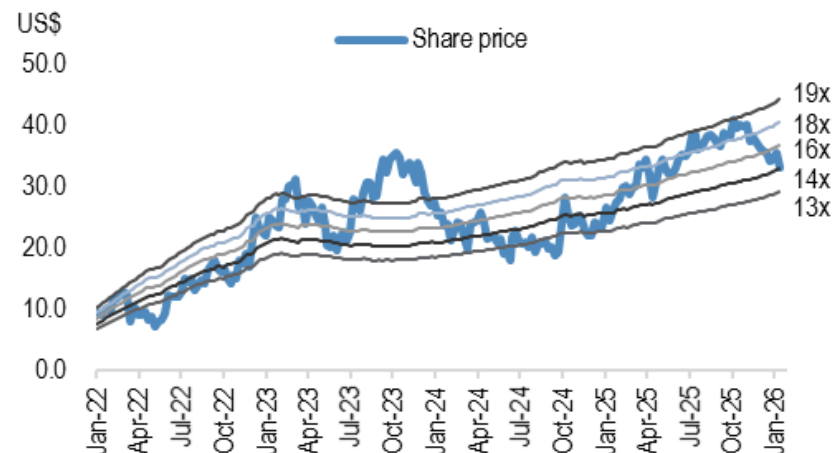
Source: Bloomberg Finance L.P.

12-month rolling P/E – Luckin



Source: J.P. Morgan, Bloomberg Finance L.P.

12-month rolling P/E band chart – Luckin



Source: J.P. Morgan, Bloomberg Finance L.P.

J.P.Morgan

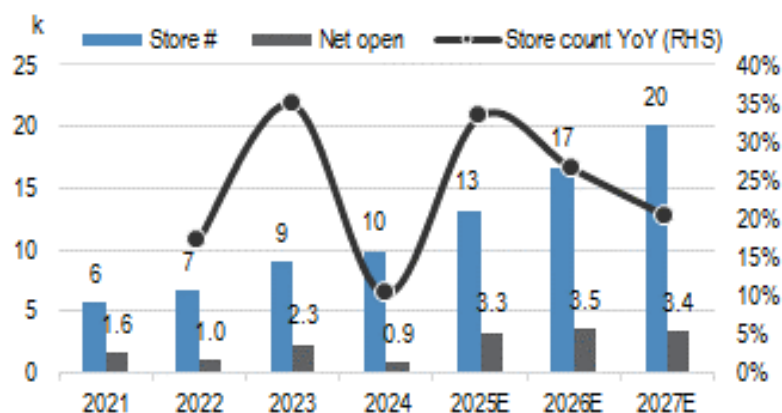
Guming - H (OW): Stay low, aim high

Guming is one of our top picks in the China FMD sector. We like Guming for: **1)** its low-profile management, focused strategy and strong execution; **2)** its regional densification strategy has proved to be highly efficient and replicable; **3)** fresh ingredients & affordable price-centered positioning – the future prototype of the modern teahouse, in our view; and **4)** best-in-class supply chain to support fast expansion.

- **2026 outlook - revising up.** Management expects organic same-store GMV to be -5% to 0% yoy in 2026, or up to 5% yoy in case of faster penetration of new initiatives (breakfast, etc.). Investors have been gradually revising up 2026 SSSG estimates from a HSD-DD% decline to a MSD decline to flat yoy. We keep our estimate of a HSD decline unchanged for the calculated average store GMV.
- **More subsidies to franchisees** - positive for franchisee network, slight negative for Guming's GPM. To encourage existing franchisees to open more stores in 1H26, Guming issued a new policy on Jan 12th, offering franchisee fee waivers ranging from Rmb25k to Rmb88k. We have revised up our 2025/2026 net store openings from 3.1k/3.3k to 3.3k/3.5k, which implies 26% yoy growth in store count in 2026. This echoes Guming's strategic focus on the overall well-being of the franchisees, but we estimate GPM to be slightly impacted by more subsidies for new stores and new initiatives in the initial period.
- **Key competency = products + supply chain.** Guming's competitiveness in product R&D is evidenced by its higher-than-peers repurchase rate: 30% monthly repurchase rate & over 50% quarterly repurchase rate - lower than Luckin but higher than tea beverage peers. Peers (e.g. Heytea and Mixue) also source from Guming (both materials and logistics solutions).

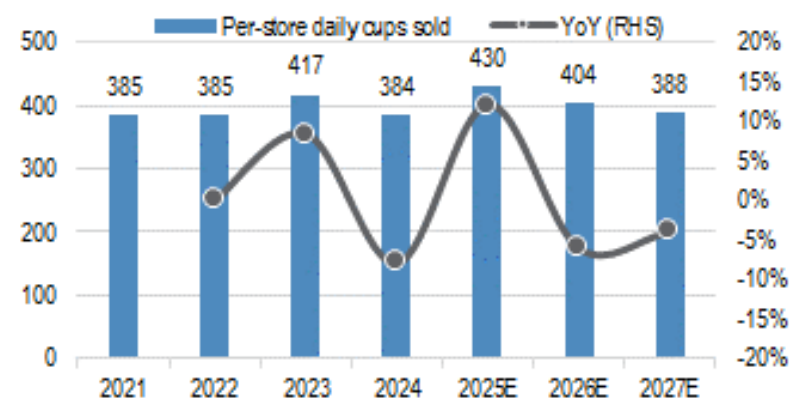
Guming - H (OW): Stay low, aim high

Net openings to accelerate to reach 20k stores by 2027...



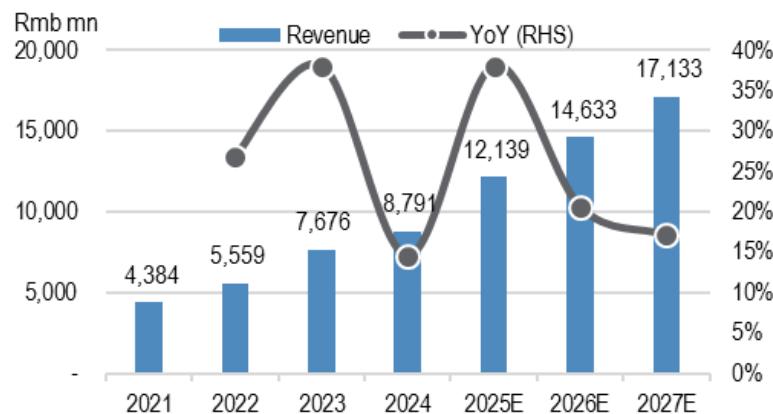
Source: J.P. Morgan estimates, Company data.

...with daily sales volume relatively stable at 388 cups



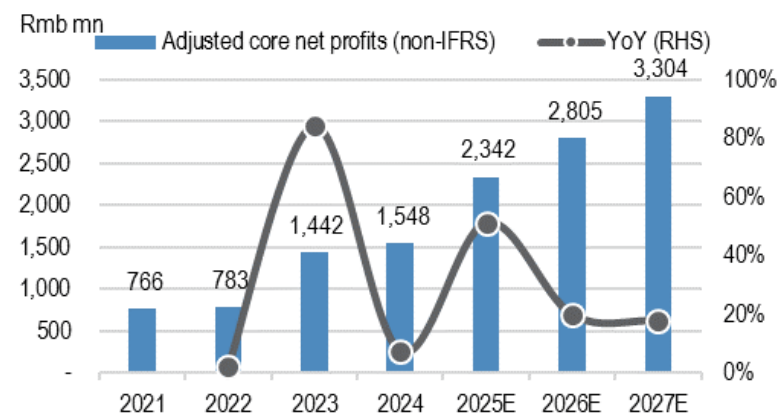
Source: J.P. Morgan estimates, Company data.

Revenue and YoY growth



Source: J.P. Morgan estimates, Company data.

Adj. core net profits and YoY growth



Source: J.P. Morgan estimates, Company data.

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Guming - H (OW): Stay low, aim high

Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2022	2023	2024	2025E	2026E	2027E	25E-27E CAGR	1H24	2H24	1H25	2H25E
Total GMV	14,004	19,214	22,397	31,309	37,512	43,649	18%	10,484	11,913	14,094	17,215
YoY %	32%	37%	17%	40%	20%	16%		0%	0%	34%	45%
Per-store daily GMV (Rmb)	6.2	6.8	6.5	7.5	6.9	6.5	-6%	6.2	6.7	7.6	7.8
YoY %	3%	10%	-4%	15%	-7%	-5%		0%	0%	23%	17%
Per-store daily cups sold	385	417	384	430	404	388	-5%	374	387	439	451
YoY %	0%	8%	-8%	12%	-6%	-4%		0%	0%	17%	17%
ASP (Rmb/cup)	16.1	16.3	16.9	17.3	17.1	16.8	-2%	16.6	17.3	17.3	17.4
YoY %	3%	1%	4%	2%	-2%	-2%		0%	0%	4%	0%
Total store count	6,669	9,001	9,914	13,214	16,714	20,114	23%	9,516	9,914	11,179	13,214
YoY %	17%	35%	10%	33%	26%	20%				17%	33%
Net store increase	975	2,332	913	3,300	3,500	3,400		515	398	1,265	2,035
Total revenue	5,559	7,676	8,791	12,139	14,633	17,133	19%	4,009	4,782	5,663	6,476
YoY %	27%	38%	15%	38%	21%	17%				41%	35%
Gross margin	28.1%	31.3%	30.6%	31.5%	31.2%	31.2%		31.6%	29.7%	31.5%	31.5%
Core operating profit	989	1,585	1,664	2,518	3,021	3,554	19%	792	872	1,175	1,343
YoY %	5%	60%	5%	51%	20%	18%				48%	54%
Core operating margin	17.8%	20.7%	18.9%	20.7%	20.6%	20.7%		19.7%	18.2%	20.8%	20.7%
Reported net profit	367	1,080	1,479	2,733	2,735	3,221	9%	734	745	1,625	1,107
YoY %	1720%	194%	37%	85%	0%	18%				122%	49%
Reported net margin	6.6%	14.1%	16.8%	22.5%	18.7%	18.8%		18.3%	15.6%	28.7%	17.1%
Adj. net profit	783	1,442	1,548	2,342	2,805	3,304	19%	756	791	1,135	1,207
YoY %	2%	84%	7%	51%	20%	18%				50%	53%
Adj. net margin	14.1%	18.8%	17.6%	19.3%	19.2%	19.3%		18.9%	16.6%	20.0%	18.6%
Adj. EPS - diluted (Rmb)		0.70	0.75	1.06	1.21	1.42	16%	0.40	0.38	0.49	0.52
YoY %			6%	42%	14%	18%				22%	36%

Source: J.P. Morgan estimates, Company data

Guming - H (OW): Stay low, aim high

Summary of Financials

Balance sheet, Rmb mn	2023	2024	2025E	2026E	2027E
Inventories	881	984	1,557	1,520	2,082
Trade receivables	70	291	291	312	256
Contract assets	9	35	26	48	39
Prepayments, other receivables and other assets	299	328	443	534	625
Financial assets at fair value through profit or loss	197	1,245	1,245	1,245	1,245
Restricted cash	124	42	42	42	42
Cash and bank balances	2,428	1,935	4,719	5,687	7,182
Other current assets	-	-	-	-	-
Total current assets	4,009	4,860	8,321	9,387	11,470
Property, plant and equipment	590	954	1,090	1,489	1,682
Right-of-use assets	178	161	157	168	189
Other intangible assets	0	1	1	0	0
Equity invt. designated at FV through other comp. income	257	258	258	258	258
Other non-current assets	37	5	5	5	5
Deferred tax assets	40	25	25	25	25
Long-term bank deposits	41	502	502	502	502
Long-term trade receivables	-	105	250	230	130
Other non-current assets	-	5	5	5	5
Total non-current assets	1,144	2,015	2,291	2,682	2,796
Total assets	5,153	6,875	10,612	12,068	14,266
Trade payables	601	698	1,117	1,136	1,567
Other payables and accruals	322	391	528	638	746
Tax payables	39	65	120	121	142
Contract liabilities - current portion	76	79	135	123	180
Interest-bearing bank borrowings	124	-	1,488	1,488	1,488
Financial liabilities at fair value through profit or loss	3,156	3,182	-	-	-
Lease liabilities - current portion	44	37	37	37	37
Other non-current liabilities	-	-	-	-	-
Total current liabilities	4,362	4,452	3,427	3,542	4,160
Deferred tax liabilities	112	136	188	227	265
Contract liabilities - non current portion	27	25	25	25	25
Lease liabilities - non current portion	27	17	17	17	17
Interest-bearing bank borrowings	-	121	121	121	121
Other non-current liabilities	10	11	11	11	11
Total non-current liabilities	175	310	362	401	439
Total Liabilities	4,537	4,763	3,789	3,943	4,599
Share capital	0	0	0	0	0
Reserves	583	2,066	6,755	8,029	9,539
Non-controlling interests	33	46	68	96	127
Total equity	616	2,112	6,824	8,125	9,667
Total Liabilities & Equity	5,153	6,875	10,612	12,068	14,266

Cashflow statement, Rmb mn	2023	2024	2025E	2026E	2027E
Profit before tax	1,445	1,804	3,339	3,352	3,948
DD&A	135	140	175	209	250
FV chg of financial assets / liabilities at FV through P&L	292	10	(557)	-	-
Change in working capitals	7	(337)	(210)	38	108
Others	4	(51)	107	39	60
Cash from operations	1,883	1,566	2,855	3,638	4,366
Income tax paid	(310)	(246)	(584)	(590)	(695)
Net cash generated from operations	1,573	1,321	2,271	3,048	3,671
Purchases of items of property, plant and equipment	(399)	(449)	(251)	(552)	(387)
Others	(72)	(1,372)	(55)	(67)	(78)
Net cash flows used in investing activities	(471)	(1,822)	(306)	(619)	(465)
Dividend payment	-	-	(2,000)	(1,403)	(1,652)
Others	140	17	2,819	(58)	(60)
Net cash flows from/(used in) financing activities	140	17	819	(1,461)	(1,711)
Net change	1,242	(484)	2,783	968	1,495
Cash and bank balances on balance sheet	2,428	1,935	4,719	5,687	7,182

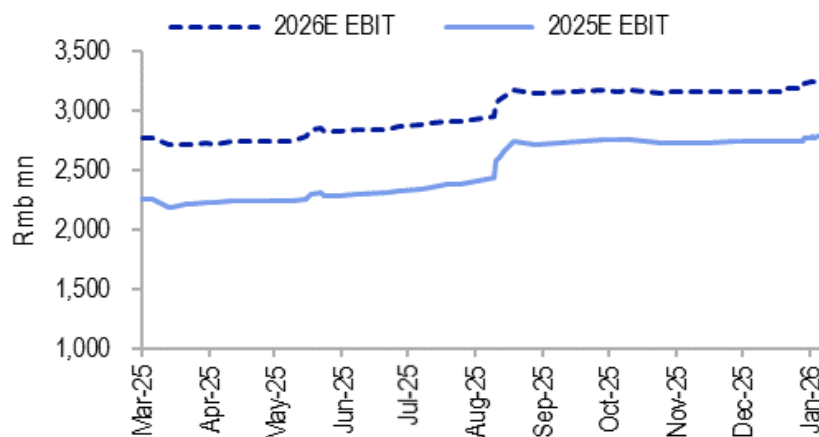
Ratio Analysis	2023	2024	2025E	2026E	2027E
Gross margin	31.3%	30.6%	31.5%	31.2%	31.2%
EBITDA margin	23.9%	21.3%	23.4%	23.1%	23.3%
Adj. OP margin	20.7%	18.9%	20.7%	20.6%	20.7%
Adj. net margin	18.8%	17.4%	18.1%	18.7%	18.8%
ROE	-1434%	113%	52%	38%	37%
ROA	35%	26%	27%	25%	25%
ROIC	173%	63%	25%	26%	27%
Net cash / equity	433%	171%	72%	72%	76%
Dividend payout ratio	0%	0%	85%	50%	50%
Dividend yield			3.6%	2.4%	2.9%

Multiples	2023	2024	2025E	2026E	2027E
Adjusted P/E (x)			24.0	21.1	18.0
Adjusted P/E, ex-cash (x)			22.1	19.1	15.7
P/B (x)			8.1	7.1	6.0
PEG (x)			0.6	1.5	1.0

Source: Company reports and J.P. Morgan estimates

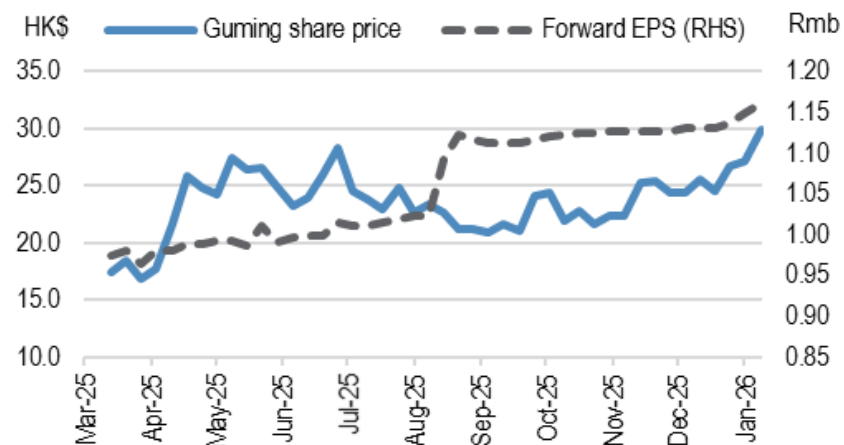
Guming - H (OW): Stay low, aim high

Consensus EBIT revisions – Guming



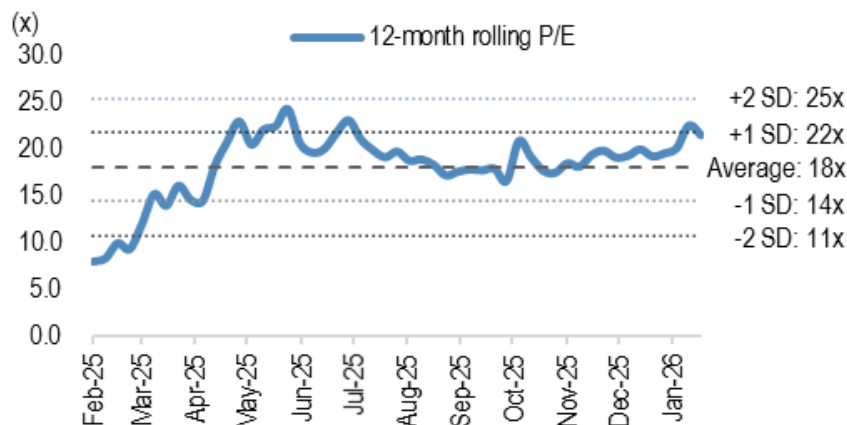
Source: Bloomberg Finance L.P. estimates.

Share price vs consensus forward EPS – Guming



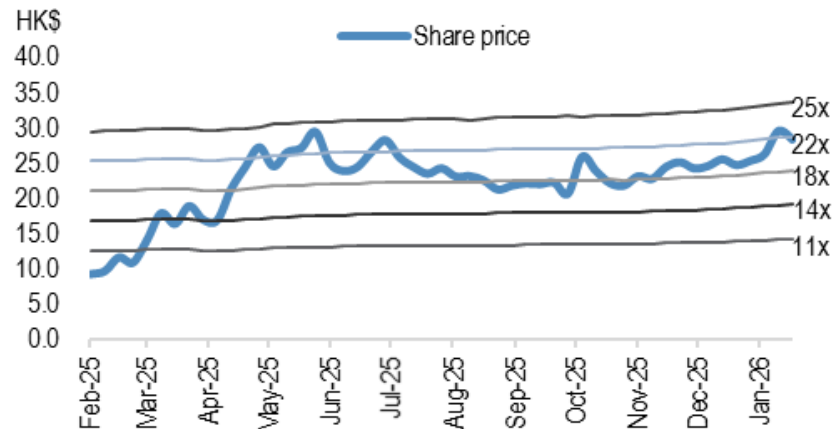
Source: Bloomberg Finance L.P.

12-month rolling P/E – Guming



Source: J.P. Morgan, Bloomberg Finance L.P.

12-month rolling P/E band chart – Guming



Source: J.P. Morgan, Bloomberg Finance L.P.

J.P.Morgan

Mixue Group (OW): Distinctive positioning + scalability = the Snow King

Mixue has a very distinctive position in the China FMD sector - a combination of value proposition + low-tier penetration + scalability + logistics + IP (Snow King). Before Covid, the market often referred to a critical point of 10k stores for retail businesses in China. Today, Mixue surprised the market year after year, with a total of 53k stores by Jun-2025, not only the largest chain in China, but also the largest in the world. What's more remarkable - daily cups sold per store didn't drop against the fast network expansion. Initiate at OW.

- **Value proposition + scalability.** Through its low-priced ice cream (Rmb 2-3) and signature lemonade (Rmb 4-5), Mixue has gained significant consumer sympathy. Leveraging its pricing advantage and its strong proposition for price-sensitive consumers in the low-tier market, Mixue net opened 8.5k stores per year on average during 2021-2024, and further accelerated in 2025 (JPMe 9.6k). Store mix of tier 3 and below of Mixue accounts for 56% of total (vs Chinese peers average of below 40%).
- **Ceiling - what ceiling?** How many stores can Mixue open in China - the answer has been raised almost every quarter for the past 1-2 years. **We cautiously model 9k and 8.5k net openings for 2026 and 2027E** (5.5k and 5.5k for Mixue stores, **plus** 3k and 2.5k Lucky Cup stores) and forecast **total store # of 65k and 73.5k by end of 2026 and 2027.**
- **Catalysts: overseas store expansion – the US and ASEAN.**

Mixue Group (OW): Distinctive positioning + scalability = the Snow King

Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2023	2024	2025E	2026E	2027E	2024-27E CAGR	1H24	2H24	1H25	2H25E
Total GMV (Rmb bn)	48	58	79	90	100	20%	25	33	35	44
Mainland China	45	55	76	86	96	20%	24	31	34	42
Mixue	43	53	70	77	84	17%	23	30	31	39
Lucky Cup	2	3	6	9	12	64%	1	1	3	3
Overseas	3	3	3	4	4	11%	1	2	2	2
Total store count (k)	37,565	46,479	56,029	65,029	73,529	17%	43,218	46,479	53,014	56,029
Mainland China	33,234	41,584	51,484	59,984	67,984	18%	38,613	41,584	48,281	51,484
Mixue	30,334	37,684	43,084	48,584	54,084	13%	35,413	37,684	42,481	43,084
Lucky Cup	2,900	3,900	8,400	11,400	13,900	53%	3,200	3,900	5,800	8,400
Overseas	4,331	4,895	4,545	5,045	5,545	4%	4,605	4,895	4,733	4,545
YoY change	30%	24%	21%	16%	13%			8%	14%	6%
Mainland China	22%	25%	24%	17%	13%			8%	16%	7%
Mixue		24%	14%	13%	11%			6%	13%	1%
Lucky Cup		34%	115%	36%	22%			22%	49%	45%
Overseas	141%	13%	-7%	11%	10%			6%	-3%	-4%
Net opening (k)	8,582	8,914	9,550	9,000	8,500		43,218	3,261	6,535	3,015
Mainland China	6,046	8,350	9,900	8,500	8,000		38,613	2,971	6,697	3,203
Mixue		7,350	5,400	5,500	5,500		35,413	2,271	4,797	603
Lucky Cup		1,000	4,500	3,000	2,500		3,200	700	1,900	2,600
Overseas	2,536	564	-350	500	500		4,605	290	-162	-188
Average GMV per store (Rmb k)	1,438	1,387	1,542	1,484	1,448	1%	627	734	713	800
Mainland China	1,479	1,474	1,628	1,548	1,502	1%	665	779	754	840
Mixue	1,542	1,544	1,729	1,677	1,644	2%	690	816	780	902
Lucky Cup	772	780	967	948	929	6%	400	403	540	469
Overseas	1,038	674	695	743	795	6%	320	354	330	365
YoY change	15%	-4%	11%	-4%	-2%			17%	-3%	12%
Mainland China	16%	0%	10%	-5%	-3%			17%	-3%	11%
Mixue		0%	12%	-3%	-2%			18%	-4%	16%
Lucky Cup		1%	24%	-2%	-2%			1%	34%	-13%
Overseas	42%	-35%	3%	7%	7%			11%	-7%	11%
Total number of cups sold (bn)	7	9	11	13	15	21%				
YoY change	57%	15%	35%	13%	16%					
ASP (Rmb)	6.5	6.8	6.9	6.9	6.7	-1%				
YoY change	-1%	6%	1%	0%	-4%					
Number of cups sold per day per store	609	556	614	589	596	2%				
YoY change	16%	-9%	10%	-4%	1%					

Source: J.P. Morgan estimates, Company data

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J.P.Morgan

Mixue Group (OW): Distinctive positioning + scalability = the Snow King

Key financial metrics

FYE 31-Dec (Rmb mn)	2023	2024	2025E	2026E	2027E	2024-27E CAGR	1H24	2H24	1H25	2H25E
Key financial metrics (Rmb mn)										
Total revenue	20,302	24,829	32,594	36,955	41,209	18%	10,677	14,152	14,875	17,719
YoY change	50%	22%	31%	13%	12%				39%	25%
Mainland China	18,816	23,554	29,622	33,721	37,582	17%				
YoY change	44%	25%	26%	14%	11%					
Overseas	1,487	1,275	2,972	3,233	3,627	42%				
YoY change	175%	-14%	133%	9%	12%					
Operating profit	3,985	5,601	7,201	8,262	9,303	18%	2,431	3,169	3,314	3,887
YoY change	57%	41%	29%	15%	13%				36%	23%
Operating margin	19.6%	22.6%	22.1%	22.4%	22.6%		22.8%	22.4%	22.3%	21.9%
Reported net profit	3,137	4,437	5,847	6,744	7,628	20%	1,884	2,552	2,693	3,154
YoY change	57%	41%	32%	15%	13%				43%	24%
Net margin	15.5%	17.9%	17.9%	18.2%	18.5%		17.6%	18.0%	18.1%	17.8%
Adjusted net profit	3,207	4,519	5,885	6,764	7,647	19%	1,906	2,612	2,708	3,177
YoY change	58%	41%	30%	15%	13%				42%	22%
Adj. net margin	15.8%	18.2%	18.1%	18.3%	18.6%		17.9%	18.5%	18.2%	17.9%

Balance Sheet

FYE 31-Dec (Rmb mn)	2023	2024	2025E	2026E	2027E
Inventories	2,232	2,215	3,662	3,002	4,430
Trade receivables and others	433	538	706	798	887
Financial assets at FV through profit or loss	746	3,492	3,492	3,492	3,492
Restricted cash and time deposits	116	1,316	1,316	1,316	1,316
Cash and cash equivalents	5,622	4,335	11,026	16,751	19,743
Total current assets	9,148	11,896	20,202	25,358	29,867
Property, plant and equipment	3,390	5,318	7,328	9,339	11,349
Restricted cash and time deposits	300	1,967	1,967	1,967	1,967
Other non-current assets	1,177	96	96	96	96
Others	1,755	603	724	732	760
Total non-current assets	5,445	7,887	10,019	12,038	14,076
Total assets	14,594	19,783	30,221	37,396	43,943
Trade payables	1,317	1,767	2,309	2,313	2,841
Other payables and accruals	1,572	2,044	2,699	3,050	3,391
Others	846	706	694	797	896
Total current liabilities	3,734	4,517	5,701	6,159	7,128
Total non-current liabilities	264	206	255	281	305
Total Liabilities	3,998	4,723	5,956	6,440	7,433
Total equity	10,595	15,061	24,265	30,956	36,509
Total Liabilities & Equity	14,594	19,783	30,221	37,396	43,943

Cash flow statement

FYE 31-Dec (Rmb mn)	2023	2024	2025E	2026E	2027E
Profit before tax	4,154	5,811	7,560	8,710	9,844
DD&A	268	419	419	419	419
Change in working capitals	243	1,077	(281)	1,157	(418)
Others	(94)	(140)	(253)	(302)	(382)
Cash generated from operations	4,651	7,214	7,451	9,984	9,463
Income tax paid	(911)	(1,280)	(1,663)	(1,916)	(2,166)
Interest received	54	75	153	200	280
Operating cash flow	3,794	6,009	5,940	8,268	7,578
Purchases of items of PP&E	(1,685)	(1,439)	(2,343)	(2,325)	(2,325)
Others	860	(5,580)	(208)	(113)	(132)
Investing cash flow	(825)	(7,019)	(2,551)	(2,438)	(2,458)
Dividends paid	(100)	-	-	-	(2,023)
Net proceeds from issue of shares	-	-	3,409	-	-
Others	(11)	(277)	(107)	(105)	(105)
Financing cash flow	(111)	(277)	3,302	(105)	(2,128)
Net increase in cash and cash equivalents	2,857	(1,288)	6,691	5,725	2,992
Cash and cash equivalents at yr-beginning	2,764	5,622	4,335	11,026	16,751
Effect of foreign exchange differences (net)	1	1	-	-	-
Cash and cash equivalents at yr-end	5,622	4,335	11,026	16,751	19,743

Source: J.P. Morgan estimates, Company data

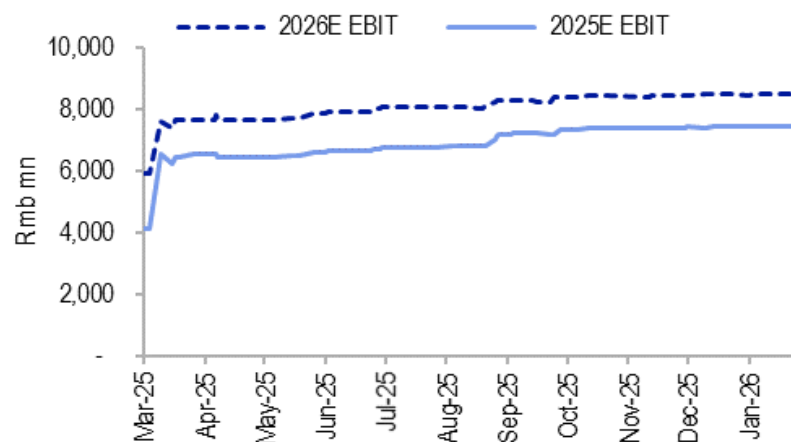
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J.P.Morgan

Mixue Group (OW): Distinctive positioning + scalability = the Snow King

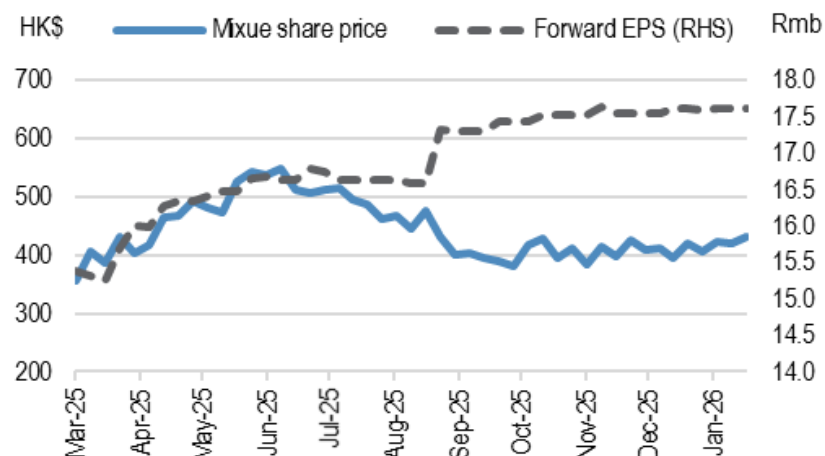
Consensus revisions and valuation charts

Consensus EBIT revisions – Mixue



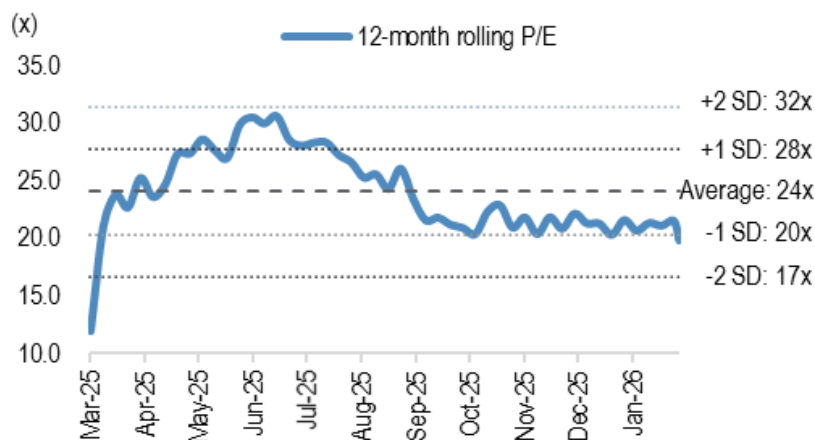
Source: Bloomberg Finance L.P. estimates.

Share price vs consensus forward EPS – Mixue



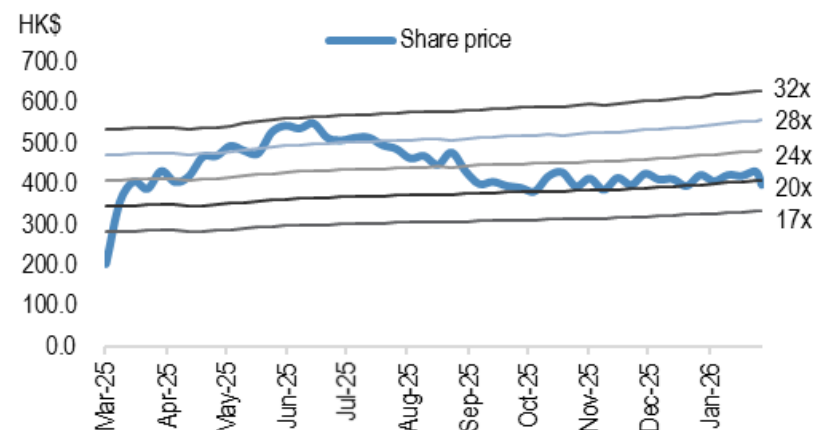
Source: Bloomberg Finance L.P.

12-month rolling P/E – Mixue



Source: J.P. Morgan, Bloomberg Finance L.P.

12-month rolling P/E band chart – Mixue



Source: J.P. Morgan, Bloomberg Finance L.P.

Nongfu Spring (OW): A shining name in a highly competitive market

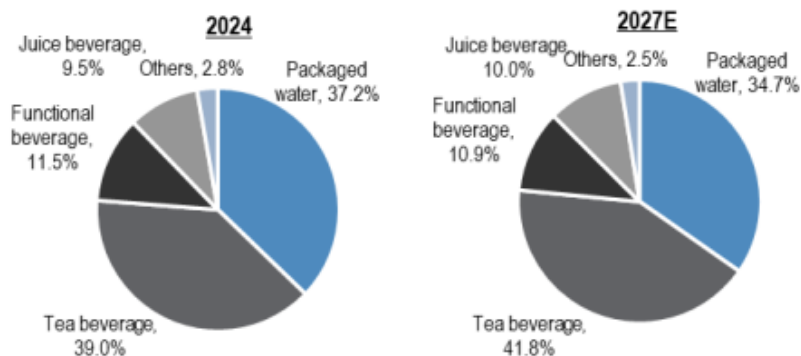
In the China non-alcoholic drinks subsector, Nongfu is the most well rounded player. The company has benefited significantly from management's strategic focus on the water and beverage business, strong execution, continuous investment in marketing and branding; and most importantly, patience - which we believe is rare in today's market. Initiate at OW.

Good products + channel + brand = deep moat

- **Good products with steady market share gains.** Nongfu has the most balanced product portfolio in the China non-alcoholic drinks subsector, with bottled water and tea beverage revenue accounting for 37% and 39% of total in 2024. Nongfu is #1 in soft drinks with 9.7% market share in 2025E (Euromonitor), also #1 in bottled water (12% share), #1 in RTD tea (20% share).
- **Strong incentives and shared success.** Nongfu's sales team is regarded as being down to earth, hard working and competitive, thanks to the doer mentality influenced by the corporate culture. Nongfu also provides distributors with competitive margins and incentives. Margins of Nongfu's bottled water are higher than those of Wahaha and CR Beverage; tea buz also provides better margins than UPC and Tingyi, according to distributors.
- **Branding – slow is fast.** Nongfu has been consistently investing in branding equity from the early years, digging into demand in niche markets and involving with consumer education in a patient way. As of today, Nongfu is still one step ahead of the market with a variety of products, e.g. spring water for infants & babies, for making tea & rice, etc.
- **Catalysts: growth from 2025 newly launched carbonated reduced-sugar tea 冰茶.**

Nongfu Spring (OW): A shining name in a highly competitive market

Revenue breakdown by segment



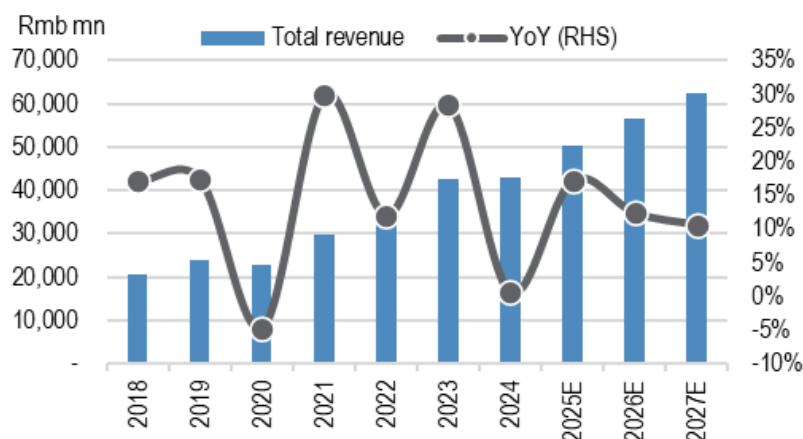
Source: J.P. Morgan estimates, Company data.

PET price chart



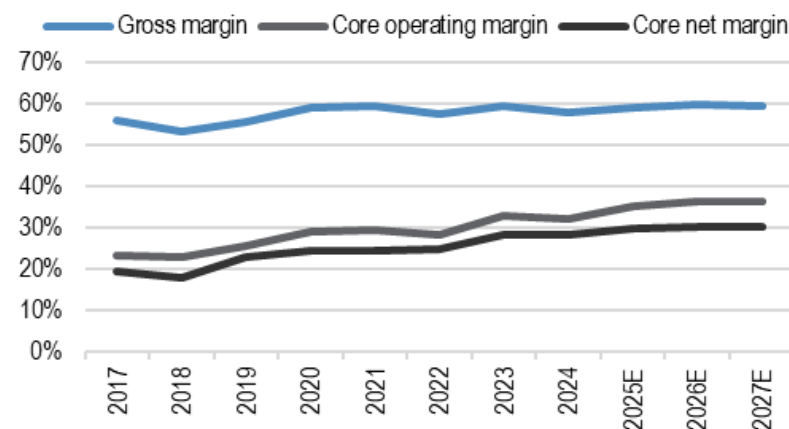
Source: SunSirs China Commodity Data.

Revenue and YoY growth



Source: J.P. Morgan estimates, Company data.

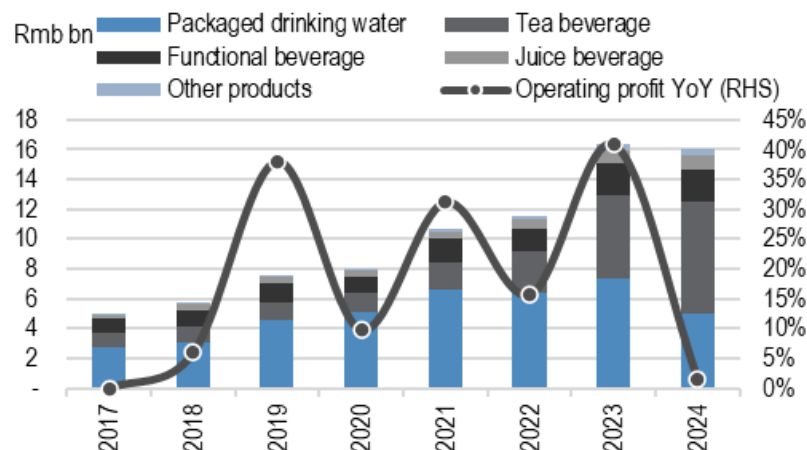
Margins trend



Source: J.P. Morgan estimates, Company data.

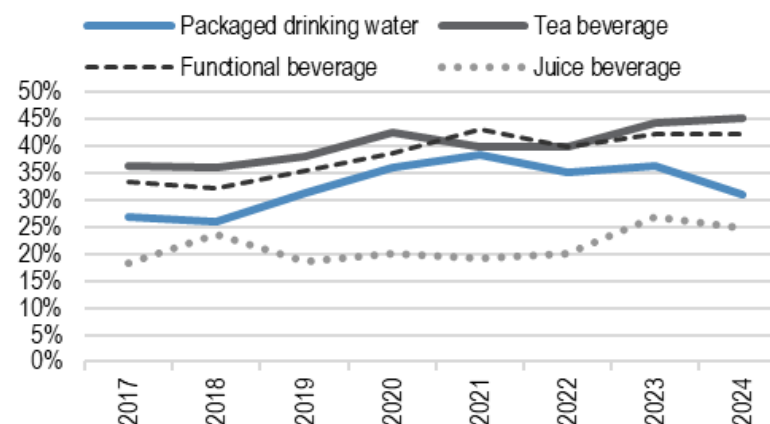
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Operating profit breakdown



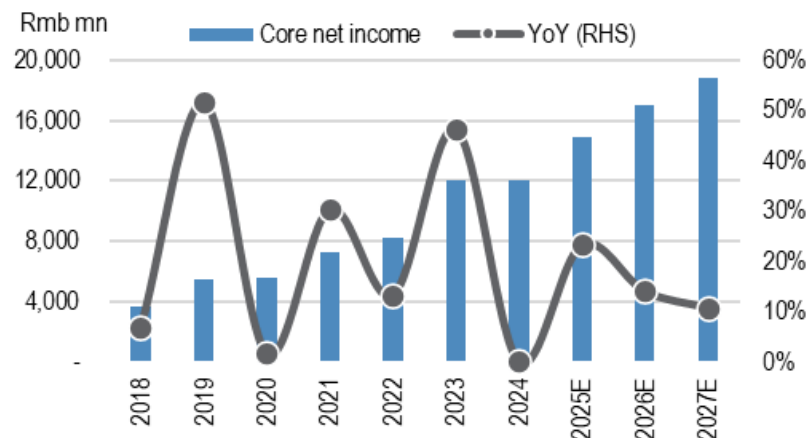
Source: Company data.

Operating profit margin trend by segment



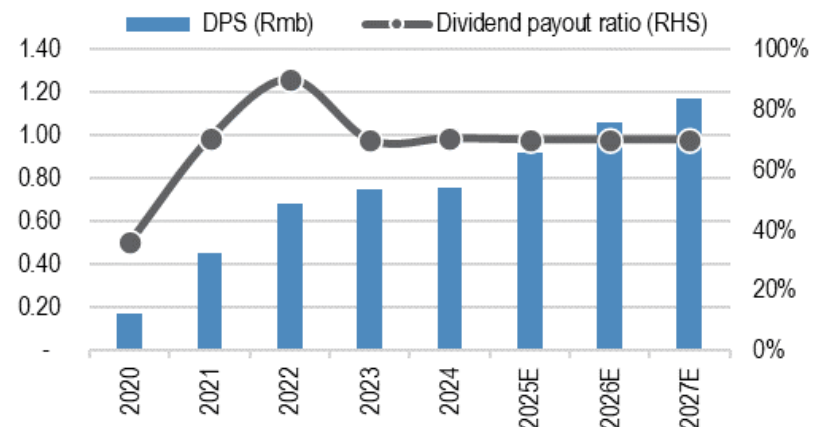
Source: Company data.

Core net income and YoY growth



Source: J.P. Morgan estimates, Company data.

DPS trend



Source: J.P. Morgan estimates, Company data.

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Nongfu Spring (OW): A shining name in a highly competitive market

Bear, Base and Bull scenarios for 2026

- Nongfu has been taking back the market share that it lost during 2024, and this looks set to continue into 2026 and beyond
- For every 10% PET price increase, Nongfu's GPM will be impacted by 0.9pp, and net earnings will be cut by 2.9%.

	Covid					PR incident from Mar-2024					Bear Base Bull			
FYE Dec 31 (Rmb mn)	2019	2020	2021	2022	2023	1H24	2H24	2024	1H25	2H25E	2025E	2026E	2026E	2026E
Market share														
Bottled water mkt size YoY	6%	-6%	7%	4%	7%			5%			4%	4%	4%	4%
Mkt shr in bottled water	13.1%	12.0%	12.3%	13.7%	14.8%			11.6%			12.4%	13.0%	13.1%	13.3%
YoY chg		-1.1%	0.3%	1.4%	1.1%			-3.2%			0.8%	0.6%	0.8%	1.0%
Nongfu's revenue	24,021	22,877	29,696	33,239	42,667	22,173	20,723	42,896	25,622	24,629	50,251	55,361	56,462	58,191
- Packaged drinking water	14,346	13,966	17,058	18,263	20,262	8,531	7,421	15,952	9,443	8,767	18,209	19,848	20,056	20,394
- Tea beverage	3,138	3,088	4,579	6,906	12,659	8,430	8,315	16,745	10,089	10,014	20,102	22,515	23,118	24,123
- Functional beverage	3,779	2,792	3,695	3,838	4,902	2,550	2,382	4,932	2,898	2,745	5,643	6,208	6,264	6,434
- Juice beverage	2,311	1,977	2,614	2,879	3,534	2,114	1,971	4,085	2,564	2,379	4,943	5,437	5,536	5,684
- Other products	447	1,054	1,750	1,354	1,311	548	634	1,182	629	724	1,353	1,353	1,489	1,556
YoY chg %	17%	-5%	30%	12%	28%	8%	-7%	1%	16%	19%	17%	10%	12%	16%
- Packaged drinking water	22%	-3%	22%	7%	11%	-18%	-24%	-21%	11%	18%	14%	9%	10%	12%
- Tea beverage	3%	-2%	48%	51%	83%	59%	13%	32%	20%	20%	20%	12%	15%	20%
- Functional beverage	14%	-26%	32%	4%	28%	4%	-3%	1%	14%	15%	14%	10%	11%	14%
- Juice beverage	25%	-14%	32%	10%	23%	25%	7%	16%	21%	21%	21%	10%	12%	15%
- Other products	-7%	136%	66%	-23%	-3%	-7%	-12%	-10%	15%	14%	15%	0%	10%	15%
COGS	(10,710)	(9,369)	(12,040)	(14,144)	(17,260)	(9,141)	(8,840)	(17,980)	(10,166)	(10,337)	(20,503)	(23,142)	(22,698)	(22,401)
PET	(3,382)	(2,444)	(3,940)	(5,019)	(5,120)			(4,484)			(4,499)	(5,439)	(4,994)	(4,697)
% of COGS	32%	26%	33%	35%	30%			25%			22%	24%	22%	21%
PET price (Rmb/ton)	7,180	7,180	7,180	8,369	7,330	7,231	6,574	6,892	6,106	5,887	5,988	6,586	6,048	5,688
PET price YoY%				17%	-12%	-3%	-9%	-6%	-16%	-10%	-13%	10%	1%	-5%
Gross profit	13,311	13,508	17,656	19,095	25,407	13,032	11,883	24,916	15,456	14,293	29,749	32,219	33,764	35,791
GPM	55.4%	59.0%	59.5%	57.4%	59.5%	58.8%	57.3%	58.1%	60.3%	58.0%	59.2%	58.2%	59.8%	61.5%
YoY chg					2.1%	-0.2%	-1.4%	-1.5%	3.0%	-2.3%	1.1%	-1.0%	0.6%	2.3%
Opex ratio and others	32.6%	34.6%	34.9%	32.6%	31.3%	30.7%	29.1%	29.9%	30.2%	28.8%	29.5%	31.0%	29.7%	29.2%
Net profit	5,487	5,581	7,280	8,249	12,073	6,220	5,863	12,083	7,714	7,188	14,901	15,057	17,008	18,799
YoY%	52%	2%	30%	13%	46%	-3%	-6%	0%	32%	-7%	23%	1%	14%	26%
NPM	22.8%	24.4%	24.5%	24.8%	28.3%	28.1%	28.3%	28.2%	30.1%	29.2%	29.7%	27.2%	30.1%	32.3%
YoY chg					3.5%	-1.0%	0.2%	-0.1%	1.8%	-0.9%	1.5%	-2.5%	0.5%	2.7%

Source: J.P. Morgan estimates, Company data

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Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2022	2023	2024	2025E	2026E	2027E	25E-27E CAGR	1H24	2H24	1H25	2H25E
Total revenue	33,239	42,667	42,896	50,251	56,462	62,447	11%	22,173	20,723	25,622	24,629
YoY	12%	28%	1%	17%	12%	11%		8%	-7%	16%	19%
Gross Profit	19,095	25,407	24,916	29,749	33,764	37,156	12%	13,033	11,883	15,457	14,293
Gross margin	57.4%	59.5%	58.1%	59.2%	59.8%	59.5%		58.8%	57.3%	60.3%	58.0%
SG&A	(9,656)	(11,446)	(11,136)	(12,060)	(13,240)	(14,363)		(5,885)	(5,251)	(6,078)	(5,982)
Selling and distribution expense	(7,821)	(9,284)	(9,173)	(9,799)	(10,982)	(11,865)		(4,971)	(4,202)	(5,011)	(4,788)
Administrative expenses	(1,835)	(2,162)	(1,962)	(2,261)	(2,258)	(2,498)		(913)	(1,049)	(1,068)	(1,194)
Core operating profit	9,440	13,960	13,780	17,688	20,524	22,793	14%	7,148	6,632	9,378	8,311
Core operating margin	28.4%	32.7%	32.1%	35.2%	36.4%	36.5%		32.2%	32.0%	36.6%	33.7%
Profit before tax	11,050	15,688	15,788	19,287	22,149	24,551		8,142	7,645	10,034	9,253
Income tax expense	(2,555)	(3,609)	(3,665)	(4,477)	(5,141)	(5,699)		(1,903)	(1,762)	(2,411)	(2,065)
Profit after tax	8,495	12,079	12,123	14,810	17,008	18,852		6,240	5,884	7,622	7,188
Reported net profit	8,495	12,079	12,123	14,810	17,008	18,852		6,240	5,884	7,622	7,188
YoY	19%	42%	0%	22%	15%	11%		8%	-7%	22%	22%
Net margin	25.6%	28.3%	28.3%	29.5%	30.1%	30.2%		28.1%	28.4%	29.7%	29.2%
Core net income	8,249	12,073	12,083	14,901	17,008	18,852	12%	6,220	5,863	7,714	7,188
YoY	13%	46%	0%	23%	14%	11%		10%	-9%	24%	23%
Core net margin	24.8%	28.3%	28.2%	29.7%	30.1%	30.2%		28.1%	28.3%	30.1%	29.2%
EPS, diluted (core)	0.73	1.07	1.07	1.32	1.51	1.68	12%	0.55	0.52	0.69	0.64
YoY	13%	46%	0%	23%	14%	11%					

FYE Dec 31 (Rmb mn)	2022	2023	2024	2025E	2026E	2027E	25E-27E CAGR	1H24	2H24	1H25	2H25E
Revenues											
- Packaged drinking water	18,263	20,262	15,952	18,209	20,056	21,662	9%	8,531	7,421	9,443	8,767
- Tea beverage	6,906	12,659	16,745	20,102	23,118	26,123	14%	8,430	8,315	10,089	10,014
- Functional beverage	3,838	4,902	4,932	5,643	6,264	6,828	10%	2,550	2,382	2,898	2,745
- Juice beverage	2,879	3,534	4,085	4,943	5,536	6,256	12%	2,114	1,971	2,564	2,379
- Other products	1,354	1,311	1,182	1,353	1,489	1,578	8%	548	634	629	724
Total	33,239	42,667	42,896	50,251	56,462	62,447	11%	22,173	20,723	25,622	24,629
YoY											
- Packaged drinking water	7.1%	10.9%	-21.3%	14.1%	10.1%	8.0%		-18.3%	-24.4%	10.7%	18.1%
- Tea beverage	50.8%	83.3%	32.3%	20.1%	15.0%	13.0%		59.5%	12.8%	19.7%	20.4%
- Functional beverage	3.9%	27.7%	0.6%	14.4%	11.0%	9.0%		3.8%	-2.6%	13.6%	15.3%
- Juice beverage	10.1%	22.7%	15.6%	21.0%	12.0%	13.0%		25.4%	6.7%	21.3%	20.7%
- Other products	-22.6%	-3.2%	-9.8%	14.5%	10.0%	6.0%		-7.2%	-12.0%	14.8%	14.3%
Total	11.9%	28.4%	0.5%	17.1%	12.4%	10.6%		8.4%	-6.7%	15.6%	18.9%

Source: J.P. Morgan estimates, Company data

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Summary of Financials

Balance sheet, Rmb mn	2023	2024	2025E	2026E	2027E
Cash and cash equivalents	24,125	10,722	14,804	19,989	26,242
Trade and bills receivables	547	581	681	765	846
Prepayments, deposits, and other receivables	695	1,218	1,427	1,604	1,774
Inventories	3,092	5,013	5,716	6,328	7,051
Pledged deposits	3	8	8	8	8
Right-of-use assets	-	-	-	-	-
Other current assets	-	1,529	1,529	1,529	1,529
Total current assets	28,461	19,072	24,165	30,223	37,450
Net PP&E/fixd assets	17,180	21,083	24,597	26,925	28,546
Net intangibles assets	74	72	68	62	56
Equity method investments	-	-	-	-	-
Right-of-use assets	947	1,027	1,299	1,672	2,165
LT deferred tax asset	921	1,088	1,088	1,088	1,088
Long-term bank deposits	1,511	10,631	10,631	10,631	10,631
Other long term assets	43	188	188	188	188
Total Non-Current Assets	20,676	34,088	37,871	40,566	42,674
Total assets	49,137	53,160	62,037	70,789	80,124
Trade and bills payables	1,770	1,499	1,710	1,893	2,109
Tax payables	2,054	1,695	2,071	2,378	2,636
Contract liabilities	3,585	3,566	4,066	4,501	5,015
Other payables and accruals	9,289	9,544	11,071	12,257	13,657
Interest-bearing bank and other borrowings	3,121	3,625	3,625	3,625	3,625
Lease liabilities	58	56	56	56	56
Total current liabilities	19,877	19,985	22,598	24,710	27,098
Lease liabilities	31	66	66	66	66
Other LT liabilities	658	823	823	823	823
Total non-current liabilities	690	888	888	888	888
Total liabilities	20,566	20,873	23,487	25,598	27,987
Common shares	1,125	1,125	1,125	1,125	1,125
Additional paid-in capital	-	-	-	-	-
Retained earnings (incl. proposed dividend of cur	27,446	31,163	37,425	44,066	51,013
Others	-	-	-	-	-
Total common equity	28,571	32,287	38,550	45,191	52,137
Minority interests	-	-	-	-	-
Total shareholders' equity	28,571	32,287	38,550	45,191	52,137
Total liabilities and equity	49,137	53,160	62,037	70,789	80,124

Cashflow statement, Rmb mn	2023	2024	2025E	2026E	2027E
Net profit pre-pref share dividends	12,079	12,123	14,810	17,008	18,852
Minority interest	-	-	-	-	-
Depreciation and amortization	2,631	2,875	3,370	3,851	4,301
Net gain/(loss) on asset sales	5	10	-	-	-
Impairment losses	6	5	-	-	-
Share of results of associates	2	3	-	-	-
Increase/decrease in working capital	3,198	(2,930)	1,226	931	1,157
Other operating cash flow items	(616)	(1,060)	376	307	258
Net cash flow from operating activities	17,305	11,022	19,782	22,098	24,567
Capital expenditure	(4,863)	(6,461)	(7,153)	(6,546)	(6,409)
Proceeds from disposal of assets	27	40	-	-	-
Other investment cash flow items	(9,448)	1,919	-	-	-
Net cash flow from investing activities	(14,284)	(4,502)	(7,153)	(6,546)	(6,409)
Dividends paid (common and pref.)	(7,646)	(8,435)	(8,547)	(10,367)	(11,906)
Increase/decrease in LTD, STD, notes payable	695	505	-	-	-
Principal portion of lease payments	(82)	(81)	-	-	-
Other financing cash flow items	10	(51)	-	-	-
Net cash flow from financing activities	(7,022)	(8,062)	(8,547)	(10,367)	(11,906)
Cash and cash equivalents at beginning of year	15,211	24,125	10,722	14,804	19,989
Total cash flow	(4,001)	(1,541)	4,082	5,185	6,253
Exchange rate	56	82	-	-	-
Cash and cash equivalents at end of year	24,125	10,722	14,804	19,989	26,242

Ratio Analysis	2023	2024	2025E	2026E	2027E
Gross margin	59.5%	58.1%	59.2%	59.8%	59.5%
EBITDA margin	40.8%	41.7%	44.0%	44.9%	44.9%
EBIT margin	34.7%	35.0%	37.3%	38.1%	38.0%
Adj. net margin	28.3%	28.2%	29.7%	30.1%	30.2%
ROE	46%	40%	42%	41%	39%
ROA	27%	24%	26%	26%	25%
ROIC	34%	29%	32%	32%	31%
Net cash / equity	79%	55%	57%	60%	64%
Dividend payout ratio	70%	71%	70%	70%	70%
Dividend yield			2%	2%	3%

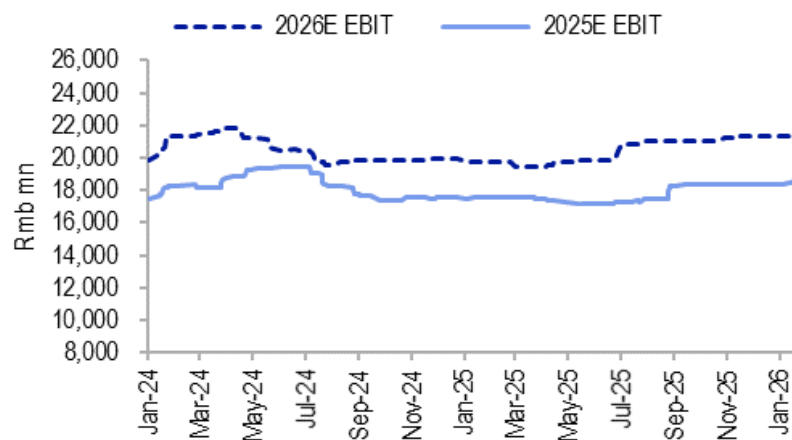
Multiples	2023	2024	2025E	2026E	2027E
Adjusted P/E (x)			34.1	29.9	27.0
Adjusted P/E, ex-cash (x)			32.6	28.3	25.2
P/B (x)			13.2	11.2	9.7
PEG (x)			1.5	2.1	2.5

Source: Company reports and J.P. Morgan estimates

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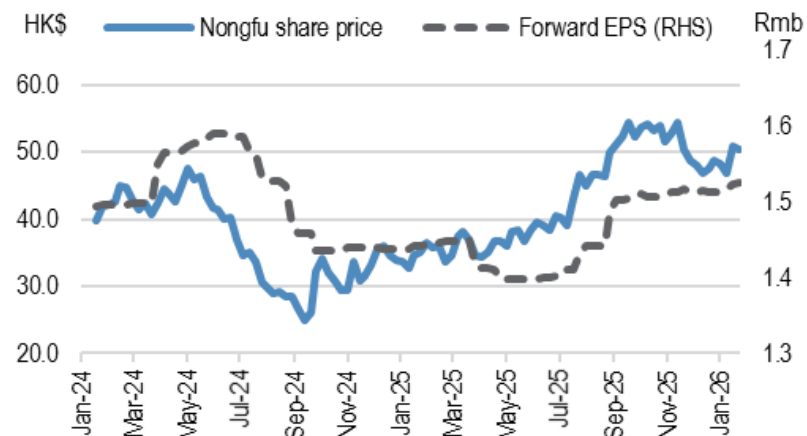
Consensus revisions and valuation charts

Consensus EBIT revisions – Nongfu



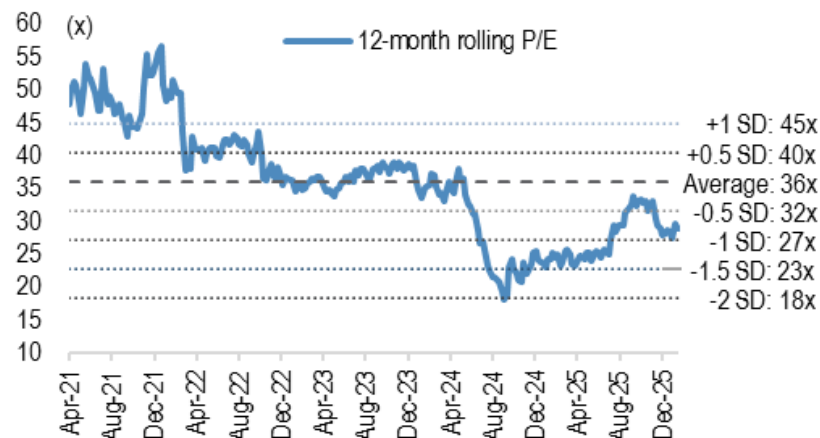
Source: Bloomberg Finance L.P. estimates.

Share price vs consensus forward EPS – Nongfu



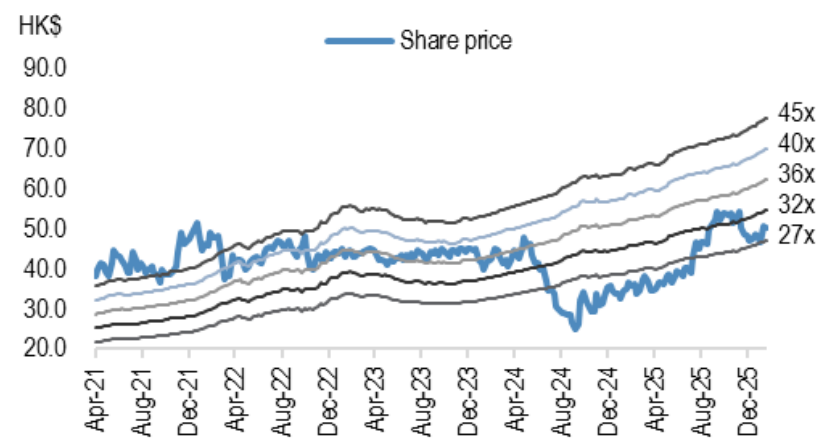
Source: Bloomberg Finance L.P.

12-month rolling P/E – Nongfu



Source: J.P. Morgan, Bloomberg Finance L.P.

12-month rolling P/E band chart – Nongfu



Source: J.P. Morgan, Bloomberg Finance L.P.

J.P.Morgan

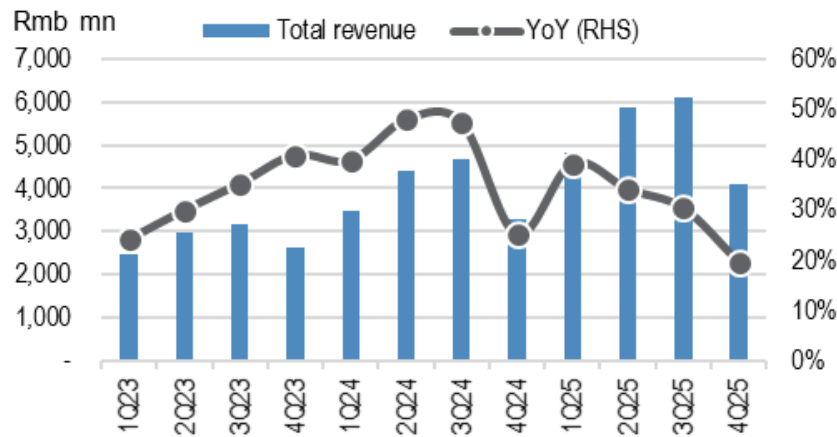
Eastroc Beverage (N): High-growth story with high expectations and not-so-high conviction

Eastroc Beverage is a disruptor in China's traditional beverage industry, with a 28% revenue CAGR and a 41% earnings CAGR during 2017-24. Going forward, we expect strong growth in energy beverages to moderate with a 17% revenue CAGR from 2024-2027E. Total revenue and earnings are expected to see 24% and 28% CAGR. Initiate at Neutral.

- **A disruptor in a traditional market.** Monster Beverage enjoyed a 32% retail sales share and 53% sales volume share in China's energy drink industry in 2025 (vs 10% and 15% value and volume share in 2018), which we think is remarkable for anyone to have imagined a few years ago.
- **Digitalization + channel expansion.** Eastroc heavily invested in digitalization from the starting point, and is now a well recognized leader in digitalization and channel management. Strong control of 2C data enables Eastroc to better understand consumer behavior and swiftly adjust marketing strategy. Today Eastroc covers 4.2mn PoS in China vs 1.0mn in 2019 (started in southern China), with further potential upside (total 6mn quality PoS in China), especially in northern China. Sports drink "Water Boost" covers around 3mn PoS, implying 18% upside vs a total of 4.2mn.
- **New growth areas – might not be as easy.** Energy beverages enjoy higher customer loyalty and hence repurchase rate due to their functionality. Moving on to other non/ less-functional beverages, will Eastroc be able to replicate the success story? On the bright side, the TAM of RTD tea (Rmb 154 bn) and other categories is significantly larger than that of energy drinks (Rmb 63 bn). The counter argument is that competition is fiercer with very strong competitors - Nongfu, UPC, Tingyi in tea, Coca-Cola, Pepsi in other beverages. 3Q25 revenue momentum adds more pressure to the concerns - energy beverages up 15% YoY, below consensus expectations; sports drinks and other products up 84% / 95% YoY, slightly beat.

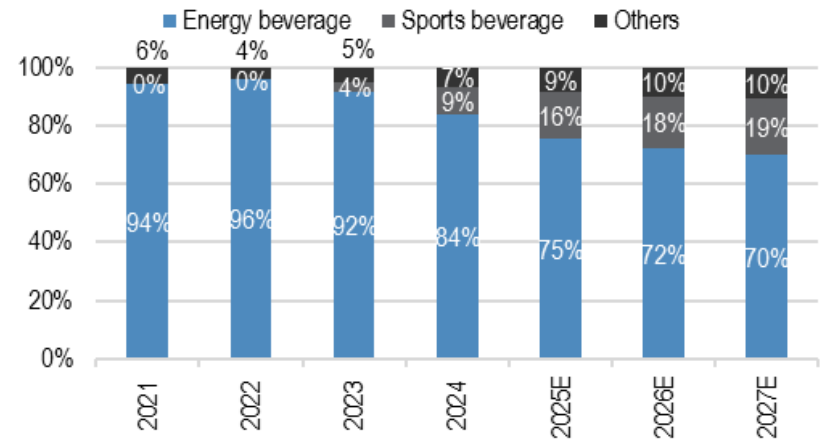
Eastroc Beverage (N): High-growth story with high expectations and not-so-high conviction

Quarterly revenue and YoY growth



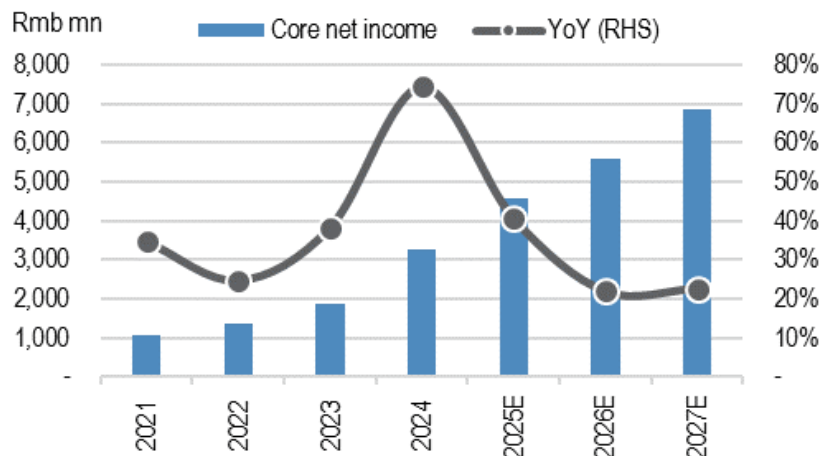
Source: J.P. Morgan estimates, Company data.

Revenue breakdown



Source: J.P. Morgan estimates, Company data.

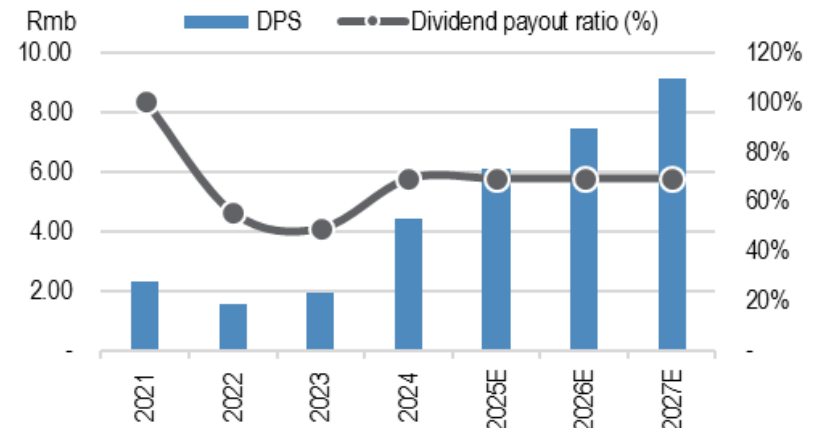
Core net income and YoY growth



Source: J.P. Morgan estimates, Company data.

Note: *4Q25 calculated from prelim 2025 results

DPS trend



Source: J.P. Morgan estimates, Company data.

Eastroc Beverage (N): High-growth story with high expectations and not-so-high conviction

Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2021	2022	2023	2024	2025E	2026E	2027E	2024-27E CAGR	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25
Sales volume YoY															
- Energy beverage	43%	24%	27.7%	29.3%	20.0%	17.0%	15.0%								
- Sports beverage															
- Other beverage			56%	60%	75%	40%	26%								
ASP YoY															
- Energy beverage	-1.2%	0.2%	-1.0%	-0.5%	-0.4%	-0.3%	0.0%								
- Sports beverage															
- Other beverage			4.3%	23.0%	-0.2%	-0.2%	-0.2%								
Revenue	6,978	8,505	11,263	15,839	21,092	25,710	30,298	24%	3,482	4,391	4,685	3,281	4,848	5,889	6,107
- Energy beverage	6,592	8,172	10,336	13,304	15,900	18,548	21,330	17%	3,103	3,752	3,652	2,797	3,901	4,460	4,203
- Sports beverage	-	-	394	1,495	3,390	4,652	5,814	57%	158	318	735	284	570	923	1,354
- Other beverage	372	319	520	1,023	1,787	2,497	3,140	45%	217	314	281	200	375	503	547
YoY	41%	22%	32%	41%	33%	22%	18%		40%	48%	47%	25%	39%	34%	30%
- Energy beverage	42%	24%	26%	29%	20%	17%	15%		30%	36%	28%	19%	26%	19%	15%
- Sports beverage				279%	127%	37%	25%				300%	237%	261%	190%	84%
- Other beverage	33%	-14%	63%	97%	75%	40%	26%				107%	5%	73%	60%	95%
% of total															
- Energy beverage	94%	96%	92%	84%	75%	72%	70%		89%	85%	78%	85%	80%	76%	69%
- Sports beverage	0%	0%	4%	9%	16%	18%	19%		5%	7%	16%	9%	12%	16%	22%
- Other beverage	5%	4%	5%	6%	8%	10%	10%		6%	7%	6%	6%	8%	9%	9%
Gross profit	3,096	3,600	4,851	7,097	9,539	11,685	13,957	25%	1,489	2,022	2,146	1,440	2,156	2,691	2,761
Gross margin	44%	42%	43%	45%	45%	45%	46%		43%	46%	46%	44%	44%	46%	45%
- Energy beverage	46.1%	42.5%	44.6%	47.5%	49.8%	50.8%	51.8%								
- Sports beverage	0.0%	0.0%	25.7%	29.0%	31.3%	32.8%	34.3%								
- Other beverage	11.9%	13.7%	8.2%	21.6%	21.6%	22.6%	23.6%								
Core operating profit	1,357	1,759	2,351	3,768	5,297	6,669	8,228	30%	743	1,237	1,136	653	1,163	1,602	1,593
YoY	36%	30%	34%	60%	41%	26%	23%		29%	86%	84%	32%	57%	30%	40%
Core operating margin	19%	21%	21%	24%	25%	26%	27%		21%	28%	24%	20%	24%	27%	26%
Net income	1,193	1,441	2,040	3,327	4,591	5,597	6,864	27%	664	1,067	977	619	980	1,394	1,387
YoY	47%	21%	42%	63%	38%	22%	23%		34%	75%	78%	61%	48%	31%	42%
Net margin	17%	17%	18%	21%	22%	22%	23%		19%	24%	21%	19%	20%	24%	23%
Core net income	1,084	1,352	1,870	3,262	4,591	5,597	6,864	28%	624	1,082	956	599	959	1,311	1,270
YoY	35%	25%	38%	74%	41%	22%	23%		26%	77%	75%	56%	54%	21%	33%
Core net margin	16%	16%	17%	21%	22%	22%	23%		18%	25%	20%	18%	20%	22%	21%
Core EPS - diluted	2.09	2.60	3.60	6.27	8.83	10.76	13.20	28%	1.20	2.08	1.84	1.15	1.84	2.52	2.44
YoY	21%	25%	38%	74%	41%	22%	23%								

Source: J.P. Morgan estimates, Company data

Eastroc Beverage (N): High-growth story with high expectations and not-so-high conviction

Summary of Financials

Balance sheet, Rmb mn	2023	2024	2025E	2026E	2027E
Cash and equivalents	6,058	5,653	8,021	9,228	10,740
Short-term investments	1,239	4,897	4,897	4,897	4,897
Inventory/stocks	569	1,068	1,412	1,714	1,997
Net receivables	89	110	146	178	210
Other current assets	815	978	978	978	978
Current assets	8,769	12,706	15,454	16,995	18,822
Net PP&E/Fixed assets	3,301	4,224	5,249	6,380	7,642
Net intangibles	485	746	1,166	1,707	2,346
Total investments	-	-	110	210	310
Other long-term assets	2,155	5,001	5,001	5,001	5,001
Non-current assets	5,941	9,971	11,526	13,298	15,298
Total assets	14,710	22,676	26,979	30,292	34,120
Accounts payable	2,251	3,149	4,161	5,052	5,886
ST debt and current portion of LT debt	2,996	6,551	6,551	6,551	6,551
Contract liabilities	2,607	4,761	4,761	4,761	4,761
Other current liabilities	194	385	2,258	2,954	3,830
Current liabilities	8,047	14,845	17,732	19,318	21,028
Long-term debt	220	-	-	-	-
Other long-term liabilities/creditors	119	140	140	140	140
Total long-term liabilities	339	140	140	140	140
Total liabilities	8,386	14,985	17,871	19,457	21,167
Preferred shares	-	-	-	-	-
Common stock	400	520	520	520	520
Treasury stock	-	-	-	-	-
Retained earnings	3,838	5,165	6,582	8,309	10,427
Other common equity	2,085	2,003	2,003	2,003	2,003
Total common equity	6,324	7,688	9,105	10,832	12,950
Minority interest (balance sheet)	-	4	3	3	3
Total shareholders funds/equity	6,324	7,692	9,108	10,835	12,953
Total liabilities and equity	14,710	22,676	26,979	30,292	34,120

Cashflow statement, Rmb mn	2023	2024	2025E	2026E	2027E
Income pre-preferred share dividends	2,040	3,327	4,591	5,597	6,864
Minority interest	-	(0)	(0)	(0)	(0)
Depreciation and amortization	254	343	426	542	675
Net income from associates and jointly controlled entities	-	-	-	-	-
Net loss/(gain) on asset sales	(141)	(95)	-	-	-
(Increase)/decrease in working capital	1,115	2,455	633	556	519
Other operating cash flow items	14	(241)	-	-	-
Cash flow from operations	3,281	5,789	5,649	6,695	8,058
Capital expenditure	(918)	(1,687)	(1,706)	(2,049)	(2,411)
(Acquisitions)/divestitures	(3)	3	-	-	-
Investments	(46)	(5,383)	(110)	(100)	(100)
Other investment cash flow items	209	192	(165)	(165)	(165)
Cash flow from investing	(758)	(6,875)	(1,981)	(2,314)	(2,676)
Dividends paid (common and preferred)	(811)	(2,051)	(1,300)	(3,174)	(3,870)
Others	(247)	3,559	-	-	-
Cash flow from financing	(1,058)	1,507	(1,300)	(3,174)	(3,870)

Ratio Analysis	2023	2024	2025E	2026E	2027E
Gross margin	43.1%	44.8%	45.2%	45.5%	46.1%
EBITDA margin	23.4%	26.2%	28.1%	28.2%	29.5%
EBIT margin	20.9%	23.8%	25.1%	25.9%	27.2%
Net margin	18.1%	21.0%	21.8%	21.8%	22.7%
ROE	33%	47%	55%	56%	58%
ROA	14%	17%	18%	20%	21%
ROIC	19%	21%	27%	30%	33%
Net cash / equity	65%	52%	70%	70%	70%
Dividend payout ratio	49%	69%	69%	69%	69%
Dividend yield			2%	3%	4%

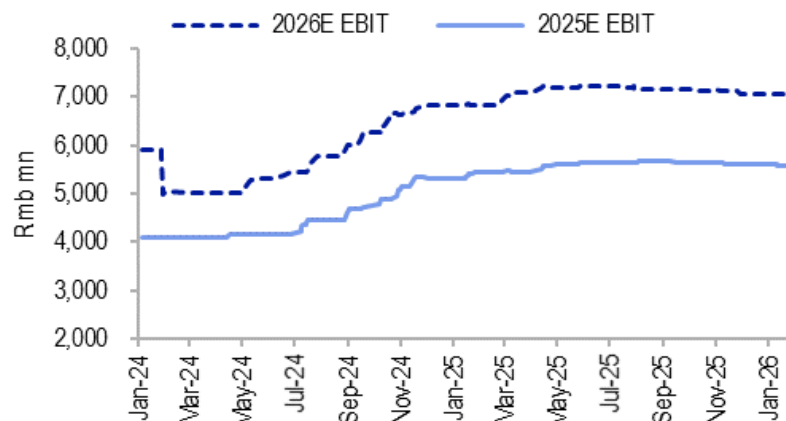
Multiples	2023	2024	2025E	2026E	2027E
Adjusted P/E (x)			28.8	23.6	19.3
Adjusted P/E, ex-cash (x)			27.4	22.3	18.0
P/B (x)			14.5	12.2	10.2
PEG (x)			0.7	1.1	0.9

Source: Company reports and J.P. Morgan estimates.

Eastroc Beverage (N): High-growth story with high expectations and not-so-high conviction

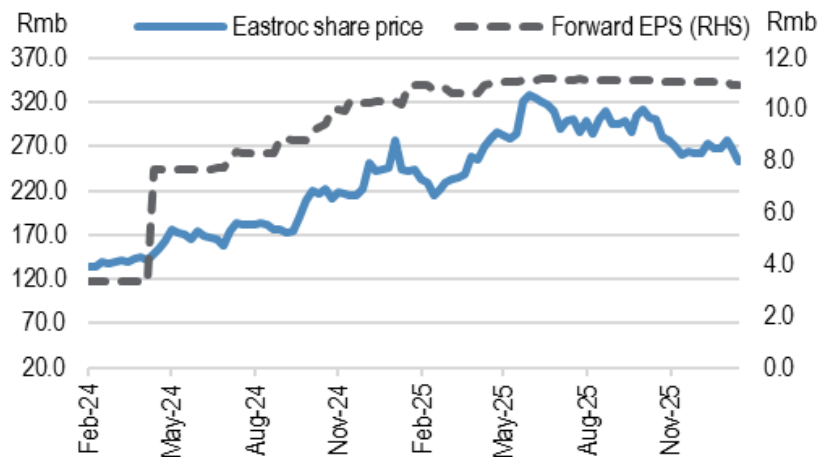
Consensus revisions and valuation charts

Consensus EBIT revisions – Eastroc



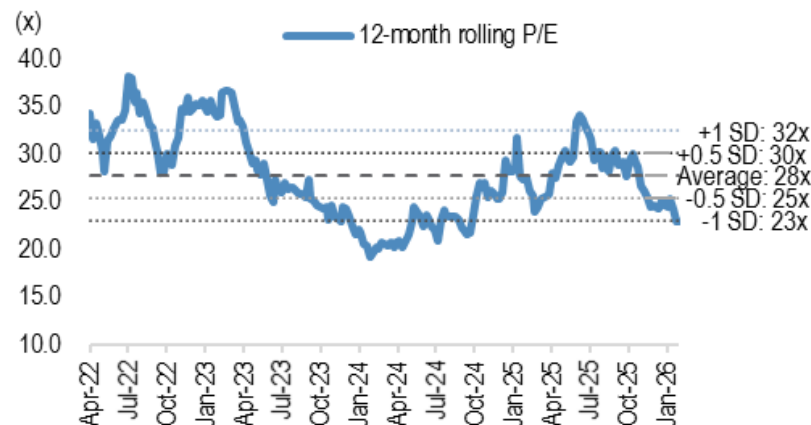
Source: Bloomberg Finance L.P. estimates.

Share price vs consensus forward EPS – Eastroc



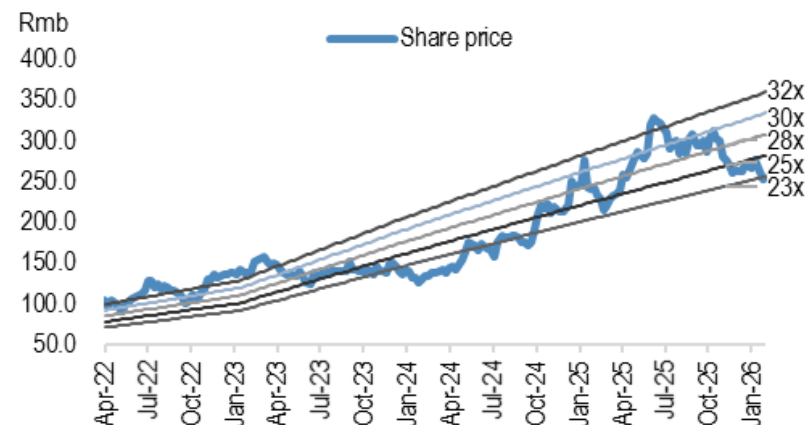
Source: Bloomberg Finance L.P.

12-month rolling P/E – Eastroc



Source: J.P. Morgan, Bloomberg Finance L.P.

12-month rolling P/E band chart – Eastroc



Source: J.P. Morgan, Bloomberg Finance L.P.

J.P.Morgan

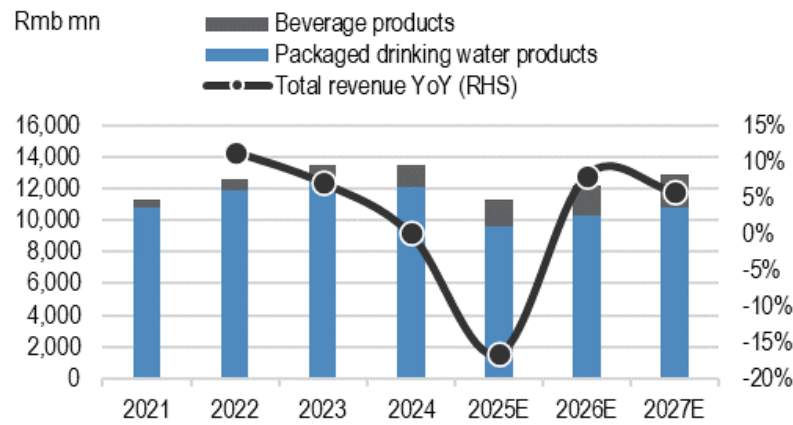
CR Beverage (N): Worst seems to be behind us, but the recovery might not be linear

CR Beverage is a pioneer in China's bottled water industry. After four decades of development, the company has grown into the second-largest company in the bottled water market, and the #1 in the purified drinking water market in 2023. Although its market share retreated in 2024-25 due to sharp changes in the competitive landscape, we believe the worst is already behind us. Initiate at Neutral.

- **Robust growth in the beverage segment...** Beverage products have been delivering stable growth, with 31% YoY revenue growth in 2024 and another 21% YoY growth in 1H25. Revenue from beverages now contributes 15% of total (1H25), and management expects the segment to maintain double-digit YoY growth with a 20-30% revenue contribution in 2-3 years.
- **... Not enough to offset weakness in the water segment.** CR Beverage was affected by the dispute between Wahaha and Nongfu since 2024 due to escalated competition. Nongfu, to defend its own shares, launched the “green bottle” purified water in 2024. With a retail price of Rmb 1 (vs CR Beverage's C'estbon more premium offering, selling at Rmb 2) and strong incentives to distributors, the green bottle surprised the market on the upside. As the market disruption is phasing out gradually from 2H25, we expect the impact to CR Beverage to be relatively mitigated, and forecast the revenue decline in 2H25 (JPMe -14%) to slightly narrow from 1H25 (-19% YoY).
- **Channel adjustment in the process.** The company has been increasing support to terminal PoS, expanding to more catering and specialty channels, exploring e-Commerce channel, household channel and other emerging channels, to address previous shortcomings. We also understand from management that the distribution network will be flattened or consolidated in some regions - which means it won't be done in one go, and it will take time to see the effects.

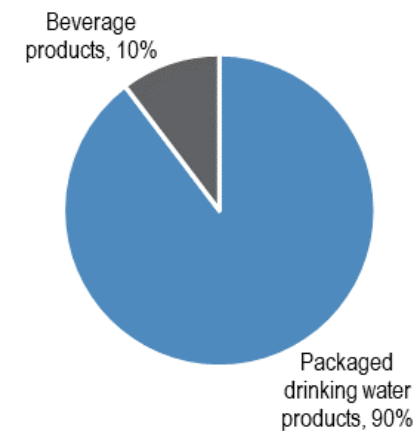
CR Beverage (N): Worst seems to be behind us, but the recovery might not be linear

Revenue and YoY growth



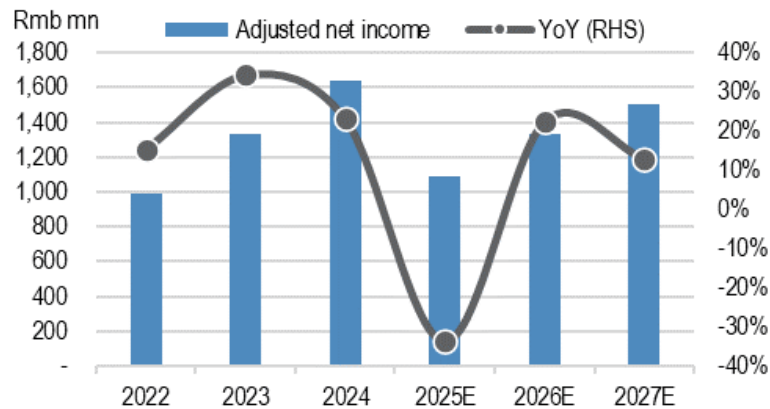
Source: J.P. Morgan estimates, Company data.

Revenue breakdown (2024)



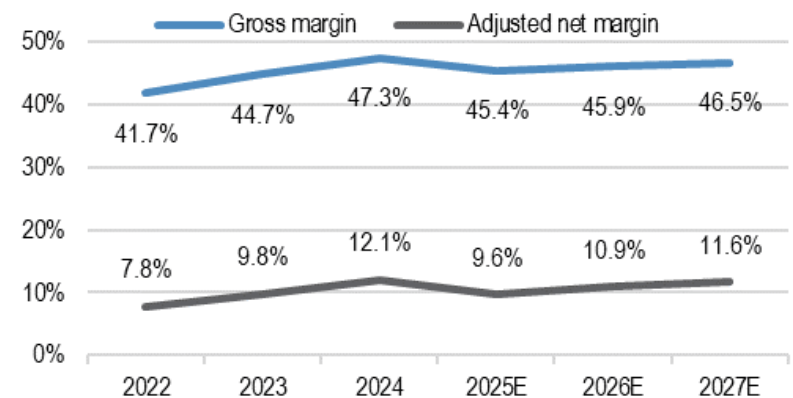
Source: Company data.

Adjusted net income and YoY growth



Source: J.P. Morgan estimates, Company data.

Margins trend



Source: J.P. Morgan estimates, Company data.

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CR Beverage (N): Worst seems to be behind us, but the recovery might not be linear

Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2022	2023	2024	2025E	2026E	2027E	25E-27E CAGR	1H24	2H24	1H25	2H25E
Revenues											
- Packaged drinking water products	11,906	12,447	12,124	9,635	10,282	10,755	6%	6,829	5,295	5,251	4,384
- Beverage products	717	1,068	1,397	1,643	1,900	2,141	14%	787	610	955	688
Total	12,623	13,515	13,521	11,278	12,183	12,896	7%	7,616	5,905	6,206	5,072
YoY											
- Packaged drinking water products	10%	5%	-3%	-21%	7%	5%		3%	-9%	-23%	-17%
- Beverage products	37%	49%	31%	18%	16%	13%		40%	20%	21%	13%
Total	11%	7%	0.0%	-16.6%	8.0%	5.9%		6%	-6%	-19%	-14%
% of total											
- Packaged drinking water products	94%	92%	90%	85%	84%	83%		90%	90%	85%	86%
- Beverage products	6%	8%	10%	15%	16%	17%		10%	10%	15%	14%
Key financial metrics (Rmb mn)											
Total revenue	12,623	13,515	13,521	11,278	12,183	12,896	7%	7,616	5,905	6,206	5,072
YoY	11%	7%	0%	-17%	8%	6%		6%	-6%	-19%	-14%
Gross Profit	5,259	6,035	6,397	5,118	5,595	5,998	8%	3,753	2,645	2,896	2,221
YoY	6%	15%	6%	-20%	9%	7%		0%	0%	-23%	-16%
<i>Gross margin</i>	<i>41.7%</i>	<i>44.7%</i>	<i>47.3%</i>	<i>45.4%</i>	<i>45.9%</i>	<i>46.5%</i>		<i>49.3%</i>	<i>44.8%</i>	<i>46.7%</i>	<i>43.8%</i>
Core operating profit	1,067	1,587	1,990	1,046	1,392	1,613	24%	1,499	490	853	194
YoY	17.0%	48.7%	25.4%	-47.4%	33.0%	15.9%		0.0%	0.0%	-43.1%	-60.5%
<i>Core OP margin</i>	<i>8.5%</i>	<i>11.7%</i>	<i>14.7%</i>	<i>9.3%</i>	<i>11.4%</i>	<i>12.5%</i>		<i>19.7%</i>	<i>8.3%</i>	<i>13.7%</i>	<i>3.8%</i>
Reported net income	990	1,329	1,637	1,086	1,330	1,502	18%	1,128	509	805	281
YoY	15%	34%	23%	-34%	23%	13%		0%	0%	-29%	-45%
<i>Net margin, reported</i>	<i>7.8%</i>	<i>9.8%</i>	<i>12.1%</i>	<i>9.6%</i>	<i>10.9%</i>	<i>11.6%</i>		<i>14.8%</i>	<i>8.6%</i>	<i>13.0%</i>	<i>5.5%</i>
EPS (Rmb)	0.49	0.66	0.79	0.46	0.56	0.63	18%				
YoY	15%	34%	19%	-42%	23%	13%					

Source: J.P. Morgan estimates, Company data.

CR Beverage (N): Worst seems to be behind us, but the recovery might not be linear

Summary of Financials

Balance sheet, Rmb mn	2023	2024	2025E	2026E	2027E
Cash and cash equivalents	2,075	5,701	4,127	4,491	4,620
Structured deposits	2,297	4,947	4,947	4,947	4,947
Inventories	377	504	436	466	488
Trade and bills receivables	683	668	557	602	637
Prepayments, deposits, and other receivables	103	118	99	107	113
Right-of-use assets	-	-	-	-	-
Other current assets	23	23	23	23	23
Total current assets	5,558	11,961	10,188	10,635	10,827
Net PP&E/fixed assets	4,810	5,924	6,804	7,652	8,465
Equity method investments	-	-	-	-	-
LT deposits	1,577	-	-	-	-
Right-of-use assets	518	579	628	666	694
LT deferred tax asset	243	92	119	119	119
Other long term assets	296	140	112	112	112
Total non-current Assets	7,444	6,734	7,663	8,548	9,390
Total assets	13,002	18,694	17,851	19,183	20,217
Accounts payable	5,022	3,719	3,216	3,439	3,601
Amounts due to shareholders	3	2,370	2,370	2,370	2,370
Tax payables	8	19	13	16	18
Contract liabilities	139	193	167	179	187
Other payables and accruals	-	-	-	-	-
Bank borrowing - current	-	6	6	6	6
Lease liabilities	16	14	14	14	14
Other current liabilities	-	-	-	-	-
Total current liabilities	5,188	6,322	5,786	6,024	6,196
Bank borrowing - non-current	-	11	11	11	11
Lease liabilities	20	25	25	25	25
Other liabilities	421	474	474	474	474
Total non-current liabilities	441	511	511	511	511
Total liabilities	5,629	6,833	6,297	6,535	6,707
Common shares	0.01	0.01	0.01	0.01	0.01
Additional paid-in capital	-	-	-	-	-
Retained earnings	6,903	11,300	10,969	12,040	12,877
Total common equity	6,903	11,300	10,969	12,040	12,877
Minority interests	470	561	585	609	633
Total shareholders' equity	7,373	11,861	11,554	12,649	13,510
Total liabilities and equity	13,002	18,694	17,851	19,183	20,217

Cashflow statement, Rmb mn	2023	2024	2025E	2026E	2027E
Net profit pre-pref share dividends	1,329	1,637	1,086	1,330	1,502
Minority interest	2	24	24	24	24
DD&A	482	593	704	816	933
Reversal of long outstanding payables	(11)	(1)	(1)	(1)	(1)
Increase/decrease in working capital	21	(679)	(331)	152	107
Other operating cash flow items	(105)	(181)	(34)	3	2
Net cash flow from operating activities	1,718	1,393	1,448	2,325	2,568
Purchase of PP&E	(2,251)	(1,981)	(1,533)	(1,610)	(1,691)
Purchase of right-of-use assets	(61)	(3)	(83)	(74)	(86)
Others	221	(990)	(10)	(55)	(45)
Net cash flow from investing activities	(2,090)	(2,974)	(1,626)	(1,739)	(1,802)
Dividends paid (common and pref.)	-	-	(1,417)	(260)	(665)
Share repurchase/issue	-	5,298	-	-	-
Others	(61)	(138)	-	-	-
Net cash flow from financing activities	(61)	5,160	(1,417)	(260)	(665)
Total cash flow	(433)	3,580	(1,595)	326	101
Exchange rate	(0)	46	-	-	-
Cash and cash equivalents at beginning of year	2,508	2,075	5,701	4,127	4,491
Cash and cash equivalents at end of year	2,075	5,701	4,127	4,491	4,620

Ratio Analysis	2023	2024	2025E	2026E	2027E
Gross margin	44.7%	47.3%	45.4%	45.9%	46.5%
EBITDA margin	16.5%	19.9%	16.6%	19.1%	20.7%
EBIT margin	12.9%	15.5%	10.3%	12.4%	13.4%
Adj. net margin	9.8%	12.1%	9.6%	10.9%	11.6%
ROE	20%	17%	9%	11%	11%
ROA	11%	10%	6%	7%	8%
ROIC	15%	13%	7%	8%	9%
Net cash / equity	86%	94%	83%	78%	74%
Dividend payout ratio	0%	44%	50%	50%	50%
Dividend yield			2%	3%	3%

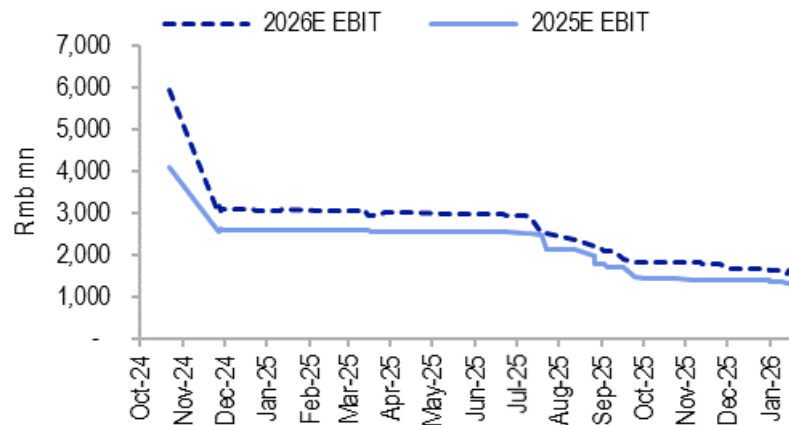
Multiples	2023	2024	2025E	2026E	2027E
Adjusted P/E (x)			20.1	16.4	14.5
Adjusted P/E, ex-cash (x)			11.8	9.3	8.2
P/B (x)			2.0	1.8	1.7
PEG (x)			n.m.	0.7	1.1

Source: Company reports and J.P. Morgan estimates.

CR Beverage (N): Worst seems to be behind us, but the recovery might not be linear

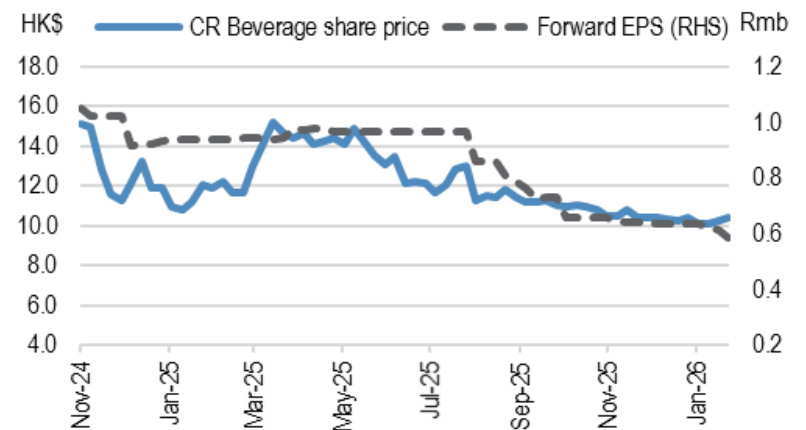
Consensus revisions and valuation charts

Consensus EBIT revisions – CR Beverage



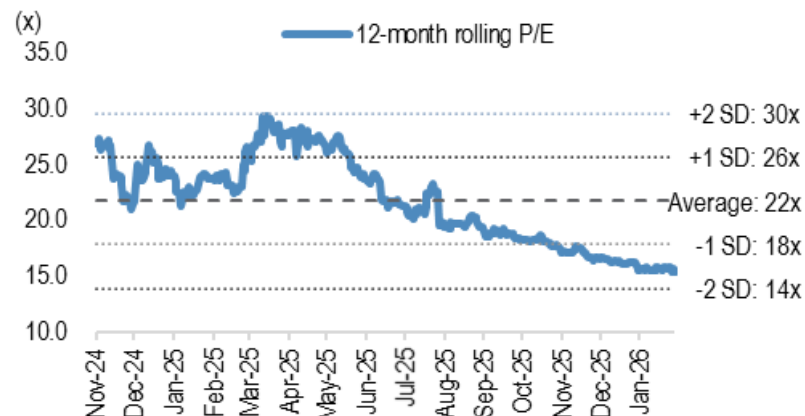
Source: Bloomberg Finance L.P. estimates.

Share price vs consensus forward EPS – CR Beverage



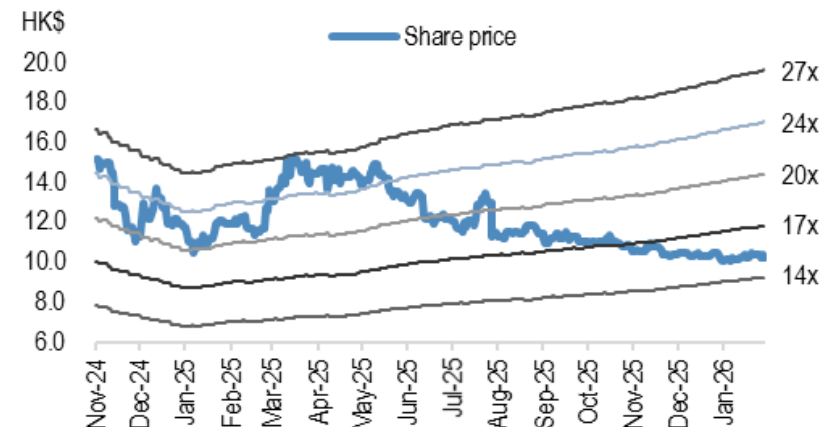
Source: Bloomberg Finance L.P.

12-month rolling P/E – CR Beverage



Source: J.P. Morgan, Bloomberg Finance L.P.

12-month rolling P/E band chart – CR Beverage



Source: J.P. Morgan, Bloomberg Finance L.P.

Chagee (UW): Pioneer of the modern teahouse, from China to the world

Chagee is a leading premium tea drinks brand, founded in 2017. As Chagee is in a transition period with seemingly worsening store UE in China and accelerated footprints overseas, we suspect the market will continue to take a wait and see approach. Initiate at UW.

- **Premium modern teahouse from the East ...** Chagee is the pioneer in promoting tea-drinking experience and “teaspresso” in China. **Chagee is one step ahead of peers** in (1) focusing on signature tea latte products - less pressure on supply chain and production SOP, and (2) modernizing the old tea industry with automated tea-making machines - both positive to operation efficiency, making it standardized and feasible to replicate into other countries.
- **... to the West.** Chagee made its North American debut by opening its first US store in Los Angeles in April 2025, selling over 5,000 cups on opening day. By Jun-2025, Chagee already had a strong presence in Southeast Asia, and management is also actively preparing to enter new markets like Japan, South Korea, and the Middle East. We note from investors that this move looks bold and has diluted management focus in optimizing domestic store UE, therefore leading to many question marks.
- **Newness vs efficiency; price vs cost.** There is a natural balance between a simple core menu and newness - the trial of the fruit-based new milk tea SKU proved that the supply chain is not Chagee’s advantage, hence reinforced their determination in their core menu strategy. The flip side is not enough newness. Chagee’s products are priced at a premium to other brands (Guming, ChaPanda, Antea Jenny, etc.), aligning with store format and much higher initial investment for franchisees (Rmb 860k for Chagee, 2-2.6x of that for a Guming, Luckin and Mixue store). But in the current weak macro environment, the premium price seems unjustified by mere brand image for mass consumers. This was further amplified during the 2025 food delivery subsidy campaign - where Chagee did not actively participate.

Chagee (UW): Pioneer of the modern teahouse, from China to the world

Updates on recent catalysts

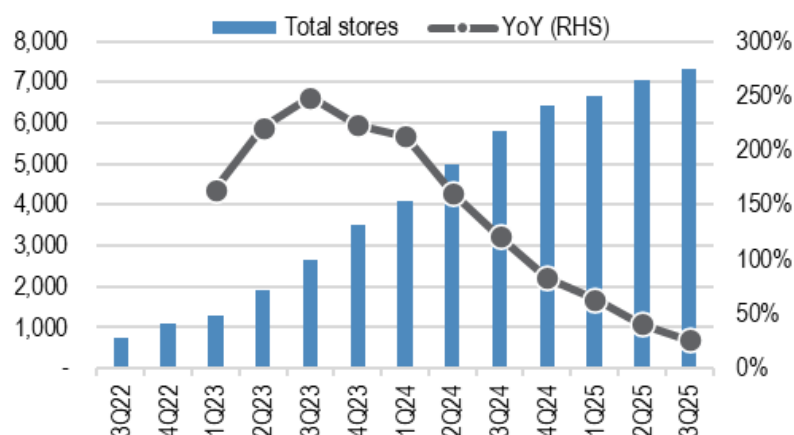
- **New product launches.** Chagee has launched a Pu'er tea-based “Yunnan series” from 20th Dec 2025. Performance since the debut is in-line with management expectations. In addition, Chagee is ready to launch another new series around mid-Jan; another new series is also scheduled to debut in Feb.
- **Profit-sharing model.** The majority of franchisees have agreed to the new profit-sharing model, as their store-level EBITDA margin could be lifted by 1ppt after the transition. The effective date is 1 Jan 2026.
- **Cost reduction initiatives.** Chagee has started to cut headcounts (mainly SG&A staff) from 4Q25 and likely through 1Q26 or 1H26. If it goes smoothly, it could provide some support to profit margins.

Overcorrection on 26th Dec 2025. On 26th Dec 2025, Chagee’s share price dropped to US\$10.44 (down 14.5%) at its lowest intra-day, and closed at US\$11.90 (-2.5%, vs index -0.5%). The selloff was likely triggered by an incident where an influencer claimed that “some high-caffeine drinks from brands like Chagee are skirting the line of quasi-drugs”. The claim is counter-intuitive but did lead to some discussion among consumers on social media. Chagee issued an announcement immediately. Xinhuanet also issued an article “Linking tea beverage with drugs is a defamation of Chinese tea culture” two days later.

High caffeine itself is not a flaw for a tea/coffee brand in our view. But to cater to a wider group of customers, Chagee offers a low-caffeine option for its key SKUs in c.30% stores enabled by self-developed machine and techniques, and it will cover more SKUs and more stores going forward. This has been underappreciated by the market, in our view.

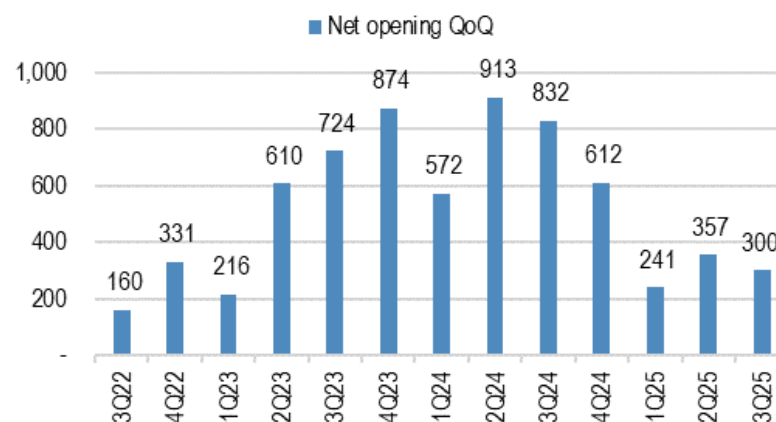
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Total No. of teahouses reached 7.3k by end of 3Q25



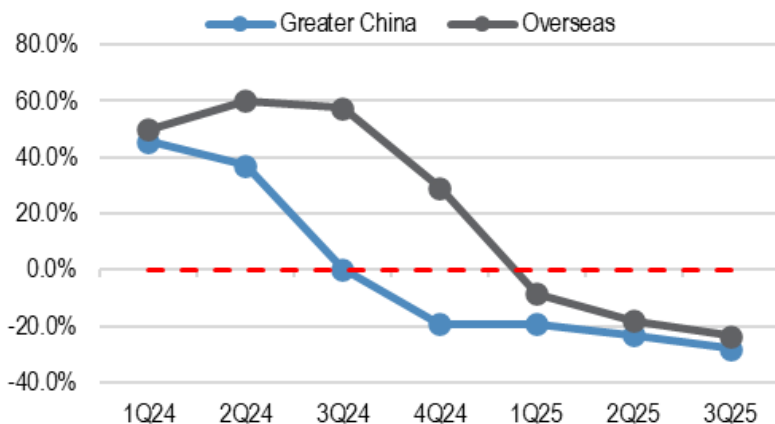
Source: Company data.

Net opening moderating in 3Q25 from previous quarters



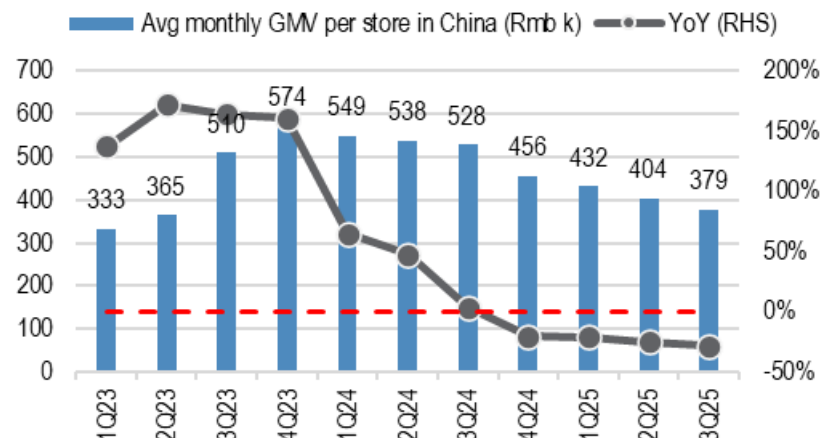
Source: Company data.

SSSG decline of GMV further widened in 3Q25 to 28%/23% in China/overseas market



Source: Company data.

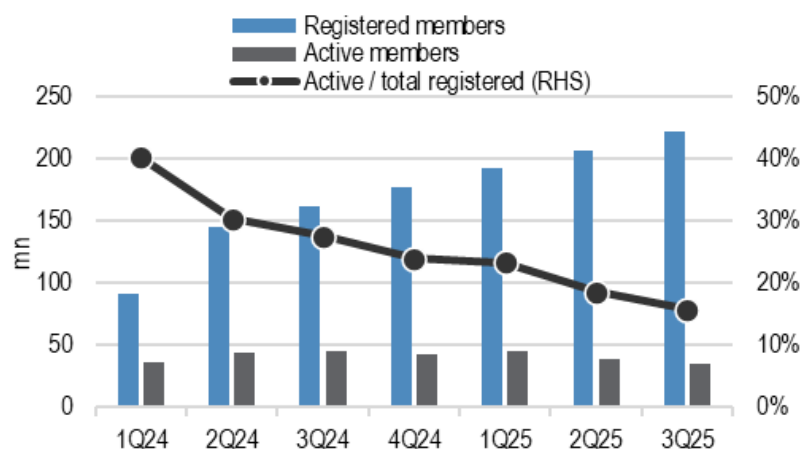
Monthly average GMV in China dropped to Rmb379k in 3Q25, down 28% yoy (widened from 24% in 2Q25)



Source: Company data.

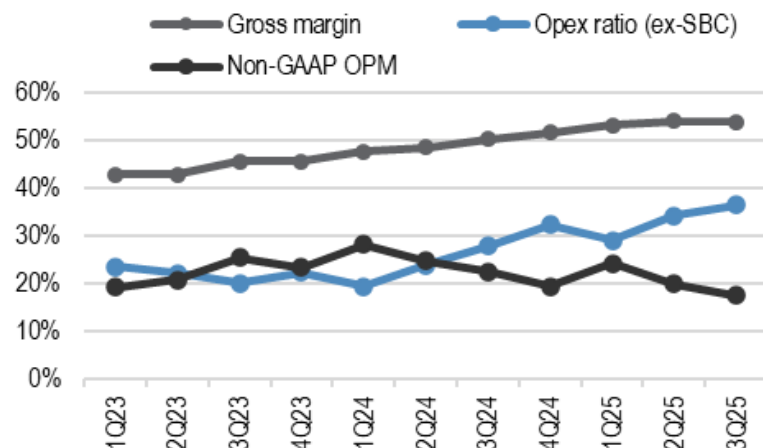
Chagee (UW): Pioneer of the modern teahouse, from China to the world

Active members declined by 21% yoy to 35mn in 3Q25, reflecting intensified industry competition



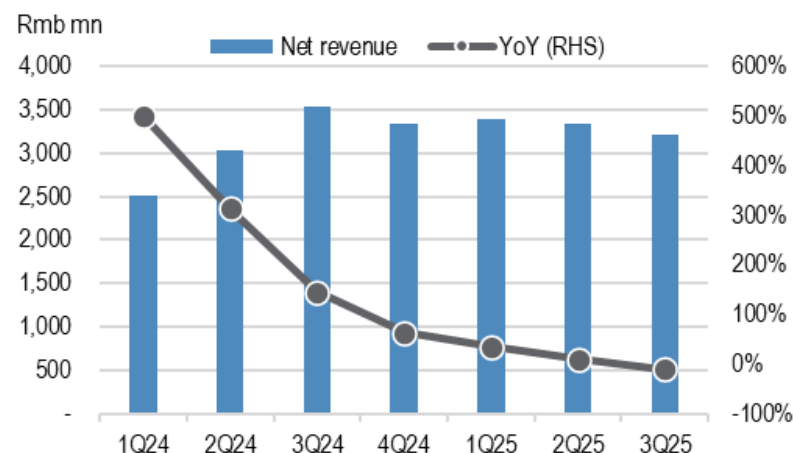
Source: Company data.

3Q25 non-GAAP operating margin slid to 17% due to operating leverage



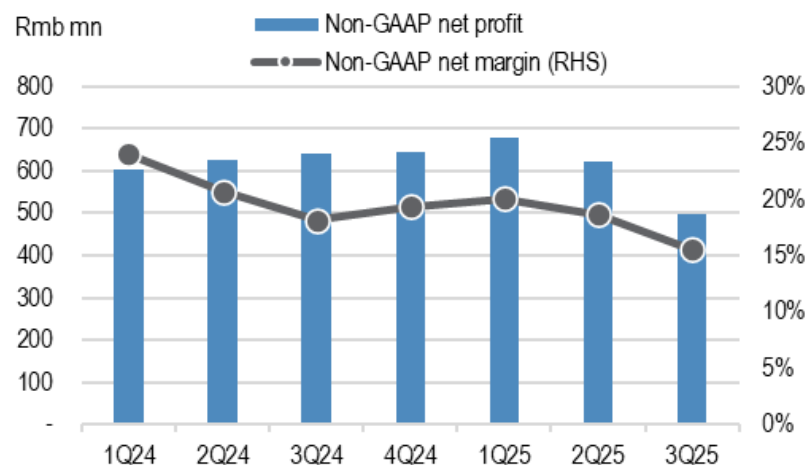
Source: Company data.

3Q25 saw first quarterly revenue decline, -9% yoy



Source: Company data.

Non-GAAP net income of Rmb499mn implies 22% yoy decline and 16% margin



Source: Company data.

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Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2022	2023	2024	2025E	2026E	2027E	25E-27E CAGR	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E
Teahouse #													
Total stores	1,087	3,511	6,440	7,410	7,925	8,655	8%	5,828	6,440	6,681	7,038	7,338	7,410
Franchised	1,057	3,472	6,271	7,021	7,516	8,216	8%	5,676	6,271	6,490	6,799	6,971	7,021
Company-owned	30	39	169	389	409	439	6%	152	169	191	239	367	389
China	1,024	3,416	6,284	7,096	7,411	8,041	6%	5,692	6,284	6,512	6,830	7,076	7,096
Overseas	63	95	156	314	514	614	40%	136	156	169	208	262	314
Net change YoY													
Total stores	625	2,424	2,929	970	515	730		832	612	241	357	300	72
Franchised	610	2,415	2,799	750	495	700		798	595	219	309	172	50
Company-owned	15	9	130	220	20	30		34	17	22	48	128	22
China	597	2,392	2,868	812	315	630		811	592	228	318	246	20
Overseas	28	32	61	158	200	100		21	20	13	39	54	52
Key metrics													
SSSG		94.9%	2.7%					1.5%	-18.4%	-18.9%	-23.0%	-24.1%	
China								0.4%	-19.3%	-19.1%	-23.1%	-27.9%	
Overseas		24.5%	46.9%					57.6%	29.2%	-8.4%	-18.1%	-23.4%	
China avg monthly GMV per store (Rmb k)	178	483	512					528	456	432	404	379	
YoY		171.9%	6.0%					3.5%	-20.6%	-21.3%	-24.8%	-28.3%	
Average daily cups sold per teahouse	299	800	837	521	469	469							
YoY	0%	167%	5%	-38%	-10%	0%							
Implied ASP per cup (Rmb)	19.8	20.1	20.4	20.4	20.4	20.4							
YoY	0%	2%	1%	0%	0%	0%							
FYE Dec 31 (Rmb mn)	2022	2023	2024	2025E	2026E	2027E	25E-27E CAGR	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E
Net revenue	492	4,640	12,406	12,640	12,785	14,402	7%	3,541	3,334	3,393	3,332	3,208	2,707
YoY	0%	844%	167%	2%	1%	13%		145%	63%	35%	10%	-9%	-19%
Cost of materials, storage and logistics	(304)	(2,562)	(6,257)	(5,916)	(6,070)	(6,826)		(1,765)	(1,614)	(1,590)	(1,537)	(1,482)	(1,307)
Cost of materials	(291)	(2,462)	(6,013)	(5,650)	(5,805)	(6,538)		(1,698)	(1,548)	(1,524)	(1,472)	(1,417)	(1,236)
Storage and logistics costs	(12)	(100)	(244)	(265)	(266)	(288)		(67)	(66)	(66)	(65)	(64)	(70)
Gross profit	188	2,078	6,149	6,725	6,715	7,575	6%	1,776	1,720	1,802	1,795	1,727	1,401
YoY change		1005%	196%	9%	0%	13%		171%	85%	51%	23%	-3%	-19%
Gross margin	38%	45%	50%	53%	53%	53%		50%	52%	53%	54%	54%	52%
Operating income	(116)	1,074	2,887	1,541	2,122	2,837	36%	794	642	821	108	454	158
YoY change			169%	-47%	38%	34%		117%	35%	16%	-86%	-43%	-75%
Operating margin	-24%	23%	23%	12%	17%	20%		22%	19%	24%	3%	14%	6%
Reported net profit	(91)	801	2,516	1,308	1,814	2,379	35%	641	644	679	70	394	165
YoY change			214%	-48%	39%	31%		114%	108%	14%	-89%	-38%	-74%
Net margin	-18%	17%	20%	10%	14%	17%		18%	19%	20%	2%	12%	6%
Non-GAAP net profit	(87)	917	2,517	2,065	1,964	2,529	11%	641	644	679	622	499	265
YoY change			174%	-18%	-5%	29%		114%	108%	14%	0%	-22%	-59%
Non-GAAP net margin	-18%	20%	20%	16%	15%	18%		18%	19%	20%	19%	16%	10%

Source: J.P. Morgan estimates, Company data

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J.P.Morgan

Chagee (UW): Pioneer of the modern teahouse, from China to the world

Summary of Financials

Balance sheet, Rmb mn	2023	2024	2025E	2026E	2027E
Cash and cash equivalents	2,323	4,755	7,786	8,574	9,696
Inventories	41	132	186	159	143
Account receivables	93	122	163	165	185
Prepayments, other receivables and other assets	91	315	354	409	518
Restricted cash	-	14	14	14	14
Amounts due from related parties	-	2	2	2	2
Time deposits	100	100	260	260	260
Total current assets	2,648	5,440	8,763	9,582	10,819
PP&E	33	249	718	850	1,013
Right-of-use assets	114	542	1,030	1,545	2,241
Deferred tax assets	126	253	304	365	438
Long-term investments	2	2	2	2	2
Goodwill	-	12	12	12	12
Intangible assets	-	8	11	10	9
Other non-current assets	19	89	247	296	356
Total non-current assets	295	1,156	2,324	3,081	4,071
Total assets	2,943	6,596	11,087	12,663	14,890
Trade payables	448	597	557	541	573
Accrued expenses and other liabilities	467	1,023	1,130	1,161	1,242
Contract liabilities	206	265	265	268	302
Operating Lease liabilities	53	195	374	545	767
Tax payables	281	217	217	228	240
Total current liabilities	1,455	2,298	2,544	2,743	3,125
Lease liabilities	56	353	695	1,058	1,557
Contract liabilities	136	257	215	217	245
Total non-current liabilities	192	610	910	1,275	1,802
Total liabilities	1,647	2,908	3,454	4,019	4,927
Total Equity	1,296	3,688	7,633	8,644	9,963
Total equity and liabilities	2,943	6,596	11,087	12,663	14,890

Cashflow statement, Rmb mn	2023	2024	2025E	2026E	2027E
Net Income	803	2,515	1,318	1,828	2,396
Depreciation and amortization	10	61	159	181	204
Working capital changes	1,096	382	(283)	(91)	(34)
Others	24	(119)	757	150	150
Net cash generated from operating activities	1,934	2,838	1,950	2,068	2,717
Purchase of property, plant and equipment	(32)	(226)	(629)	(312)	(366)
Others	(115)	(4)	-	-	-
Net cash generated from investing activities	(147)	(229)	(629)	(312)	(366)
Proceeds from issuance of pref. shares	331	-	2,800	-	-
Others	13	(174)	(2,117)	(817)	(1,078)
Net cash generated from financing activities	344	(174)	683	(817)	(1,078)
Net change	2,131	2,434	2,005	939	1,272
Cash and cash equivalents - yr-beginning	201	2,323	4,755	7,786	8,574
Effect of foreign exchange rate changes	(9)	12	1,026	(151)	(151)
Change in restricted cash	-	(14)	-	-	-
Cash and cash equivalents - yr-ending	2,323	4,755	7,786	8,574	9,696

Ratio Analysis	2023	2024	2025E	2026E	2027E
Gross margin	46.9%	51.5%	55.3%	54.6%	54.6%
EBITDA margin	23.8%	24.7%	14.2%	18.8%	21.8%
EBIT margin	23.6%	24.2%	12.9%	17.3%	20.4%
Non-GAAP net margin	19.8%	20.3%	16.3%	15.4%	17.6%
ROE	137%	101%	36%	24%	27%
ROA	55%	53%	23%	17%	18%
ROIC	66%	65%	16%	19%	22%
Net cash / equity	187%	132%	106%	102%	100%
Dividend payout ratio	0%	0%	108%	50%	50%
Dividend yield			14%	6%	8%

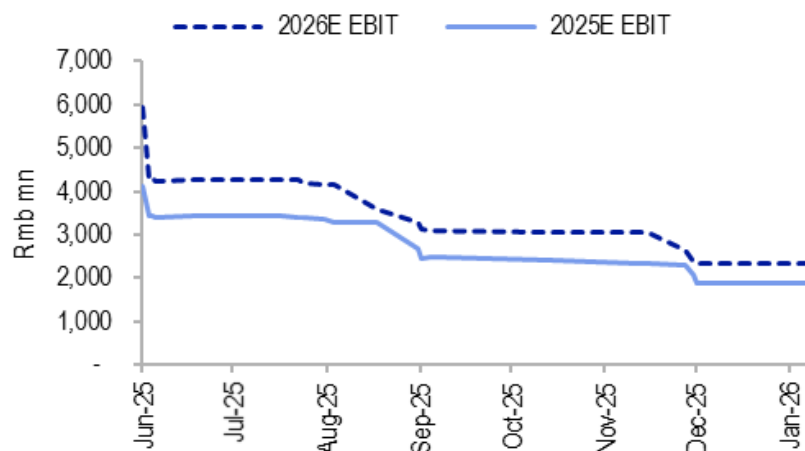
Multiples	2023	2024	2025E	2026E	2027E
Non-GAAP P/E (x)			12.3	9.3	6.9
Non-GAAP P/E, ex-cash (x)			6.4	4.3	2.6
P/B (x)			2.2	1.9	1.6
PEG (x)			n.m.	n.m.	0.2

Source: Company reports and J.P. Morgan estimates

Chagee (UW): Pioneer of the modern teahouse, from China to the world

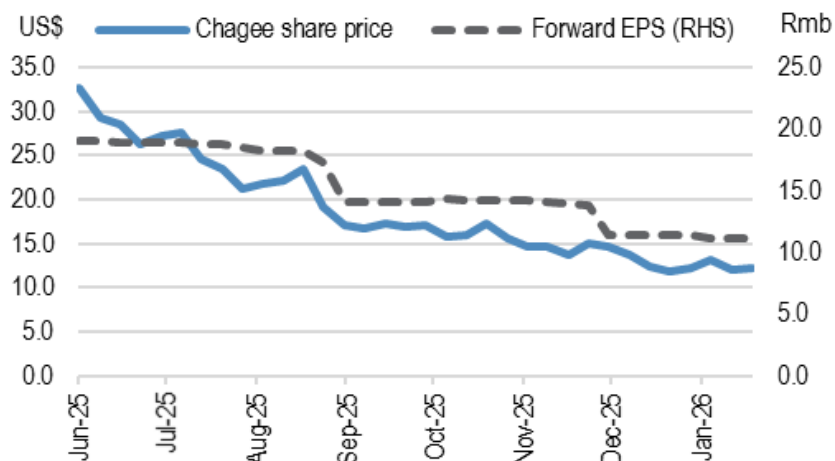
Consensus revisions and valuation charts

Consensus EBIT revisions – Chagee



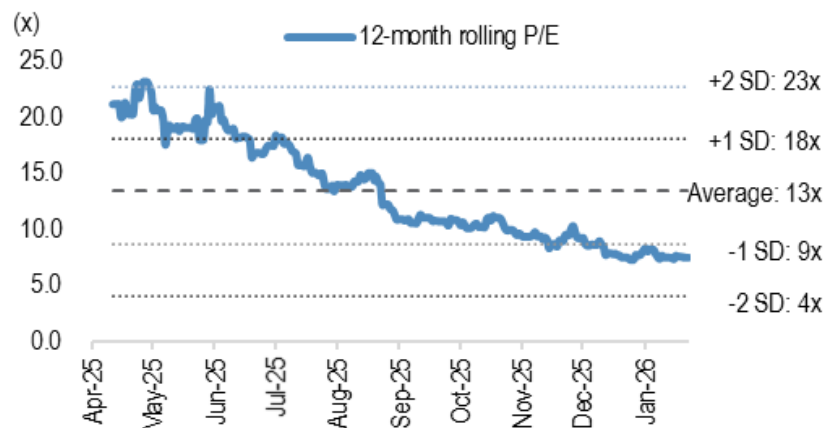
Source: Bloomberg Finance L.P. estimates.

Share price vs consensus forward EPS – Chagee



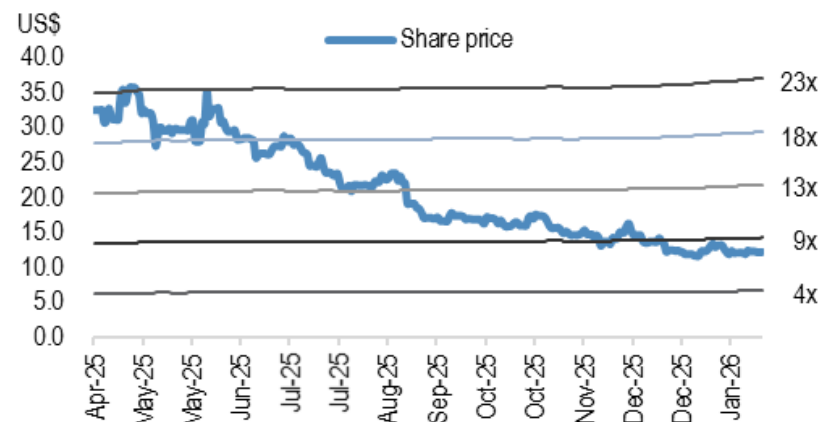
Source: Bloomberg Finance L.P.

12-month rolling P/E – Chagee



Source: J.P. Morgan, Bloomberg Finance L.P.

12-month rolling P/E band chart – Chagee

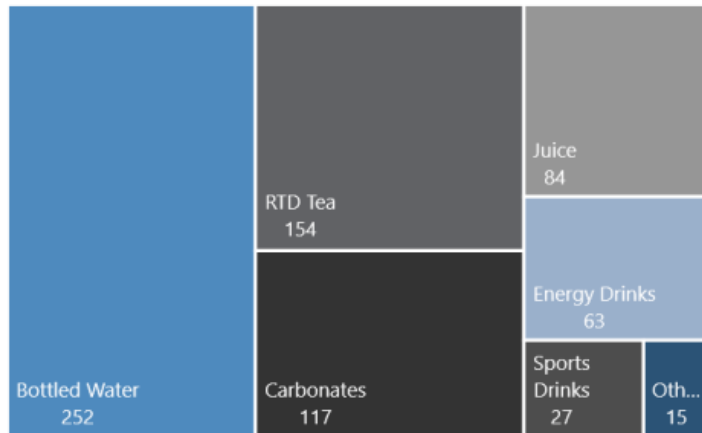


Source: J.P. Morgan, Bloomberg Finance L.P.

Appendix: China soft drinks industry overview

China soft drinks market retail value reaches Rmb713bn (\$96bn) in 2025E, including Rmb252bn bottled water, Rmb154bn RTD tea

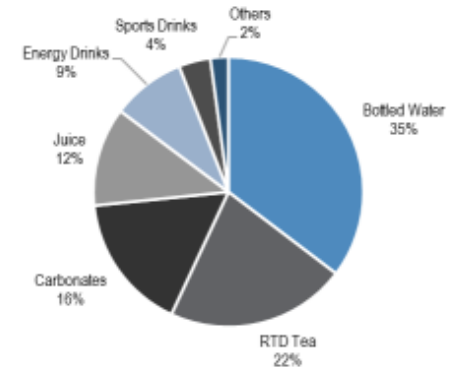
Rmb bn



Note: In 2025E.

Source: J.P. Morgan estimates.

Bottled water accounts for 35% of the pie, followed by RTD (22%) and carbonates (16%)



Note: In 2025E.

Source: Euromonitor, J.P. Morgan estimates.

Sports drinks, carbonated, and energy drinks outperformed other categories in 2019-2024; CR5 for bottled water (40%) and juice (38%) far below other categories

	Retail value (2025)		CAGR		CR5 2025
	Rmb bn	US\$ bn	2019-24	2024-29e	
Bottled Water	252	34.3	3.7%	3.8%	40%
RTD Tea	154	18.9	2.9%	7.0%	76%
Carbonates	117	17.9	5.3%	-0.3%	79%
Juice	84	10.8	-1.0%	2.5%	38%
Energy Drinks	63	8.6	4.9%	3.9%	86%
Sports Drinks	27	2.9	13.7%	13.4%	69%
Others	15	2.6	-5.7%	-1.1%	
Soft Drinks	713	96	3.2%	4.0%	32%

Source: Euromonitor, J.P. Morgan estimates.

Appendix: China soft drinks industry overview

Bottled water – Wahaha saw a market share leap in 2024-2025 (during the period of controversy surrounding Nongfu) but is likely to lose the gain from late-2025 due to internal disputes

Company	China RSV (2025)		CAGR 2019-25	Market share						
	Rmb bn	US\$ bn		2020	2021	2022	2023	2024	2025	2020-25 chg
Nongfu	27.7	3.8	3%	12%	12%	14%	15%	12%	12%	0.4%
Wahaha	24.2	3.4	27%	3%	3%	3%	4%	10%	11%	7.9%
China Resources Beverage	15.0	2.1	-2%	9%	9%	9%	9%	9%	7%	-2.3%
Ganten	16.5	2.3	4%	8%	8%	9%	9%	8%	7%	-0.7%
Tingyi	5.8	0.8	9%	2%	3%	3%	3%	3%	3%	0.2%
Others	162.6	22.6	2%	66%	66%	62%	60%	59%	60%	-5.4%
Bottle Water	252	35.0	4%							

Source: Euromonitor, J.P. Morgan.

RTD tea – Nongfu steadily gaining market share YoY thanks to Oriental Leaf (no-sugar) and Tea Pai (low-sugar); traditional sweetened tea losing wallet share to no-sugar / low-sugar categories

Company	China RSV (2025)		CAGR 2019-25	Market share						
	Rmb bn	US\$ bn		2020	2021	2022	2023	2024	2025	2020-25 chg
Nongfu	26.2	3.6	32%	6%	8%	10%	13%	17%	20%	13.5%
Tingyi	25.8	3.6	4%	24%	24%	24%	23%	21%	19%	-5.1%
Uni-President	21.8	3.0	7%	17%	17%	18%	18%	17%	16%	-0.9%
Guangzhou Pharmaceutical	11.0	1.5	-7%	14%	14%	12%	13%	10%	8%	-5.6%
JDB Group	16.4	2.3	-3%	15%	15%	16%	14%	13%	12%	-2.8%
Others	79.2	11.0	8%	29%	30%	30%	32%	38%	44%	14.4%
RTD Tea	154	21.4	4%							

Source: Euromonitor, J.P. Morgan.

Carbonates – local company Genki Forest is the share gainer; others, including Nongfu and Eastroc are also actively exploring in this category

Company	China RSV (2025)		CAGR 2019-25	Market share						
	Rmb bn	US\$ bn		2020	2021	2022	2023	2024	2025	2020-25 chg
Coca-Cola	33.1	4.6	2%	49%	45%	43%	42%	42%	43%	-6.4%
PepsiCo	17.6	2.5	2%	28%	25%	23%	23%	23%	23%	-5.5%
Genki Forest	8.2	1.1	35%	5%	6%	9%	9%	9%	11%	6.0%
Beijing Yiqing Food	1.6	0.2	8%	2%	2%	2%	2%	2%	2%	-0.1%
Jiaozuo Mingren Natural Medicine	0.7	0.1	-11%	5%	5%	4%	4%	1%	1%	-3.9%
Others	55.9	7.8	4%	11%	17%	19%	20%	23%	21%	9.9%
Carbonates	117	16.3	4%							

Source: Euromonitor, J.P. Morgan.

Appendix: China soft drinks industry overview

Juice – NFC juice gaining wallet share

Company	China RSV (2025)		CAGR 2019-25	Market share						2020-25 chg
	Rmb bn	US\$ bn		2020	2021	2022	2023	2024	2025	
Coca-Cola	7.6	1.1	0%	10%	10%	11%	11%	10%	10%	0.0%
China Huiyuan Juice Group	7.1	1.0	4%	8%	8%	8%	9%	9%	9%	1.8%
Tingyi	7.0	1.0	3%	9%	9%	10%	10%	9%	9%	0.5%
Nongfu	4.5	0.6	9%	3%	4%	4%	5%	6%	6%	2.5%
Uni-President	2.6	0.4	2%	3%	3%	3%	3%	3%	3%	0.4%
Others	55.7	7.7	-2%	67%	66%	64%	61%	62%	62%	-5.2%
Juice	84	11.7	0%							

Source: Euromonitor, J.P. Morgan.

Energy drinks – Eastroc delivered robust growth with 23% CAGR during 2019-2025, taking market share from TC Parmaceutical, Dali and Warhorse

Company	China RSV (2025)		CAGR 2019-25	Market share						2020-25 chg
	Rmb bn	US\$ bn		2020	2021	2022	2023	2024	2025	
TC Pharmaceutical	26.0	3.6	1%	55%	51%	47%	44%	44%	43%	-11.3%
Eastroc Beverage	19.4	2.7	23%	15%	19%	24%	28%	31%	32%	17.1%
Henan Zhongwo Beverage	3.1	0.4	2%	6%	7%	6%	5%	5%	5%	-0.7%
Dali	2.1	0.3	-11%	8%	7%	7%	6%	4%	4%	-4.9%
Warhorse (Beijing) Beverage	1.0	0.1	-9%	3%	3%	3%	2%	2%	2%	-1.4%
Others	11.1	1.5	5%	13%	13%	13%	14%	14%	14%	1.3%
Energy Drinks	63	8.7	5%							

Source: Euromonitor, J.P. Morgan.

Sports drinks – the new growth area with dramatic market share reshuffle; Eastroc and Genki Forest are the dark horses, gaining over 20% share each in just 5 years

Company	China RSV (2025)		CAGR 2019-25	Market share						2020-25 chg
	Rmb bn	US\$ bn		2020	2021	2022	2023	2024	2025	
Eastroc Beverage	6.6	0.9	n.a.	0%	0%	0%	2%	12%	25%	25.1%
Genki Forest	5.5	0.8	n.a.	0%	8%	14%	21%	21%	21%	21.0%
Jianlibao	2.3	0.3	-7%	30%	27%	24%	21%	14%	9%	-21.9%
Otsuka Holdings	2.1	0.3	22%	5%	5%	6%	8%	8%	8%	2.4%
PepsiCo	1.7	0.2	6%	11%	10%	9%	8%	7%	6%	-4.1%
Others	15.5	2.2	15%	54%	50%	49%	43%	51%	56%	2.6%
Sports Drinks	27	3.8	15%							

Source: Euromonitor, J.P. Morgan.

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